

COMPREHENSIVE ANNUAL FINANCIAL REPORT

FOR THE YEAR ENDED JUNE 30, 2020



Des Moines Independent Community School District
DES MOINES, IOWA

Des Moines Independent Community School District, Des Moines, Iowa

Comprehensive Annual Financial Report
Year Ended June 30, 2020

Official Issuing Report:

**Shashank Aurora
Chief Financial Officer**

**Office Issuing Report:
Business and Finance Department**

Table of Contents

Introductory Section (Unaudited)	
Table of contents	i-ii
Letter of transmittal	iii-ix
Board of Education and School District Officials	x
GFOA certificate of achievement	xi
ASBO certificate of excellence	xii
Organizational chart	xiii
Financial Section	
Independent auditor's report	1-2
Management's discussion and analysis	3-15
Basic financial statements:	
Government-wide financial statements:	
Statement of net position	16-17
Statement of activities	18-19
Fund financial statements:	
Governmental funds:	
Balance sheet	20
Reconciliation of total governmental fund balances to net position of governmental activities	21
Statement of revenues, expenditures and changes in fund balances	22
Reconciliation of the statement of revenues, expenditures and changes in fund balances of governmental funds to the statement of activities	23
Proprietary funds:	
Statement of net position	24
Statement of revenues, expenses and changes in net position	25
Statement of cash flows	26
Fiduciary and agency funds:	
Statement of fiduciary net position	27
Statement of changes in fiduciary net position	28
Notes to basic financial statements	29-63
Required supplementary information:	
Schedule of changes in the District's total OPEB liability and related ratios	64
Iowa Public Employees' Retirement System:	
Schedule of the District's proportionate share of the net pension liability	65-66
Schedule of the District's contributions	67
Note to required supplementary information	68-69
Des Moines Teachers' Retirement System:	
Schedule of changes in net pension (asset)	70-71
Schedule of net pension liability (asset) and related ratios	72-73
Schedule of money-weighted rate of return	74
Schedule of contributions from the District	75
Note to required supplementary information	76
Budgetary comparison schedule—all governmental funds, enterprise funds and private purpose trust funds	77-78
Note to required supplementary information—budgetary comparison schedule	79

Table of Contents

Financial Section (Continued)	
Other supplementary information:	
Nonmajor governmental funds:	80
Combining balance sheet	81-82
Combining statement of revenues, expenditures and changes in fund balances	83-84
Nonmajor enterprise funds:	85
Combining statement of net position	86-87
Combining statement of revenues, expenses and changes in fund net position (deficit)	88-89
Combining statement of cash flows	90-91
Internal service funds:	92
Combining statement of net position	93
Combining statement of revenues, expenses and changes in fund net position	94
Combining statement of cash flows	95
Agency fund:	96
Statement of changes in assets and liabilities	97
Statistical Section (Unaudited)	
Statistical section contents	98
Net position by component	99-100
Expenses, program revenues and net (expense) revenue	101-104
General revenues and total change in net position	105-106
Fund balances, governmental funds	107-108
Governmental funds revenues	109-110
Governmental funds expenditures and debt service ratio	111-112
Other financing sources and uses and net change in fund balances—governmental funds	113-114
Taxable value and actual value of taxable property	115-116
Direct and overlapping property tax rates	117-119
Principal property taxpayers	120
Property tax levies and collections	121
Ratios of general bonded debt outstanding	122
Outstanding debt by type	123
Direct and overlapping governmental activities debt	124
Legal debt margin information	125-126
Pledged-revenue coverage	127
Demographic and economic statistics	128
Largest public and private employers in greater Des Moines Region	129
Full-time equivalent District employees by type	130-133
Operating statistics	134
School building information	135-150
Capital asset information	151-152
Compliance Section	
Schedule of expenditures of federal awards	153-154
Notes to schedule of expenditures of federal awards	155
Summary schedule of prior audit findings	156
Report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with Government Auditing Standards	157-158
Report on compliance for each major federal program and report on internal control over compliance required by the Uniform Guidance	159-160
Schedule of findings and questioned costs	161-164



January 11, 2021

The Board of Education and Residents
Des Moines Independent Community School District

We are pleased to submit the Comprehensive Annual Financial Report (CAFR) for the Des Moines Independent Community School District (the District, Des Moines Public Schools, or DMPS) for fiscal year ending June 30, 2020.

The District operates in compliance with Generally Accepted Accounting Principles (GAAP) and prepares its financial statements in accordance with Governmental Accounting Standards Board (GASB) Statement No. 34. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials International (ASBO International) and the Government Finance Officers Association of the United States and Canada (GFOA).

RSM US LLP, Certified Public Accountants, has issued an unmodified ("clean") opinion on the District's financial statements for the year ended June 30, 2020. The independent auditor's report is located at the front of the financial section of this report.

The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with District management. Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal control that has been established for this purpose. The District believes that the data presented herein is accurate in all material respects, the data is presented fairly to set forth the financial position and results of operations of the District as measured by the financial activity of the various funds, and all necessary disclosures have been included, enabling the reader to gain the maximum understanding of the District's financial affairs.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the District's basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

As is the case every year, the District was required to undergo a single audit in conformity with the provisions of the Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Information related to this Single Audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs, and corrective action plans (if any) are included in the single audit compliance section of this report.

Profile of the Government

In May 2017, the Iowa Legislature created limited home rule for Iowa school districts. The change provides more flexibility to school districts in their exercise of powers, where the law or administrative rule does not already prescribe or prohibit the action. All Iowa school districts remain under the control of a local board of directors and have fiscal independence from other governmental entities. The District is a political subdivision of the State of Iowa, and, as such, operates public schools and supporting programs for children in preschool through grade twelve.

A seven-member Board of Education (the Board) governs the District. Members serve overlapping four-year terms and are elected on a non-partisan basis. The Board operates under the policy governance model and, thus, is a policymaking and planning body whose decisions are carried out by the Superintendent.

The District serves more than 200,000 people who live in Polk and Warren Counties. Covering nearly 86 square miles, the District has developed in the heart of the Des Moines city center, east into Pleasant Hill, west into Windsor Heights, and south into Warren County. The District benefits from having strong and diverse neighborhoods and a citizenry deeply involved in its public education.

Here are what others have to say about Des Moines being a great place to live and work:

- 2019 – #5 Best Place to Live in the U.S. – U.S. News & World Report
- 2019 – #3 Best Affordable Place to Live in the U.S. – U.S. News & World Report
- 2019 – #10 on Best State Capitals to Live In – WalletHub.com
- 2019 – #6 Best American Cities to Work in Tech in 2019 – Yahoo Finance
- 2018 – #1 Most Popular City for Millennial Homebuyers – Lending Tree
- 2018 – #8 Best Job Market for 2018 – ZipRecruiter
- 2018 – One of “5 Up-and-Coming Tech Hotspots” – Livability
- 2018 – #8 Best City to Find Small Business Jobs – ZipRecruiter
- 2018 – #7 Place Where Jobs Will Be In 2018 – Forbes
- 2017 – #1 Best Place for Millennials to Live in the Midwest – Growella
- 2017 – #1 Best Affordable Place to Live in the U.S. – U.S. News and World Report
- 2017 – #4 Best Place for Children – SmartAsset
- 2017 – #3 Best Place to Live with a Low Cost of Living – Business Insider
- 2017 – The best city for young professionals – TheSpruce.com
- 2016 – Best City for the Middle Class – BusinessInsider
- 2016 – Ranked in the Top 10 Hippest Mid-Sized Cities in America – Gogobot.com
- 2016 – #4 Best Mid-Sized Cities for Making a Living – MoneyGeek.com
- 2016 – #4 Best Cities for Young Families – ValuePenguin.com
- 2016 – #10 Best City to Live and Work – Robert Half
- 2015 – #2 Best City to Find a Job – WalletHub
- 2015 – Emerging Start Up City – Investopedia
- 2015 – #3 Top City for New College Graduates – SmartAsset
- 2015 – #6 Midsize Metro Where College Grads Move for Jobs – AIER
- 2015 – #4 Best City for Technology Workers to Start their Career – Computer Training Schools
- 2015 – Best Places for Business and Careers – Forbes
- 2014 – Des Moines is the #1 Best City for Young Professionals – Forbes
- 2014 – Des Moines is the #3 Best City with the most job opportunities per Capita – Beyond.com
- 2014 – Des Moines is the #2 Best City for Business and Careers – Forbes
- 2014 – Des Moines is the #1 Wealthiest City in America – Today Show
- 2014 – Des Moines is the #1 City with an Up and Coming Downtown – Forbes

The District provides a full range of programs and services including instructional, preschool, student services, school building administration, maintenance of sites and facilities, transportation, food service, custodial, extra co-curricular and athletic activities, and childcare. The District provides a comprehensive educational program appropriate to students in preschool through grade twelve. These services include regular and enriched academic education; special education; vocational education; and numerous individualized programs such as instruction for at-risk students, gifted and talented students, and students in the English Learner (EL) program.

The District's enrollment for school year 2019-2020 was 32,545, making it by far the largest public school district in Iowa. Students are served in 38 elementary schools, 10 middle schools, five comprehensive high schools, one alternative high school, a secondary career and technical institute, an advanced learning central academy, a virtual school, and other specialty schools and programs. The District also operates preschool programs for more than 2,000 children in four District preschool centers, a half-dozen elementary schools throughout Des Moines, as well as more than a dozen community partners. The District also maintains a maintenance/warehouse facility, a print shop, and athletic complexes. The average age of the District's buildings is 67 years. However, using Statewide Penny revenues, the District has ensured these buildings are well-maintained allowing for many additional years of future use. The District prefers to renovate and maintain current structures, as opposed to building new ones to replace them, whenever possible.

Des Moines Public Schools may be the biggest provider of public education in Iowa, but the District takes anything but a one-size-fits-all approach to educating students. In fact, families in Des Moines can find more educational options than anywhere in the state, including:

- *Advanced Placement (AP)*. Central Academy, attended by students from 10 central Iowa school districts, is one of Iowa's top AP programs, dedicated to providing a challenging curriculum. Central Academy provides additional services for students in comprehensive schools by offering the Gifted Core Pathway and unique AP and World Language courses. The Gifted Core Pathway fosters academic excellence through the challenge of compacted curricula by offering acceleration and enrichment for students who demonstrate early readiness for advanced work. Students, especially those under-represented in gifted programs, develop competence, connection, and confidence as they embrace challenging coursework. The Belin-Blank Center for Gifted Education and Talent Development placed Central Academy "in a class by itself" as a college preparatory school. In addition, DMPS has completed a significant expansion of AP course offerings throughout all five comprehensive high schools, providing thousands of student's access to rigorous and advanced courses.
- *International Baccalaureate (IB)*. Home to the first IB program in Iowa, DMPS offers this world-class educational opportunity at five elementary schools (Hubbell, Park Avenue, Stowe, Moore, and Walnut Street), four middle schools (Brody, Goodrell, Meredith, and Merrill), and at Hoover High School.
- *Career & Technical Institute (CTI)*. Located at Central Campus, CTI presents students with learning opportunities in several high-skill areas, including graphic design, broadcasting & film, culinary arts, fashion, skilled trades, and automotive technology. In addition, DMPS offers one of only three high school aviation programs certified by the Federal Aviation Administration (FAA) and has the largest marine biology program of any non-coastal high school. Central Campus is the first Iowa school named by the Department of Labor (DOL) as a "high-quality pre-apprenticeship" program.
- *Higher Education Partnerships*. Des Moines Public Schools' proximity to Drake University, Iowa State University, Des Moines University, Grandview University, Des Moines Area Community College, and other institutions of higher education have created numerous partnerships and collaborative efforts that support students, teachers, and administrators. This includes the District's Master's Degree Program available exclusively through Drake offered to teachers, at little or no cost, who are part of the Blue Teaching Contract.
- *Downtown School*. The Downtown School, located in Central Campus, is a national model where students learn in multiage classes. The school has been nationally recognized for its innovative programming, including an extended calendar, and is a great option for parents who work in the heart of the city.
- *Montessori*. Cowles Montessori School is the only public Montessori program in Iowa, serving students in kindergarten through eighth grade. Students learn in multiage classrooms and children's natural curiosities are exploited to the fullest as they advance at their own pace.

- *Alternative Programs.* Scavo Alternative High School, Future Pathways, Orchard Place, Des Moines Alternative, and Middle School Alternative offer programming for students who may be struggling with attendance requirements at a comprehensive school or have other personal issues and need alternative programming.
- *Virtual School.* Virtual Campus is an online high school, designed and taught by DMPS educators, to provide greater equity of access and opportunity for success to all students. The District continues to expand course offerings each semester to fully maximize the virtual opportunities for students.

Des Moines educators and staff are recognized as being among the very best in their fields. These are just some of the awards and honors they have earned in recent years:

- 2020, 2016, 2013, 2012, 2010, 2009, 2006, 1998, 1997, 1997, 1995, 1995, 1983 Presidential Award for Excellence in Mathematics and Science Teaching – National Science Foundation, on behalf of the White House Office of Science and Technology Policy
- 2020 Administrator of the Year - Iowa High School Press Association
- 2020 Orgametrics Award Winner - Orgametrics
- 2020 Top 5 ESPN Unified Champion School - ESPN
- 2019, 2018, 2017, 2016, 2015, 2014, 2013, 2012, 2011, 2010, 2009, 2008, and 2007 Certificate of Achievement for Excellence in Financial Reporting from the Government Finance Officers Association for the District's comprehensive annual financial report
- 2019, 2018, 2017, 2016, 2015 – Meritorious Budget Award from the Association of School Business Officials
- 2019 Teacher of the Year – Des Moines chapter of the Izaak Walton League
- 2019, 2018, 2017, 2016, 2015, 2014, 2013, 2012, 2011, 2010, 2009, 2008, and 2007 Certificate of Excellence in Financial Reporting from the Association of School Business Officials for the District's comprehensive annual financial report
- 2017, 2016, 2015, 2014, 2013 – Distinguished Budget Presentation Award from the Government Finance Officers Association
- 2018 Teacher of Promise – Iowa World Language Association
- 2018 Agriculture Leader of the Year – Iowa Department of Agriculture and Land Management
- 2018 Iowa School Social Worker of the Year – Midwest School Social Work Council
- 2018 Iowa Middle School Physical Education Teacher of the Year - Iowa Association for Health, Physical Education, Recreation and Dance
- 2018 Des Moines Police Department Officer of the Year – Des Moines Rotary Club
- Ten awards in NSPRA's 2018 Publications and Electronic Media Awards competition, including six entries earning an Award of Excellence, the highest honor in each category
- 2018 Ally of the Year – Capital City Pride
- 2018 Iowa's Educator of the Year - National Speech & Debate Association
- 2018 Friend of Children Award - Iowa School Social Workers Association
- 2017 Stephen Tsai Award for Excellence in Autism Education - Autism Society of Iowa
- 2017 Iowa High School Press Association's Administrator of the Year - Iowa High School Press Association
- 2017 PBS Digital Innovator
- 2017 Six-time Energy Star Partner of the Year
- 2016 AP Teacher of the Year
- 2016 ISPRA Communicator of the Year
- 2016 Five-time Energy Star Partner of the Year
- 2016 Des Moines Register Coach of the year
- 2015 Magna Award – National School Board Association
- 2015 Iowa Teacher of the Year
- 2015 Ten National Award Winners
- 2015 "Why Des Moines Can be a Model for Urban Education" – National Journal
- 2015 District of Distinction – District Administration Magazine

Economic Condition and Outlook

Local Economy - The Des Moines Independent Community School District is in the center of Iowa, primarily in the city of Des Moines (the City). The City is the industrial, technology, commercial, financial, trade, transportation, and governmental center of Iowa. The City's insurance industry is the third largest in the world, after London and Hartford, with more than 200 insurance offices/headquarters located in Des Moines. Insurance activities are part of a strong local economy that is also based in agriculture, manufacturing, technology, education, health care, and other services. Wells Fargo, Principal Financial Group, Inc., and UnityPoint Health Systems are the major private employers within the District. Des Moines, the city proper, is comprised of 80.87 square miles of land with a population of 214,000, approximately 25% of which is younger than 18. The median household income (2018) in Des Moines was \$52,251, and approximately 17.2% of persons live below the poverty line.

The COVID-19 pandemic had a dramatic impact on the City's unemployment rate. In June 2019, the City had an unemployment rate of 2.8; the unemployment rate for June 2020 climb sharply to 9.2. In June 2019, Iowa had an unemployment rate of 2.7; the June 2020 unemployment rate was 8.4. According to a report issued by the Iowa Legislative Services Agency (LSA) for fiscal year 2020, the Iowa Revenue Estimating Conference estimates growth from fiscal year 2019 to fiscal year 2020 will be positive 1.9%. In dollar terms, net revenue is projected to increase \$144.8 million for fiscal year 2020 (LSA Fiscal Update, March 15, 2019).

Prior to the pandemic, the District experienced slow but steady increases in its tax base, averaging approximately one percent per year. At the same time, enrollment taken on October 1, 2019, which affects fiscal year 2021 state aid, decreased by 0.6%, as compared to the October 1, 2018 count. The amount of state supplemental aid for fiscal year 2021 is 2.3%. Due to the pandemic, enrollment for the 2020-2021 school year had a dramatic decrease of approximately 1,000 students. It is unknown how many of those students will re-enroll in the District in the 2021-2022 school year. Even assuming all those students who did not enroll in school this year return next year, enrollment is projected to remain decrease slightly in future years.

Long-Term Financial Planning and Relevant Financial Policies - The District's solvency ratio is a measure of the District's fund equity position and is defined as the unassigned fund balance (commonly referred to as the cash reserves) divided by the District's total General Fund revenues, less the Area Education Agency (AEA) flow-through. Board guidelines state that the solvency ratio should not go below three percent, without prior knowledge of the Board. The Iowa Association of School Boards (IASB) considers a solvency ratio of zero to five percent to be adequate for short-term credit purposes, while a ratio of five to ten percent is within "Target" or "Good" and therefore "can handle the unexpected." In addition, during the 2012-2013 school year, the Board approved a 15% target for the District's solvency ratio. The solvency ratio for the District increased to 21.0% as of June 30, 2020, compared to 15.1% in the prior year.

In addition, the Board monitors the District's unspent spending ratio. This ratio is a measure of the District's unbudgeted authorized spending capacity (not cash reserves) and is defined as the District's unspent spending authority divided by the District's maximum budget authority. It should be noted that reaching the maximum budget authority level would require the Board to authorize and levy additional property taxes. The IASB recommends this ratio be in the target range of 10% - 20%. The unspent spending authority balance ratio for fiscal year 2020 is estimated to be 5.2%, up from 2.3% for the prior year.

Major Initiatives - The District has completed the fifth phase of bonding ahead on the Statewide Penny. The District sold Revenue Bonds in fiscal year 2018 to minimize future inflationary increases by condensing repair and renovation costs from a 10-year plan into a five-year plan. The bonds will be paid back using Statewide Penny revenue.

The District continues to treat energy savings and consumption as a priority. Currently 100% of classrooms are air conditioned. This is a 35% increase since 2008. Forty-one (41) DMPs schools utilize the earth's natural temperatures to heat and cool the building. Forty-eight (48) school buildings are ENERGY STAR qualified, which means they operate in the upper 25% of like buildings nationally. The District's sustainability efforts have been recognized with these major awards:

- 2019, 2018, 2017, 2016, 2015, 2014 ENERGY STAR Partner of the Year – Environmental Protection Agency, Department of Energy
- 2017 Achievement Award - Facility Maintenance Decisions
- 2016 Governor's Iowa Environmental Excellence Award in Energy Efficiency/Renewable Energy - Office of the Governor
- 2016, 2015, 2014 ENERGY STAR Partner of the Year: Climate Communications – Environmental Protection Agency, Department of Energy
- 2015 Environmental Protection Agency's ENERGY STAR National Building Competition: Operations Center and Greenwood Elementary School top finishers in the category of water-use reduction for individual buildings. DMPS High Schools team finished #5 for water-use reduction out of all teams entered.
- 2014 Environmental Protection Agency's ENERGY STAR National Building Competition: Findley Elementary School ranked #1 in education category for the most energy-consumption reduction among all entered K-12 facilities. Pleasant Hill, a top finisher in the category of water-use reduction, with five additional facilities posting more than 20-percent reductions in water use.
- 2014 FMXcellence Recognition - Building Operations Management

The District continues to heavily invest in technology in the classroom. This is slated to be accomplished through the District's IT Blueprint. The District has installed state-of-the-art interactive projectors in every classroom and has rolled out students' devices in every building. The District is also incorporating a blended learning approach in the classroom as well as a virtual school. This is an ongoing initiative to ensure each student is taught in a 21st century learning environment. Investment in technology was ramped up, in response to the COVID-19 pandemic.

Voters approved the continuation of the District's Property, Plant, And Equipment Levy (PPEL) on November 5, 2019 for another 10 years. With this vote, the District will continue to receive PPEL funds through fiscal year 2031.

Other Financial Information

Internal Control. District management is responsible for establishing and maintaining an internal control system designed to ensure that its assets are protected from loss, theft, or misuse and that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. Internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state, and county financial assistance, the District also is responsible for ensuring that adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ending June 30, 2020 provided no instances of material weaknesses in the District's internal controls or violations of applicable laws and regulations.

Budgetary Controls. In addition, the District maintains strong budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General fund, Special Revenue funds, Debt Service fund, Enterprise funds, Capital Projects fund, and Private Purpose Trust funds are included in the annual appropriated budget by program. Project length financial plans are adopted for Capital Projects funds and budgeted accordingly on an annual basis. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all combined funds, rather than at the individual fund level.

As demonstrated by the statements and schedules included in the financial section of this report, the District continues to meet its responsibility for sound fiscal management.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Iowa Department of Education. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Independent Audit. The accounting firm RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the federal Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). The auditor's report on the basic financial statements, combining and individual fund statements and other schedules, is included in the financial section of this report. The Comprehensive Annual Financial Report also includes a statistical section which is unaudited.

Awards and Acknowledgments

The District is pleased to say that GFOA awarded a Certificate of Achievement for Excellence in Financial Reporting to the District for its CAFR for fiscal year ended June 30, 2019. The District has received this recognition from GFOA since 2007. To be awarded a Certificate of Achievement, a district must publish an easily readable and efficiently organized CAFR. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

In addition, ASBO International awarded a Certificate of Excellence in Financial Reporting to the District for fiscal year ended June 30, 2019. The District has received this recognition from ASBO since 2007. This award represents the highest recognition for school district operations offered by ASBO International.

Each certificate is valid for a period of one year only, and the certificates for fiscal year 2019 are included in this report. The District believes that the current CAFR continues to meet the requirements for the GFOA and ASBO International certificate programs and will be submitting it to GFOA and ASBO International to determine eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the District's Financial Services and Human Resources departments staff and our independent auditors from RSM US LLP. The District would like to express its appreciation to all staff members who assisted and contributed to this report, as well as members of city and county governments. Additional information on the operation of Des Moines Public Schools can be obtained from the District website: www.dmschools.org. Finally, appreciation is expressed for the interest and support of the Board in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,



Dr. Thomas M. Ahart, Superintendent
Ed.D.



Shashank Aurora, CFO
CPA, SBO

Des Moines Independent Community School District

Board of Education and School District Officials Year Ended June 30, 2020

Name	Title	Term Expires	District
Board of Education			
Kyrstin Delagardello	Chair	2021	At-Large
Dwana Bradley	Vice Chair	2023	District Three
Rob Barron	Board Member	2021	At-Large
Teree Caldwell-Johnson	Board Member	2021	District Four
Kalyn Cody	Board Member	2021	District Two
Kimberly Martorano	Board Member	2021 [^]	District One
Kelli Soyer	Board Member	2023	At-Large

School District Officials

Thomas Ahart	Superintendent	
Shashank Aurora	Secretary and Treasurer	Appointed

[^] Note: Heather Anderson resigned July 31, 2020, and Kimberly Martorano was appointed thereafter to fill her position.



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Des Moines Independent
Community School District, Iowa**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2019

Christopher P. Morrell

Executive Director/CEO



**The Certificate of Excellence in Financial Reporting
is presented to**

**Des Moines Independent Community
School District**

**for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2019.**

The CAFR meets the criteria established for
ASBO International's Certificate of Excellence.



A handwritten signature in black ink, reading 'Claire Hertz'.

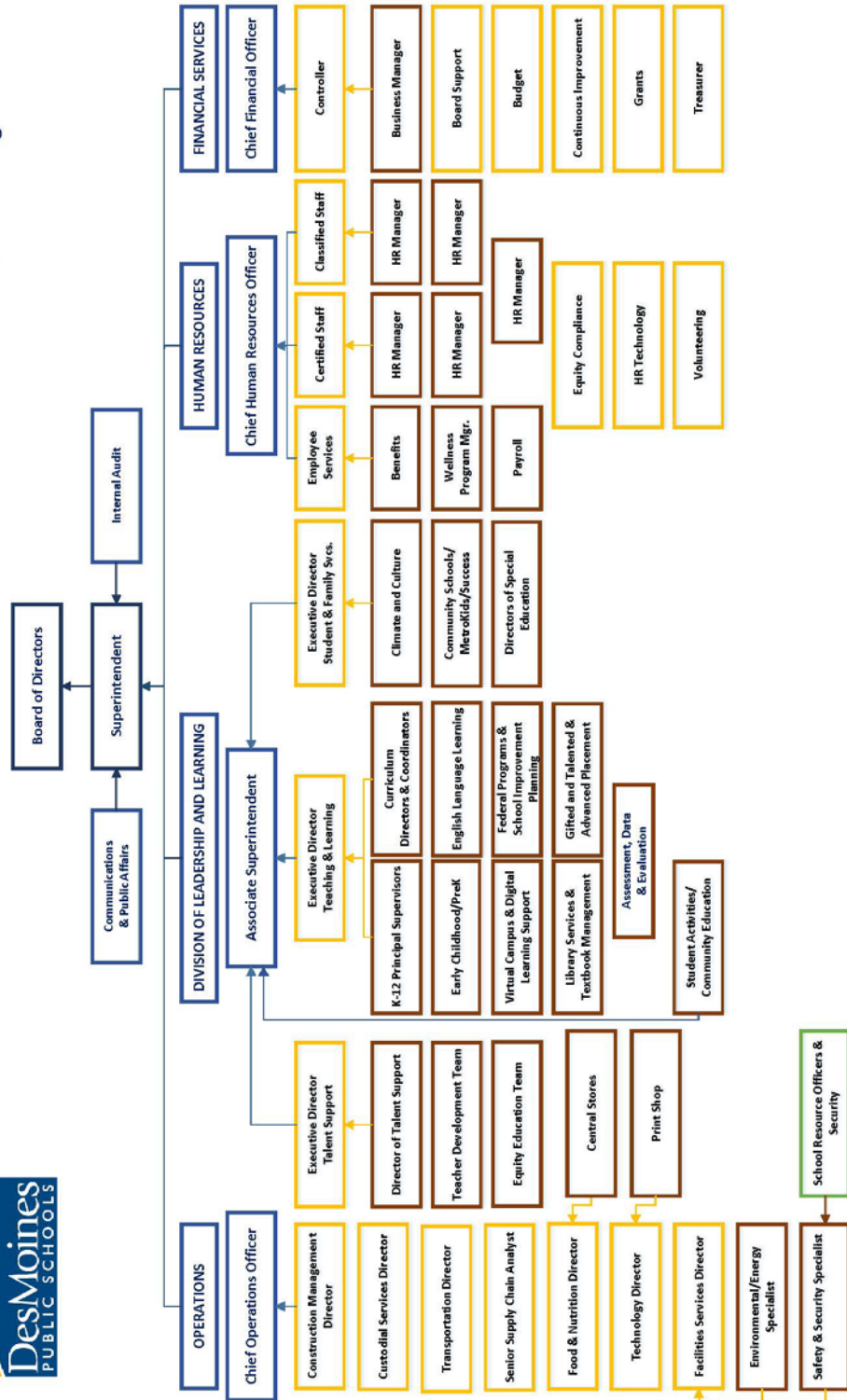
Claire Hertz, SFO
President

A handwritten signature in black ink, reading 'David J. Lewis'.

David J. Lewis
Executive Director



2020-2021 Organizational Chart



Draft Updated 10/22/20

Independent Auditor's Report

To the Board of Education
Des Moines Independent Community School District

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Des Moines Independent Community School District (the District) as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the District as of June 30, 2020, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, the schedule of changes in the District's total OPEB liability and related ratios, the Iowa Public Employees' Retirement System pension plan schedules, the Des Moines Teachers' Retirement System pension plan schedules and the budgetary comparison schedule, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The combining nonmajor fund financial statements and individual fund statements, listed in the table of contents as supplementary information, and the accompanying schedule of expenditures of federal awards, as required by the Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) are presented for purposes of additional analysis and are not a required part of the basic financial statements.

This supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The accompanying introductory and statistical sections, as listed in the table of contents, have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated January 11, 2021 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

RSM US LLP

Des Moines, Iowa
January 11, 2021

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

This Management's Discussion and Analysis is provided by the management of the Des Moines Independent Community School District (the District or DMPS) to offer readers an overview and analysis of the financial activities of the District for the fiscal year that ended June 30, 2020. We encourage readers to consider the discussion and analysis presented here in conjunction with the financial statements, which follow.

Financial Highlights

- **Budget:** The State of Iowa (the State) legislatively approved a state supplemental aid factor of 1.00% for fiscal year 2019. For fiscal year 2020, the state supplemental aid rate was 2.06%.

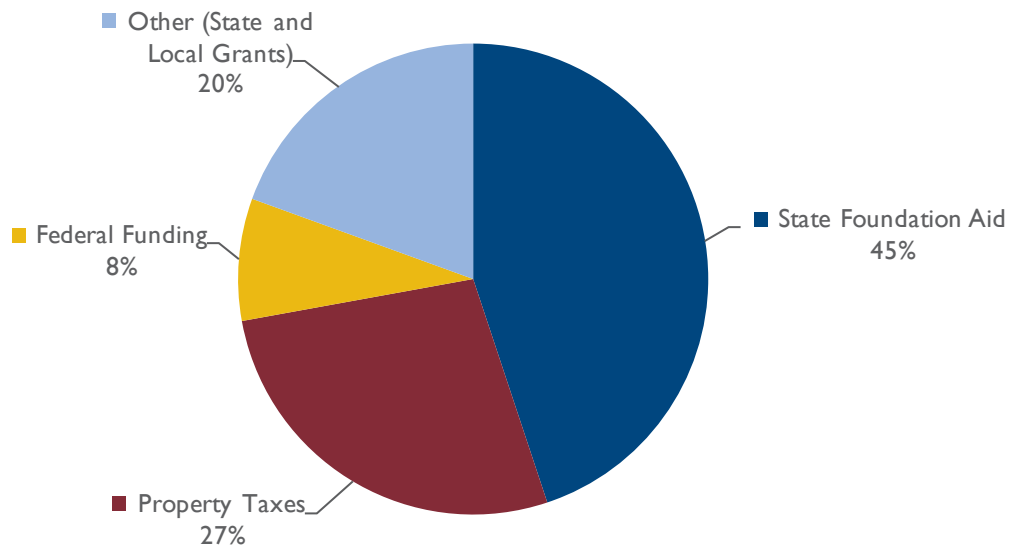
In April 2019, the Board of Education (the Board) approved an expenditure budget for fiscal year 2020 for all funds of \$539.4 million (without transfers) or \$562.4 million (including transfers). In May 2020, the Board approved a budget amendment to increase expenditures by \$6.5 million.

For the year ended June 30, 2020, actual expenditures for all funds by major function were less than anticipated, \$16.2 million less than budgeted.

- **Revenue:** Government-wide revenues were \$545.4 million for the year ended June 30, 2020, which primarily consisted of state aid, property taxes, federal grants, and local option sales taxes. General Fund revenues accounted for 84.4% of the Government-wide revenue. Program specific revenues in the form of charges for services and grants and contributions accounted for 27.4% of total fiscal year 2020 revenues.

The General Fund had \$460.3 million in revenues for fiscal year 2020, which primarily consisted of state aid and property taxes. General Fund revenues increased 2.2% in fiscal year 2020, primarily due to an increase in property tax revenue and supplemental state aid.

GENERAL FUND REVENUES



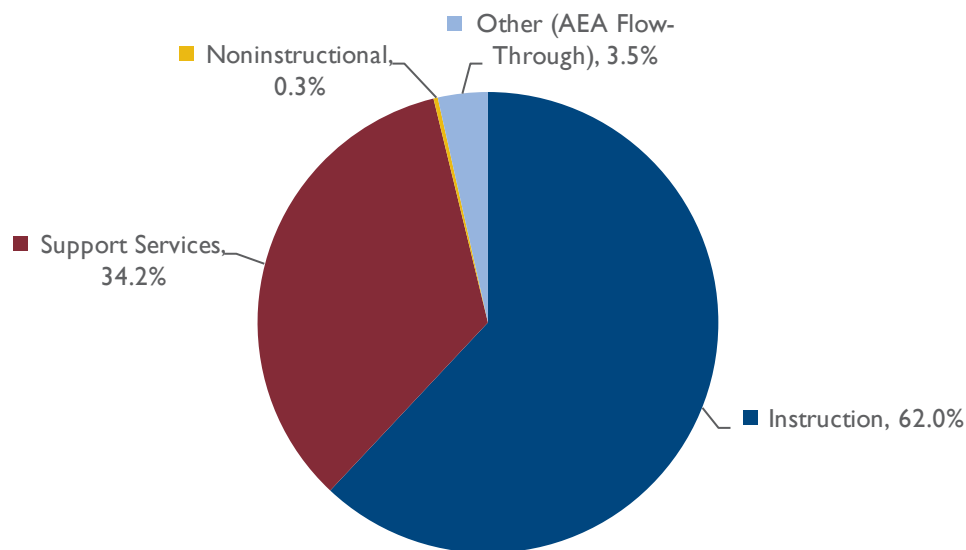
Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

Expenses: Government-wide expenses for the year ended June 30, 2020, including business-type activities, were \$518.8 million, of which \$149.6 million of these expenses were offset by program specific charges for services or grants and contributions. General revenues of \$395.8 million provided for the remaining costs of these programs.

The General Fund had \$432.7 million in fiscal year 2020 expenditures, which primarily consisted of instructional expenditures. General Fund expenditures decreased 1.7%, primarily due to planned expenditure decreases.

GENERAL FUND EXPENDITURES



- **General Fund Balance and Solvency Ratio:** The District's overall General Fund balance increased from \$96.8 million as of June 30, 2019 to \$125.1 million as of June 30, 2020, an increase of \$28.3 million. The District, like all school districts in the state, is required to maintain a balanced budget. To balance the District budget, one of many strategies the District employed was to ensure revenue and expenditures remained balanced.

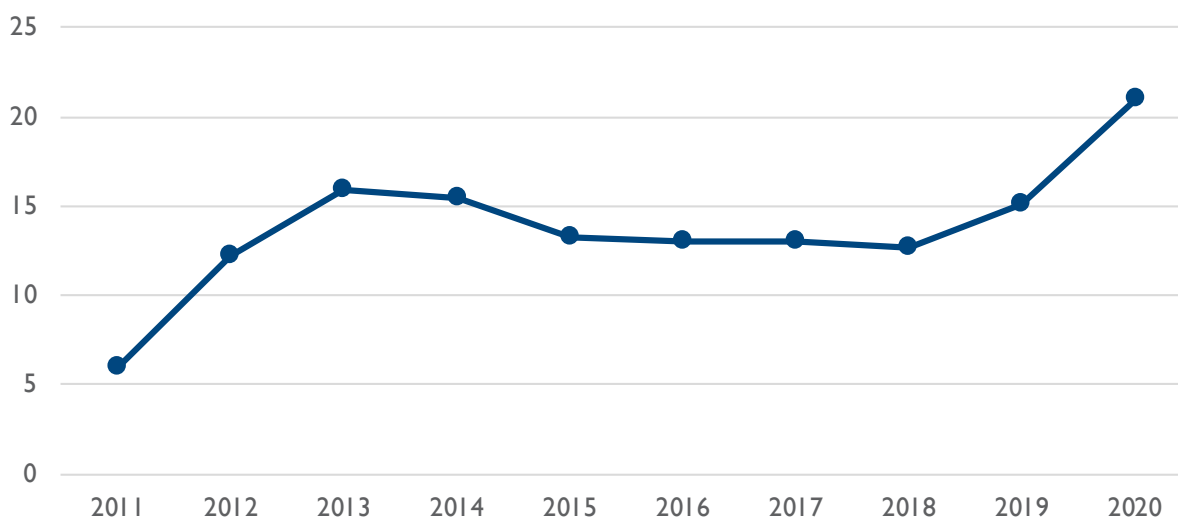
The General Fund unassigned portion of fund balance increased from \$62.6 million as of June 30, 2019 to \$91.4 million as of June 30, 2020, an increase of \$28.8 million.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

The District's solvency ratio increased from 15.1% as of June 30, 2019 to 21.0% as of June 30, 2020.

SOLVENCY RATIO BOARD RANGE



The Board established a solvency ratio minimum of 15% during fiscal year 2013. The Iowa Association of School Boards (IASB) considers a solvency ratio of 0% - 5% to be adequate for short-term credit purposes, while a ratio of 5% - 10% is within "target" or "good" and, therefore, "can handle the unexpected." The Government Finance Officers Association (GFOA) recommends at least two months of expenditures of cash on hand, which equates to approximately a 16% solvency ratio for the District. The District will continue to focus efforts on maintaining the solvency ratio to meet the 15% objective.

- **Debt:** The District's total long-term debt decreased by \$16.0 million during the current fiscal year due to continued principal payments on existing bonds. The total outstanding bond debt at the end of the fiscal year is approximately \$174.7 million, consisting solely of revenue bonds.

Overview of the Financial Statements

This Management's Discussion and Analysis is intended to serve as an introduction to the District's basic financial statements. The District's basic financial statements comprise three components: 1) district-wide financial statements, 2) fund financial statements, and 3) notes to basic financial statements. This report also contains required supplementary information in addition to the basic financial statements themselves.

Government-wide financial statements: The Government-wide financial statements are designed to provide readers with a broad overview of the District's finances, in a manner similar to a private-sector business. These statements provide both short-term and long-term information about the District's overall financial status. That is, all the current year's revenues and expenses are accounted for in the statement of activities, regardless of when the cash is received or paid.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

Over time, increases or decreases in the District's net position are an indicator of whether the financial position is improving or deteriorating, respectively. However, to assess the District's overall financial health, nonfinancial factors should also be considered, such as changes in the District's property tax base and the condition of District's school buildings.

In the Government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** These are activities primarily supported by property taxes and intergovernmental revenues such as state aid or federal funding, and expenditures are classified by function such as instruction, student services, instructional support services, general administration, building administration, business and central administration, plant operation and maintenance, student transportation, noninstructional, and interest and issuance costs on long-term debt.
- **Business-type activities:** These are supported by fees charged by the District to help cover the costs of services such as school nutrition, childcare, home construction, and automotive.

Fund financial statements: A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. These statements focus on individual parts (funds) of the District, reporting the District's operations in more detail than the Government-wide statements. Some funds are required by state law or bond covenants and some are established to control and manage money for particular purposes.

All of the funds of the District can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

- **Governmental funds:** Governmental funds are used to account for essentially the same functions reported as governmental activities in the Government-wide financial statements. These statements explain how basic services, such as regular program and special education, were financed in the short-term as well as what remains for future spending.

Both the governmental funds balance sheet and the governmental funds statement of revenues, expenditures and changes in fund balances provide a reconciliation to facilitate the comparison between governmental funds and governmental activities.

Information is presented separately in the governmental funds balance sheet and in the governmental funds statement of revenues, expenditures, and changes in fund balances for the General Fund and the Capital Projects Fund, which are considered major funds. Data from the other governmental funds are combined into a single, aggregated presentation. This aggregated information includes the Special Revenue funds of Student Activity, Management, and DMPS Expendable Trust; Capital Projects funds of Physical Plant and Equipment Levy (PPEL) and Public Education and Recreation Levy (PERL); and the Debt Service Fund.

Proprietary funds: Proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, i.e., fees are charged to cover the cost of services rendered.

These funds include activities defined as enterprise funds and internal service funds. The District's enterprise funds are all considered nonmajor and include School Nutrition, Child Care, Home Construction, and Automotive.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

The District has three internal service funds: Self-Insurance, Risk Management, and Print Shop. Because all these services predominately benefit the District's governmental activities, rather than the business-type activities, they have been included in the governmental activities in the Government-wide financial statements.

- **Fiduciary funds:** Fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee or agent for the benefit of others. Fiduciary funds are not reflected in the Government-wide financial statements, because the resources of those funds are not available to support the District's own programs. These funds include Des Moines Teachers' Retirement System (DMTRS) Pension Trust, Private Purpose Trust, and Agency.

Notes to basic financial statements: The financial statements also include notes that provide additional information that is essential to a full understanding of the data provided in the Government-wide and fund financial statements.

Major features of the Government-wide and fund financial statements:

Government-Wide Statements		Fund Financial Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	Activities that are not proprietary or fiduciary, such as instruction, administration, and building maintenance	Activities the District operates similar to private businesses such as school nutrition	Activities the District administers resources on behalf of someone else, such as scholarships
Required financial statements	Statement of Net Position	Balance Sheet	Statement of Net Position	Statement of Fiduciary Net Position
	Statement of Activities	Statement of Revenues, Expenditures and Changes in Fund Balances	Statement of Revenues, Expenses and Changes in Net Position Statement of Cash Flows	Statement of Changes in Fiduciary Net Position
Accounting basis	Accrual accounting	Modified accrual accounting	Accrual accounting	Accrual accounting
Measurement focus	Economic resources focus	Current financial focus	Economic resources focus	Economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital and short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or within specified periods after year-end of the year; expenditures when goods or services are received and liability is due and payable	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

Other information: In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the District's budget process and other postemployment benefit information. The District adopts an annual budget for all budgeted governmental funds, enterprise, and trust funds in total. A budgetary comparison schedule has been provided as required supplementary information.

Government-Wide Financial Analysis

Net position: The following table presents a summary of the District's net position for the year ended June 30, 2020 with comparison totals as of June 30, 2019.

	Governmental Activities 2020	Governmental Activities 2019	Business-Type Activities 2020	Business-Type Activities 2019	Total 2020	Total 2019
Current assets and other assets	\$ 471,545,659	\$ 442,272,461	\$ 2,965,728	\$ 4,226,589	\$ 474,511,387	\$ 446,499,050
Capital assets, net	562,285,534	549,607,061	2,183,983	2,445,207	564,469,517	552,052,268
Total assets	1,033,831,193	991,879,522	5,149,711	6,671,796	1,038,980,904	998,551,318
Deferred outflows of resources	79,242,594	81,502,392	2,061,212	2,466,960	81,303,806	83,969,352
Current liabilities	95,232,879	97,209,405	575,932	716,736	95,808,811	97,926,141
Long-term liabilities	411,318,001	431,971,223	7,590,034	8,152,172	418,908,035	440,123,395
Total liabilities	506,550,880	529,180,628	8,165,966	8,868,908	514,716,846	538,049,536
Deferred inflows of resources	225,303,304	191,792,813	1,613,756	629,379	226,917,060	192,422,192
Net position:						
Net investment in capital assets	424,580,383	459,486,214	2,183,983	2,445,207	426,764,366	461,931,421
Restricted	77,701,519	28,677,324	-	-	77,701,519	28,677,324
Unrestricted	(121,062,299)	(135,755,065)	(4,752,782)	(2,804,738)	(125,815,081)	(138,559,803)
Total net position	\$ 381,219,603	\$ 352,408,473	\$ (2,568,799)	\$ (359,531)	\$ 378,650,804	\$ 352,048,942

The District's total assets increased by \$40.4 million during the year ended June 30, 2020. The increase was primarily attributed to an increase in cash and investments balance as detailed in Note 3, as well as an increase in the property taxes receivables. The \$12.4 million increase pertaining to net investment in capital assets was primarily the result of the capitalization of school renovation and major repair projects that were completed as part of the District's renovation plans. It should be noted that the District uses these capital assets to provide educational services; consequently, these assets are not available for future spending.

Deferred outflows of resources decreased by \$2.7 million during the year ended June 30, 2020, primarily from amounts recorded for IPERS and DMTRS defined benefit pension plans as detailed in Note 9.

During the year ended June 30, 2020, the District's total liabilities decreased by \$23.3 million. The \$21.2 million decrease in long-term liabilities was primarily attributed the \$16.0 million in principal payments on existing revenue bonds.

Deferred inflows of resources increased by \$34.5 million during the year ended June 30, 2020, primarily from amounts recorded for IPERS and DMTRS defined benefit pension plans as detailed in Note 9. In addition, the succeeding year property taxes deferred inflow increased by \$11.1 million due increased property tax valuations.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

The District's total net position increased by \$26.6 million during the year ended June 30, 2020. At the end of the 2020 fiscal year, the District reported a positive balance in total net position. The same held true for the prior fiscal year.

Changes in net position: The following schedule shows the changes in net position for the year ended June 30, 2020 with comparison totals for the year ended June 30, 2019. The difference between revenues and expenditures represents the change in net position.

	Governmental Activities 2020	Governmental Activities 2019	Business-Type Activities 2020	Business-Type Activities 2019	Total 2020	Total 2019
Revenues:						
Program revenues:						
Charges for services	\$ 35,601,356	\$ 35,903,091	\$ 4,141,908	\$ 6,939,984	\$ 39,743,264	\$ 42,843,075
Operating grants and contributions	90,407,871	86,167,139	19,461,524	19,297,198	109,869,395	105,464,337
General revenues:						
Property taxes	149,124,101	145,709,812	-	-	149,124,101	145,709,812
Sales tax, capital projects	32,997,111	31,911,353	-	-	32,997,111	31,911,353
Investment earnings	4,313,176	6,185,178	-	-	4,313,176	6,185,178
State aid and other state sources	206,654,943	203,948,433	-	-	206,654,943	203,948,433
Other local sources, including gain on sale of capital assets	2,535,515	2,109,732	207,310	-	2,742,825	2,109,732
Total revenues	521,634,073	511,934,738	23,810,742	26,237,182	545,444,815	538,171,920
Expenses:						
Instruction	304,894,704	305,170,678	-	-	304,894,704	305,170,678
Support services	164,993,457	166,145,869	-	-	164,993,457	166,145,869
Noninstructional	2,567,160	936,462	-	-	2,567,160	936,462
Other expenses	20,946,619	21,265,433	25,441,013	25,734,865	46,387,632	47,000,298
Total expenses	493,401,940	493,518,442	25,441,013	25,734,865	518,842,953	519,253,307
Increase in net position before transfers	28,232,133	18,416,296	(1,630,271)	502,317	26,601,862	18,918,613
Transfers	578,997	1,112,380	(578,997)	(1,112,380)	-	-
Change in net position	28,811,130	19,528,676	(2,209,268)	(610,063)	26,601,862	18,918,613
Net position, beginning	352,408,473	332,879,797	(359,531)	250,532	352,048,942	333,130,329
Net position, (deficit) ending	\$ 381,219,603	\$ 352,408,473	\$ (2,568,799)	\$ (359,531)	\$ 378,650,804	\$ 352,048,942

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

- The main revenue sources of general revenues for fiscal year 2020 were state aid and other state sources, property taxes, and sales taxes, which account for 71.3% of total revenue.
- The District's expenses primarily relate to instruction and support services which account for 90.6% of the total expenses for fiscal year 2020.
- Overall, the District had an increase in net position of \$26.6 million in fiscal year 2020. The change in net position was an increase \$18.9 million in fiscal year 2019.
- Governmental activities increased the net position by \$28.8 million, which is 108.3% of the total increase in net position for fiscal year 2020. The change was primarily the result of an increase in revenues and reduction in expenditures to ensure we maintained compliance with the District's spending authority requirements.

Governmental Activities

- State foundation aid and other state sources, property taxes, and sales taxes are the primary sources of general revenue for the District, 39.6%, 28.6%, and 6.3%, respectively, of total governmental activities revenues for fiscal year 2020 compared to 39.8%, 28.5%, and 6.2%, respectively, for fiscal year 2019. Overall, revenue increased 1.9% primarily due to an increase in state supplemental aid revenue and property tax revenue. Instruction constitutes the largest portion of expenditures at \$304.9 million, representing 61.8% of governmental activities expenses. The District offers a wide array of programs including general and special education, vocational, and college preparatory classes.
- The noninstructional and other expenses of the District accounted for 4.8% of total costs.

Net Cost: The following table presents the total and net cost of the District's major governmental activities including instruction, other support services, noninstructional programs, and other expenses for fiscal year 2020, with comparative totals for fiscal year 2019:

	2020		2019	
	Total Expenses	Net (Expense) Revenue	Total Expenses	Net (Expense) Revenue
Instruction	\$ 304,894,704	\$ (202,275,143)	\$ 305,170,678	\$ (208,914,904)
Other support services	164,993,457	(157,303,803)	166,145,869	(155,366,467)
Noninstructional programs	2,567,160	(1,975,878)	936,462	(816,406)
Other expenses	20,946,619	(5,837,889)	21,265,433	(6,350,435)
Total expenses	\$ 493,401,940	\$ (367,392,713)	\$ 493,518,442	\$ (371,448,212)

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

Net cost of governmental activities was financed by general revenues, which are made up of primarily property taxes and state aid. Federal and state governments and charges for services subsidized certain programs with federal funds, grants and contributions, and other local revenues of \$126.0 million, representing 25.5% of total governmental activities expenses.

Business-Type Activities – Change in Net Position:

- The School Nutrition and Child Care funds constitute most of the District's business-type activities.
- The School Nutrition Fund's primary sources of revenue are federal revenue and student fees and the primary expenses are staff and commodities. The District's free and reduced participation increased, as did the District's participation in the federal Community Eligibility Provision (CEP). Eight schools were added to the program, bringing the total CEP sites to 54 out of 61 sites. This increased the amount of federal revenue, while the amount of student fees decreased. In addition, due to the COVID-19 pandemic, the District went to a virtual school model beginning in mid-March 2020 through the end of the fiscal year, which further decreased the student fee revenue and impacted the federal revenue. The School Nutrition Fund had a decrease in net position of \$1.5 million for fiscal year 2020.
- The primary source of revenue for the Child Care Fund is childcare fees and the primary expense is staff. Due to COVID-19, the District ceased providing childcare service from mid-March 2020 through the end of the fiscal year which decreased the amount of childcare fee revenue. As most of the childcare staff in on annual contract there was not a corresponding reduction in childcare staff expense. The Child Care Fund had a decrease in net position of \$0.9 million for fiscal year 2020.

Financial Analysis of the District's Funds

Governmental Funds Highlights

General Fund:

- The General Fund is the principal operating fund of the District. The increase in fund balance in the General Fund for the fiscal year was \$28.3 million. The District's solvency ratio increased to 21.0% primarily as result of an increase in revenues and reduction in expenditures to ensure we maintained compliance with the District's spending authority requirements.
- The increase in General Fund revenues of 2.2% in fiscal year 2020 compared to fiscal year 2019 was primarily due to an increase in state foundation aid of 1.3%, property taxes of 1.1%, federal funding of 7.7%, and other local sources of 3.5%.
- The decrease in General Fund expenditures of 1.7% in fiscal year 2020 compared to fiscal year 2019 was primarily due to reductions of personnel and overall expenditures to ensure we maintained compliance with the District's spending authority requirements.

Capital Projects Fund:

- The Capital Projects Fund has a total fund balance of \$91.5 million as of June 30, 2020 and \$105.3 million as of June 30, 2019. The net decrease in the Capital Projects Fund for the fiscal year was due to continued principal payments on existing bonds. In May 2019, House File 546 was signed into law, which extended the Secure an Advanced Vision for Education (SAVE) program through 2050. The District will continue to evaluate the pragmatism of issuing additional revenue bonds.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

Business-Type Activities – Proprietary Fund Highlights

There are no major enterprise funds. The School Nutrition Fund represents 78.3% of the expenses of total enterprise funds. The District's percent of students eligible for free and reduced meals increased from fiscal year 2018 (74%) to 2019 (76%). The number of schools served through the CEP program increased again this year. The CEP program enables the District to serve meals at no cost to the students for the entire attendance area (school). As such there was a decrease in operating revenues from meal charges to students as more schools shifted to the CEP.

Budgetary Highlights

In accordance with state law, the Board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with accounting principles generally accepted in the United States of America. As is the District's practice, the District modified its adopted budget once during fiscal year 2020.

- This fiscal year, expenditures (including transfers) for all funds by major function were less than anticipated, at \$16.2 million less than the adopted budget.
- The District's General Fund, its principal operating fund, continues to remain financially solvent.
- For fiscal year 2020, the District received 101.2% of budgeted General Fund revenues, property taxes, state revenues, federal revenues, and other revenues were above budget. Overall, General Fund revenue increased 2.2% over the prior fiscal year.
- During fiscal year 2020, the District spent 99.9% of budgeted General Fund expenditures based on the final budget. General Fund expenditures decreased from the prior year due to planned reductions of personnel and overall expenditures to ensure we maintained compliance with the District's spending authority requirements.
- At the end of fiscal year 2020, the projected unspent authorized budget (spending authority) ratio for the General Fund is projected to be 5.2%, an increase when compared to 2.3% at the end of fiscal year 2019. After making significant expenditure reductions in fiscal year 2019 and for fiscal year 2020, the unspent spending authority ratio is projected to increase in fiscal year 2021.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

Capital Assets and Debt Administration

Capital Assets: As of June 30, 2020, the District had invested \$564.5 million in capital assets, including school buildings, athletic facilities, buses and other vehicles, computers, and other equipment. This amount represents a net increase of \$12.4 million from last year, primarily due to the accelerated spending on the District's school renovation plan because of proceeds from revenue bonds:

- Series 2010 SAVE Revenue Bonds: \$70.0 million
- Series 2012 SAVE Revenue Bonds: \$71.9 million
- Series 2013 SAVE Revenue Bonds: \$8.8 million
- Series 2014 SAVE Revenue Bonds: \$61.9 million
- Series 2018 SAVE Revenue Bonds: \$56.2 million

The Series 2010 SAVE Revenue Bonds were refunded with \$53.7 million in revenue bonds in fiscal year 2016 (Series 2016 SAVE Revenue Bonds).

The following schedule presents capital asset balances, net of accumulated depreciation, for the fiscal year ended June 30, 2020, compared with balances as of June 30, 2019:

	Governmental Activities 2020	Governmental Activities 2019	Business-Type Activities 2020	Business-Type Activities 2019	Total 2020	Total 2019
Land	\$ 4,963,615	\$ 4,963,615	\$ -	\$ -	\$ 4,963,615	\$ 4,963,615
Construction-in-progress	59,994,855	36,015,506	198,057	192,862	60,192,912	36,208,368
Land improvements	1,377,949	1,579,244	-	-	1,377,949	1,579,244
Buildings and improvements	485,828,006	496,455,880	-	-	485,828,006	496,455,880
Vehicles, furniture and equipment	10,121,109	10,592,816	1,985,926	2,252,345	12,107,035	12,845,161
Total	\$ 562,285,534	\$ 549,607,061	\$ 2,183,983	\$ 2,445,207	\$ 564,469,517	\$ 552,052,268

Additional information on the District's capital assets can be found in Note 5 to the Basic Financial Statements.

Debt Administration: As of June 30, 2020, the District had \$174.7 million in bonds outstanding, of which \$16.0 million is due within one year. The following table presents a summary of the District's outstanding long-term debt for the year ended June 30, 2020, with comparative information as of June 30, 2019:

	2020	2019
Sales tax revenue bonds	\$ 174,670,000	\$ 190,685,000

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

State statutes currently limit the amount of debt a district may issue to five percent of its total assessed valuation. The District's debt limitation for fiscal year 2020 was \$714.0 million, which is substantially more than the District's outstanding debt.

Additional information about the District's debt can be found in Note 6 to the basic financial statements.

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of the following existing circumstances that could affect its financial health in the future:

- District enrollment decreased slightly from October 2018 to October 2019 by approximately 0.6%, thus remaining stable overall. The enrollment in October 2019 multiplied by the district cost per student determines the amount of state foundation aid the District will receive for fiscal year 2021 from a combination of state aid and property taxes. The cost per student from year to year increases by a factor known as state supplemental aid. Normally, state supplemental aid is set by the legislature two years prior to the year it will affect the cost per student. The state supplemental aid rate for fiscal year 2020 was 2.06%, state supplemental aid rate for fiscal year 2021 is 2.30%.
- Due to COVID-19, the District experienced a significant enrollment decrease of nearly 1,000 students for school year 2020-2021. This is the largest single decrease the District has experienced in decades. It is unknown how many students will re-enroll in the District in 2021-22. This will impact the District in fiscal year 2022 and potentially for years beyond. Enrollment per modeling done by the Iowa Department of Education is projected to remain stable or increase slightly in future years. However, even assuming all students re-enroll in 2021-2022, the District is projecting stable or slight decreases in enrollment in future years using alternative modeling techniques. This trend has been observed nationally. It is very difficult to ascertain as to how many students will come back as this is uncharted territory. The reduction has been significant in elementary schools with most reduction in prekindergarten and kindergarten.

COVID-19 has impacted the District in more than just enrollment. Significant unplanned expenses have been incurred, for example the purchase of hot spots, increased technology needs, development of online curriculum, purchase of personal protective equipment, and increased cleaning expenses. There has been a tremendous shortage of substitute teachers, which has resulted in an increased cost to incentivize subs to work in the District. There has been a drastic reduction in daily meal count, which impacts the School Nutrition Fund. There has also been significant reduction in the number of students signing up for childcare programs both after school and full daycare. The District does not currently know the total cost to be in compliance with the State on day count, given the decision to conduct school on-line versus in person. Finally, COVID-19 has had an enormous impact on the economy, causing the United States to experience another economic recession, the full impact of which remains to be seen. The positive news, based on the Revenue Estimating Conference (REC) in October of 2020, is the State has an overall surplus due to the State financial condition prior to COVID-19. While it is unknown the impact that COVID 19 will have on the overall economy, the significant enrollment decrease means it is likely that the District will seeking the Budget Guarantee. The Budget Guarantee allows for a budget equal to 101% of the previous year's regular program budget, and it is funded completely by property tax. This would provide the District additional funding as well as additional spending authority.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2020

- The statewide penny sales (SWP) tax was implemented in the District on July 1, 2010. The District's SWP tax revenue for each fiscal year is calculated by multiplying the certified enrollment by the statewide average tax revenue per student. The statewide average is calculated by dividing the total statewide penny sales tax revenue by the statewide enrollment. For fiscal year 2020, total statewide penny sales tax revenue was projected to be \$514.7 million while statewide enrollment increased to 485,853, producing a statewide average tax revenue per student of \$1,059 for fiscal year 2020. The Iowa Department of Management anticipates the statewide average will decrease approximately 3.8% for fiscal year 2021.
- The state controls the maximum amount each district can spend each year through the spending authority function. Under the spending authority control, it is illegal for a school district to exceed its maximum authorized budget (to reach the maximum budget authority level, the Board would have to authorize and levy additional property taxes). It is important to understand that the limit on spending is the amount of spending authority a district has, not the amount of cash or fund balance a district has. The District's total spending authority includes the current-year authorized budget *plus* the unspent authorized budget from the prior year (e.g., the amount of money that a district was authorized to spend in a fiscal year but did not, similar to "savings").

Spending authority is directly tied to student enrollment, and there are only three general means by which the District's spending authority can increase: (1) increased State Supplemental Aid (i.e., Allowable Growth), (2) increased enrollment, or (3) increased miscellaneous income. The District does not anticipate significant growth in any of those three areas.

The unspent spending authority ratio is a measure of the District's unbudgeted authorized spending capacity (not cash reserves) and is defined as a district's unspent spending authority divided by the district's maximum budget authority. The Iowa Association of School Boards (IASB) recommends this ratio be in the target range of 10% - 20%. The Board adopted guidelines in fiscal year 2012 setting the target for the District's unspent spending authority ratio at 10%; in 2015 the Board raised this target to 15%. The unspent spending authority ratio for fiscal year 2019 was 2.3% and 5.2% for fiscal year 2020. It is projected the unspent spending authority for fiscal year 2021 will continue to increase.

- The District ranks as the largest school district in the State. While the economic condition and outlook continue to improve since the economic decline of 2009, it remains to be seen how the current pandemic will affect the District long-term. Retail sales, building permits, and population increases in Des Moines and the metro area exceed most state and national trends. The District's tax base continues to grow at an average rate of over 1.6% per year over the past 10 years. This steady growth will allow the District to carefully plan the District's infrastructure needs in the most fiscally responsible manner possible.

Contacting the District's Financial Management

This financial report is designed to provide our citizens, taxpayers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the resources it receives. If you have questions about this report or need additional information, please contact:

Shashank Aurora, CPA
Chief Financial Officer
Des Moines Independent Community School District
Office of Business and Finance
515-242-7635
2100 Fleur Drive
Des Moines, Iowa 50321

Des Moines Independent Community School District

**Statement of Net Position
June 30, 2020**

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash and investments	\$ 193,692,259	\$ 614,600	\$ 194,306,859
Cash held with agent	21,292,065	-	21,292,065
Property taxes receivable—current year	1,279,793	-	1,279,793
Property taxes receivable—succeeding year	156,895,772	-	156,895,772
Interest receivable	2,088,001	-	2,088,001
Other receivables, net	2,025,005	659,825	2,684,830
Due from other governments	19,688,074	775,132	20,463,206
Inventories	1,318,886	903,938	2,222,824
Prepaid expenses	2,130,094	2,733	2,132,827
Assets held for sale	-	9,500	9,500
Total current assets	400,409,949	2,965,728	403,375,677
Noncurrent assets			
Restricted cash and investments	71,135,710	-	71,135,710
Capital assets:			
Capital assets—nondepreciable	64,958,470	198,057	65,156,527
Capital assets—depreciable, net	497,327,064	1,985,926	499,312,990
Total capital assets	562,285,534	2,183,983	564,469,517
Total noncurrent assets	633,421,244	2,183,983	635,605,227
Total assets	1,033,831,193	5,149,711	1,038,980,904
Deferred Outflows of Resources			
Deferred charge on refunding	978,811	-	978,811
Pension related amounts	78,263,783	2,061,212	80,324,995
Total deferred outflow of resources	79,242,594	2,061,212	81,303,806

See notes to basic financial statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	\$ 9,744,724	\$ 115,490	\$ 9,860,214
Claims payable	11,056,379	-	11,056,379
Accrued payroll	24,127,183	70,579	24,197,762
Accrued interest payable	538,487	-	538,487
Other current liabilities	14,184,512	-	14,184,512
Due to other governments	14,518,665	-	14,518,665
Unearned revenue	97,323	234,955	332,278
Compensated absences	3,630,585	154,908	3,785,493
Termination benefits	680,021	-	680,021
Revenue bonds	16,655,000	-	16,655,000
Total current liabilities	95,232,879	575,932	95,808,811
Noncurrent liabilities:			
Retrospective insurance rating plan	819,761	-	819,761
Compensated absences	1,636,739	331,638	1,968,377
Termination benefits	274,178	-	274,178
Other postemployment benefits	48,332,108	-	48,332,108
Revenue bonds, net of bond premiums	164,441,358	-	164,441,358
Pollution remediation liability	97,095	-	97,095
Net pension liability	195,716,762	7,258,396	202,975,158
Total noncurrent liabilities	411,318,001	7,590,034	418,908,035
Total liabilities	506,550,880	8,165,966	514,716,846
Deferred Inflows of Resources			
Property taxes—succeeding year	156,895,772	-	156,895,772
Pension related amounts	38,840,073	1,613,756	40,453,829
OPEB related amounts	29,567,459	-	29,567,459
Total deferred inflows of resources	225,303,304	1,613,756	226,917,060
Net Position (deficit)			
Net investment in capital assets	424,580,383	2,183,983	426,764,366
Restricted for:			
DMPS expendable trust	2,166,497	-	2,166,497
Capital projects	47,108,360	-	47,108,360
Categorical funding	14,968,048	-	14,968,048
Shared programs	1,661,684	-	1,661,684
Grants	958,588	-	958,588
Management Levy	4,538,321	-	4,538,321
Physical plant and equipment levy	3,863,960	-	3,863,960
Public education and recreation levy	1,207,495	-	1,207,495
Student activities	1,228,566	-	1,228,566
Unrestricted (deficit)	(121,062,299)	(4,752,782)	(125,815,081)
Total net position (deficit)	\$ 381,219,603	\$ (2,568,799)	\$ 378,650,804

Des Moines Independent Community School District

Statement of Activities Year Ended June 30, 2020

Functions/Programs	Expenses	Program Revenues		Net (Expense)
		Charges for Services	Operating Grants and Contributions	
				Governmental Activities
Primary Government				
Governmental activities:				
Instruction	\$ 304,894,704	\$ 20,176,931	\$ 82,442,630	\$ (202,275,143)
Student services	29,597,270	-	3,810,770	(25,786,500)
Instructional support services	22,014,167	-	3,165,667	(18,848,500)
General administration	9,937,242	-	-	(9,937,242)
Building administration	26,198,838	-	-	(26,198,838)
Business and central administration	18,523,911	-	-	(18,523,911)
Plant operation and maintenance	44,204,184	-	-	(44,204,184)
Student transportation	14,517,845	304,325	408,892	(13,804,628)
Noninstructional	2,567,160	11,370	579,912	(1,975,878)
AEA support	15,108,730	15,108,730	-	-
Interest and issuance costs on long-term debt	5,837,889	-	-	(5,837,889)
Total governmental activities	493,401,940	35,601,356	90,407,871	(367,392,713)
Business-type activities:				
School nutrition	20,630,266	915,037	19,461,524	-
Child care	4,774,139	3,204,779	-	-
Home construction	3,761	-	-	-
Automotive	32,847	22,092	-	-
Total business-type activities	25,441,013	4,141,908	19,461,524	-
Total primary government	\$ 518,842,953	\$ 39,743,264	\$ 109,869,395	(367,392,713)
General revenues:				
Property taxes:				
Levied for general purposes				125,443,707
Levied for management				14,210,347
Levied for property, plant and equipment				8,404,254
Levied for playground				1,065,792
Sales tax, for capital projects				32,997,111
State foundation aid, for general purposes				206,654,943
Investment earnings				4,313,176
Other local sources, including gain on sale of capital assets				2,535,516
Transfers				578,997
Total general revenues and transfers				396,203,843
Changes in net position				28,811,130
Net position (deficit), beginning of year				352,408,473
Net position (deficit), end of year				\$ 381,219,603

See notes to basic financial statements.

Revenue and Changes in Net Position

Business-Type		
Activities		Totals
\$	-	\$ (202,275,143)
	-	(25,786,500)
	-	(18,848,500)
	-	(9,937,242)
	-	(26,198,838)
	-	(18,523,911)
	-	(44,204,184)
	-	(13,804,628)
	-	(1,975,878)
	-	-
	-	(5,837,889)
	-	(367,392,713)
	(253,705)	(253,705)
	(1,569,360)	(1,569,360)
	(3,761)	(3,761)
	(10,755)	(10,755)
	(1,837,581)	(1,837,581)
	(1,837,581)	(369,230,294)
	-	125,443,707
	-	14,210,347
	-	8,404,254
	-	1,065,792
	-	32,997,111
	-	206,654,943
	-	4,313,176
	207,310	2,742,826
	(578,997)	-
	(371,687)	395,832,156
	(2,209,268)	26,601,862
	(359,531)	352,048,942
\$	(2,568,799)	\$ 378,650,804

Des Moines Independent Community School District

Balance Sheet Governmental Funds June 30, 2020

	General	Capital Projects	Nonmajor Governmental Funds	Total Governmental Funds
Assets				
Cash and investments	\$ 152,269,706	\$ -	\$ 15,486,216	\$ 167,755,922
Restricted cash and investments	-	70,043,918	1,091,792	71,135,710
Cash held with agent	-	21,292,065	-	21,292,065
Property taxes receivable—current year	1,076,248	-	203,545	1,279,793
Property taxes receivable—succeeding year	119,978,971	-	36,916,801	156,895,772
Interest receivable	2,088,001	-	-	2,088,001
Other receivables	1,696,891	274,391	7,294	1,978,576
Due from other governments	15,980,001	3,708,073	-	19,688,074
Inventories	1,242,547	-	57	1,242,604
Due from other funds	8,675,576	-	82,586	8,758,162
Prepaid items	944,717	-	1,185,377	2,130,094
Total assets	\$ 303,952,658	\$ 95,318,447	\$ 54,973,668	\$ 454,244,773
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Accounts payable	\$ 5,413,279	\$ 1,824,913	\$ 2,354,799	\$ 9,592,991
Accrued payroll	23,947,183	-	17,823	23,965,006
Termination benefits	-	-	463,049	463,049
Other current liabilities	12,943,334	1,116,471	124,364	14,184,169
Due to other governments	14,067,582	-	4,212	14,071,794
Compensated absences	225,978	-	-	225,978
Due to other funds	-	-	82,586	82,586
Total liabilities	56,597,356	2,941,384	3,046,833	62,585,573
Deferred inflows of resources:				
Succeeding year—property taxes	119,978,971	-	36,916,801	156,895,772
Unavailable revenue—sales tax	-	846,080	-	846,080
Unavailable revenue—intergovernmental	2,316,304	-	-	2,316,304
Total deferred inflows of resources	122,295,275	846,080	36,916,801	160,058,156
Fund balances:				
Nonspendable	2,187,264	-	1,185,434	3,372,698
Restricted	17,588,320	91,530,983	13,824,600	122,943,903
Committed	11,500,000	-	-	11,500,000
Assigned	2,374,122	-	-	2,374,122
Unassigned	91,410,321	-	-	91,410,321
Total fund balances	125,060,027	91,530,983	15,010,034	231,601,044
Total liabilities, deferred inflows of resources and fund balances	\$ 303,952,658	\$ 95,318,447	\$ 54,973,668	\$ 454,244,773

See notes to basic financial statements.

Des Moines Independent Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities

June 30, 2020

Total governmental fund balances	\$	231,601,044
Amount reported for governmental activities in the statement of net position are different because:		
Capital assets, net of accumulated depreciation, used in governmental activities are not financial resources and, therefore, are not reported in the funds:		
Land	\$	4,963,615
Construction-in-progress		59,994,855
Land improvements		9,868,310
Buildings and improvements		675,571,021
Vehicles, furniture and equipment		30,085,781
Accumulated depreciation		(218,227,948)
		562,255,634
Other long-term assets are not available to pay for current-period expenditures and, therefore, reported as deferred inflows of resources—unavailable revenue, in the governmental funds.		
		3,162,384
Internal service funds are used by management to charge the costs of certain activities, such as self-insurance benefits for employees and print shop services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position.		
		11,146,440
Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:		
Deferred outflows of resources—IPERS		45,679,228
Deferred outflows of resources—DMTRS		32,584,555
Deferred inflows of resources—IPERS		(30,289,043)
Deferred inflows of resources—DMTRS		(8,551,030)
Deferred inflows of resources—OPEB		(29,567,459)
		9,856,251
Certain assets and liabilities, including bonds and notes payable, are not due and payable in the current period and, therefore, are not reported as assets or liabilities in the funds. These assets and liabilities at year-end consist of:		
Net pension liability—DMTRS		(17,783,280)
Net pension liability—IPERS		(177,933,482)
Compensated absences		(5,023,590)
Sales tax revenue bonds		(174,670,000)
Bond premiums		(6,426,358)
Accrued interest payable		(538,487)
Deferred charge on refunding		978,811
Claims payable for workers' compensation		(5,665,650)
Retrospective insurance rating plan		(819,761)
Other postemployment benefits		(48,332,108)
Pollution remediation liability		(97,095)
Termination benefits		(491,150)
		(436,802,150)
Net position of governmental activities	\$	381,219,603

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances Governmental Funds Year Ended June 30, 2020

	General	Capital Projects	Nonmajor Governmental Funds	Total Governmental Funds
Revenues:				
Property taxes	\$ 125,443,707	\$ -	\$ 23,666,218	\$ 149,109,925
Other local sources	25,929,534	-	794,930	26,724,464
Sales tax, for capital projects	-	33,985,178	-	33,985,178
Investment earnings (loss)	3,670,173	1,017,189	(374,186)	4,313,176
Intermediate sources	749,892	-	-	749,892
State foundation aid	206,654,943	-	-	206,654,943
Other state sources	59,227,939	-	-	59,227,939
Federal sources	38,615,413	-	-	38,615,413
Student activities	35,836	-	1,591,965	1,627,801
Total revenues	460,327,437	35,002,367	25,678,927	521,008,731
Expenditures:				
Current:				
Instruction	268,288,503	-	5,571,454	273,859,957
Student services	29,271,585	-	176,735	29,448,320
Instructional support services	21,970,960	-	19,338	21,990,298
General administration	7,863,867	-	2,053,411	9,917,278
Building administration	25,869,190	-	53,700	25,922,890
Business and central administration	16,139,740	-	284,105	16,423,845
Plant operation and maintenance	37,161,833	-	5,252,088	42,413,921
Student transportation	9,820,005	-	3,073,522	12,893,527
Noninstructional	1,247,165	-	767,313	2,014,478
AEA support	15,108,730	-	-	15,108,730
Capital outlay	-	25,752,703	5,431,159	31,183,862
Debt service:				
Principal retirement	-	-	16,015,000	16,015,000
Interest	-	-	6,980,050	6,980,050
Total expenditures	432,741,578	25,752,703	45,677,875	504,172,156
Excess (deficiency) of revenues over expenditures	27,585,859	9,249,664	(19,998,948)	16,836,575
Other financing sources (uses):				
Proceeds from sale of capital assets	109,531	-	-	109,531
Transfers in	1,273,670	-	22,995,050	24,268,720
Transfers out	(694,673)	(22,995,050)	-	(23,689,723)
Total other financing sources (uses)	688,528	(22,995,050)	22,995,050	688,528
Net change in fund balances	28,274,387	(13,745,386)	2,996,102	17,525,103
Fund balances, beginning of year	96,785,640	105,276,369	12,013,932	214,075,941
Fund balances, end of year	\$ 125,060,027	\$ 91,530,983	\$ 15,010,034	\$ 231,601,044

See notes to basic financial statements.

Des Moines Independent Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2020

Net change in fund balances—total governmental funds	\$	17,525,103
--	----	------------

Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense. This is the amount by which capital outlay exceeded depreciation in the current period and other transactions involving capital assets:

Capital outlay	\$	27,414,818	
Depreciation expense		(14,686,270)	
Proceeds from sale of capital assets		(109,531)	
Gain on sale of capital assets		<u>47,808</u>	12,666,825

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, which represents the change in deferred inflows of resources—unavailable revenue.	1,972,084
--	-----------

The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of the governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of bond premiums, whereas this amount is reported as a liability and amortized in the statement of activities:

Repayment of bond principal	16,015,000	
Amortization of bond premiums	1,370,932	
Deferred amount on refunding amortization	<u>(236,608)</u>	17,149,324

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:

Increase in compensated absences	(1,390,762)	
Decrease in retrospective insurance rating plan	8,007	
Decrease in accrued interest expense	7,837	
Increase in claims payable for workers' compensation	(856,150)	
Increase in pollution remediation liability	(5,890)	
Pension expense	(17,987,061)	
OPEB expense	(3,054,286)	
Decrease in termination benefits	<u>804,840</u>	(22,473,465)

Internal service funds are used by management to charge the costs of certain activities, such as self insurance benefits for employees and print shop services, to individual funds. The change in net position in the internal service funds is reported with governmental activities in the statement of activities.

1,971,259

Change in net position of governmental activities

\$ 28,811,130

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Net Position
Proprietary Funds
June 30, 2020**

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Assets		
Current assets:		
Cash and cash equivalents	\$ 614,600	\$ 25,936,337
Other receivables, net	659,825	46,429
Due from other governments	775,132	-
Inventories	903,938	76,282
Prepaid expenses	2,733	-
Assets held for sale	9,500	-
Total current assets	2,965,728	26,059,048
Noncurrent assets:		
Capital assets:		
Nondepreciable	198,057	-
Depreciable, net	1,985,926	29,900
Total noncurrent assets	2,183,983	29,900
Total assets	5,149,711	26,088,948
Deferred Outflow of Resources , pension related amounts	2,061,212	-
Liabilities		
Current liabilities:		
Accounts payable	115,490	151,733
Claims payable	-	5,390,729
Accrued payroll	70,579	162,177
Due to other governments	-	446,871
Unearned revenue	234,955	97,323
Compensated absences	154,908	11,172
Due to other funds	-	8,675,576
Other	-	343
Total current liabilities	575,932	14,935,924
Noncurrent liabilities:		
Compensated absences	331,638	6,584
Net pension liability	7,258,396	-
Total noncurrent liabilities	7,590,034	6,584
Total liabilities	8,165,966	14,942,508
Deferred Inflow of Resources , pension related amounts	1,613,756	-
Net Position (Deficit)		
Investment in capital assets	2,183,983	29,900
Unrestricted	(4,752,782)	11,116,540
Total net position (deficit)	\$ (2,568,799)	\$ 11,146,440

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2020**

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Operating revenues:		
Student activities	\$ 22,092	\$ -
Charges for services:		
Employee benefits	-	66,561,873
Sale of food	833,949	-
Child care	3,204,779	-
Miscellaneous	-	1,318,186
Total operating revenues	4,060,820	67,880,059
Operating expenses:		
Student services	20,321,976	-
Depreciation	341,137	2,242
Community services	4,777,900	-
Claims and related costs	-	64,598,752
Miscellaneous	-	1,307,806
Total operating expenses	25,441,013	65,908,800
Operating income (loss)	(21,380,193)	1,971,259
Nonoperating revenues (expenses):		
Other local sources	81,088	-
State sources	174,058	-
Federal sources	19,287,466	-
Gain on sale of assets	207,310	-
Total nonoperating revenues	19,749,922	-
Income before transfers	(1,630,271)	1,971,259
Transfers out	(578,997)	-
Change in net position	(2,209,268)	1,971,259
Total net position (deficit), beginning of year	(359,531)	9,175,181
Total net position (deficit), end of year	\$ (2,568,799)	\$ 11,146,440

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Cash Flows Proprietary Funds Year Ended June 30, 2020

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Cash flows from operating activities:		
Cash received from user charges	\$ 5,007,190	\$ 67,897,103
Cash payments to employees for services	(13,983,707)	6,881
Cash payments to suppliers for goods and services	(9,250,922)	(66,620,725)
Net cash provided by (used in) operating activities	(18,227,439)	1,283,259
Cash flows from noncapital financing activities:		
Payments from other funds	121,775	128,767
Payments to other funds	(121,774)	(13,890)
Grants and donations received	17,603,355	-
Transfers in	(1,273,670)	-
Transfers out	694,673	-
Net cash provided by noncapital financing activities	17,024,359	114,877
Cash flows from capital and related financing activities:		
Proceeds from sale of capital assets	212,172	-
Acquisition of capital assets	(84,775)	-
Net cash provided by capital and related financing activities	127,397	-
Net increase (decrease) in cash and cash equivalents	(1,075,683)	1,398,136
Cash and cash equivalents, beginning of year	1,690,283	24,538,201
Cash and cash equivalents, end of year	\$ 614,600	\$ 25,936,337
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:		
Operating income (loss)	\$ (21,380,193)	\$ 1,971,259
Adjustments to reconcile operating loss to net cash used in operating activities:		
Depreciation	341,137	2,242
Commodities used	1,423,645	-
Changes in assets and liabilities:		
Receivables	891,966	(42,060)
Inventories	(188,934)	(4,344)
Prepaid items	(2,245)	46,277
Accounts payable and due to other governments	(40,036)	207,589
Claims payable	-	(926,184)
Unearned revenue	54,404	17,044
Accrued liabilities and compensated absences	148,303	11,436
Net pension liability	(865,614)	-
Deferred outflows of resources	405,751	-
Deferred inflows of resources	984,377	-
Net cash provided by (used in) operating activities	\$ (18,227,439)	\$ 1,283,259
Noncash items, noncapital financing activities, commodities received from the U.S. Department of Agriculture	\$ 1,423,645	\$ -

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Fiduciary Net Position
Fiduciary and Agency Funds
June 30, 2020**

	Pension Trust	Private Purpose Trust	Agency Faculty and Staff
Assets			
Cash and cash equivalents	\$ -	\$ 2,375,861	\$ 133,814
Investments:			
Money market mutual funds and certificates of deposit	18,955,220	-	-
U.S. government and agency securities	5,013,990	-	-
Corporate equities	40,284,767	-	-
Mortgage-backed securities	17,429,967	-	-
Corporate obligations	97,165,163	-	-
Preferred stock	834,800	-	-
Municipal bonds	44,314,139	-	-
Other fixed income	7,605,927	-	-
Interest receivable	1,875,622	-	-
Total assets	<u>233,479,595</u>	<u>2,375,861</u>	<u>\$ 133,814</u>
Liabilities			
Accounts payable	19,997	-	\$ 3,373
Due to other entities	-	-	130,441
Total liabilities	<u>19,997</u>	<u>-</u>	<u>\$ 133,814</u>
Net Position Restricted			
Employees' pension benefits	233,459,598	-	
Scholarships	-	2,375,861	
Total net position restricted	<u>\$ 233,459,598</u>	<u>\$ 2,375,861</u>	

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Changes in Fiduciary Net Position
Fiduciary Funds
Year Ended June 30, 2020**

	Pension Trust	Private Purpose Trust
Additions:		
Contributions:		
Employer	\$ 1,389,411	\$ -
Employee	1,123,044	-
Private sources	-	1,403,139
Total contributions	2,512,455	1,403,139
Investment earnings:		
Net increase in fair value of investments	3,511,312	-
Interest	7,108,443	17,089
Dividends	1,608,447	-
Total investment earnings	12,228,202	17,089
Less investment expense	175,200	-
Net investment earnings	12,053,002	17,089
Total additions	14,565,457	1,420,228
Deductions:		
Benefit payments	18,641,113	-
Scholarship awarded	-	160,805
Administrative costs	142,203	-
Total deductions	18,783,316	160,805
Change in net position	(4,217,859)	1,259,423
Net position, beginning of year	237,677,457	1,116,438
Net position, end of year	\$ 233,459,598	\$ 2,375,861

See notes to basic financial statements.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

The financial statements of the Des Moines Independent Community School District (the District) have been prepared in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) as applied to government units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles.

Nature of operations: The Board of Education (the Board) is organized under the Iowa Code. Management of the District is independent of other state or local governments. The County Treasurers collects taxes for the District, but exercises no control over its expenditures.

The membership of the Board consists of seven members elected by the public. Under existing statutes, the Board's duties and powers include, but are not limited to, the acquisition, maintenance and disposition of school property; the development and adoption of a school program; and the establishment, organization and operation of schools.

The Board also has broad financial responsibilities, including the approval of the annual budget, and the establishment of a system of accounting and budgetary controls. The District's major operations include education, pupil transportation, construction and maintenance of District facilities and food service.

Reporting entity: The District is a primary government that has a separately elected governing body, is legally separate and is fiscally independent of other state or local governments. The financial statements of the District include all District operations required to be included in accordance with GASB pronouncements concerning the reporting entity. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The GASB has set forth criteria to be considered in determining financial accountability. These criteria are: a) appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District; and b) fiscal dependency. In addition, GASB Standards, set forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units, or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the District and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. The District evaluated certain alumni foundations, parent-teacher associations (PTAs), booster clubs and parent-teacher organizations (PTOs) and determined that each of those entities are not significant to the District as a whole. Therefore, the District has no component units which meet the GASB criteria that should be included in these basic financial statements.

Significant accounting policies:

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets and deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not required to be included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the Government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental fund types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets plus deferred outflows of resources and liabilities plus deferred inflows of resources is reported as fund balance. The following is the District's major governmental funds:

General Fund: The General Fund is used to account for and report all financial resources not accounted for and reported in another fund.

Capital Projects Fund: The Capital Projects Fund accounts for all revenues and expenditures generated through the collection of local option sales tax and expenditures for capital outlays, including the acquisition or construction of capital facilities and other capital assets not covered by the PPEL and PERL funds. The cash restricted in this fund is for the purpose of future capital outlay expenditures.

The other governmental funds of the District are considered nonmajor and are as follows:

Special revenue funds: Account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Student Activity Funds: This fund accounts for transactions that occur due to student-related activities from groups and organizations such as athletic and activity events, fundraising and other extracurricular or cocurricular activities.

Management Fund: This fund is authorized by Iowa Code Section 298.4 and accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

DMPS (Expendable Trust) Fund: This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the District.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Debt Service Fund: Accounts for and reports financial resources that are restricted, committed or assigned to expenditure for principal and interest on long-term debt.

Capital projects funds: Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Physical Plant and Equipment (PPEL) Levy Fund: This capital projects fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3.

Public Education and Recreation Levy (PERL) Fund: This fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity.

Proprietary fund types: Proprietary fund types are used to account for the District's ongoing activities which are operated similar to those often found in the private sector. The measurement focus is upon income determination, financial position and cash flows.

Enterprise funds: Enterprise funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The following enterprise funds of the District are considered nonmajor:

School Nutrition Fund: This fund accounts for transactions related to the school lunch, breakfast and summer food programs authorized by Iowa Code Section 283A.

Child Care Fund: This fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 298A.12 and 279.49.

Home Construction Fund: This fund accounts for transactions for the home building activity performed by students as part of their instructional or extracurricular program. This fund also accounts for the sale of those homes.

Automotive Fund: This fund accounts for transactions for the service and repair of automobiles performed by students as part of their instructional or extracurricular program.

Internal Service Funds: The internal service funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District has the following internal service funds:

Self-Insurance Fund: This fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed above.

Risk Management Fund: This fund accounts for transactions for certain health insurances including life and disability received by District employees in which the District is responsible for paying all premiums as specified attributable to the insurances listed above.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Print Shop Fund: This fund accounts for transactions for print shop and copying services. It also accounts for transactions for materials for arts and crafts and services such as laminating and other related activities.

Fiduciary funds: Fiduciary funds account for assets held by the District in a trustee or agency capacity for the benefit of others and cannot be used to support District activities.

The District has the following fiduciary fund types:

Pension Trust Fund: The Pension Trust Fund (DMTRS) accounts for the District's retirement plan for teachers. The fund provides pension benefits to eligible District teachers and administrators.

Private Purpose Trust Funds: These funds account for transactions that are received in trust in which both the principal and interest earned can be used to support the individuals or other organizations. The District's Private Purpose Trust Funds are primarily comprised of scholarship funds to benefit students.

Agency Fund: This fund accounts for assets held in a custodial capacity by the District for individuals, private organizations or other governments. PTAs and PTOs are generally accounted for in these funds. The District only reports assets and liabilities for this fund.

The Government-wide financial statements and the proprietary, pension trust and private purpose trust financial statements are reported using the "economic resources measurement focus" and are reported using the accrual basis of accounting. The agency funds do not have a measurement focus but are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Property tax when levied, intergovernmental revenues when eligibility requirements have been met (shared revenues, grants, and reimbursements from other governments), and interest associated with the current fiscal period are all considered to be measurable and are recorded as revenue, if available. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, early retirement payments, other postemployment benefits, pension related amounts and compensated absences are recognized as expenditures only when the liability has matured and payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and capital leases are reported as other financing sources.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. Thus, when program expenses are incurred, there are both restricted and unrestricted resources available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general resources.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses and claims, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Property tax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the Board of Education.

Current year property tax receivable represents unpaid taxes related to the April 2019 levy certification. Property taxes become due and collectible in September and March of the following fiscal year with a 1.5% per month penalty for delinquent payments. This tax levy is based on January 1, 2018 assessed property valuations and is revenue for fiscal year ended June 30, 2020.

The succeeding year property tax receivable represents taxes certified by the Board of Education in April 2020. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. The tax asking represents a lien which is effective on the first day of that calendar year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2021, the year for which it is levied.

Due from other governments and other receivables: Due from other governments and other receivables represents amounts due from the State, other school districts, and other various grants, reimbursements and shared revenues. All receivables are shown net of an allowance for uncollectibles, if applicable. The District's nonmajor enterprise funds and business-type activities have reported an allowance of \$678,314 as of June 30, 2020 related to other receivables.

Inventories: Inventories are carried at the moving average cost for purchased items and contributed value (acquisition value at the date received) for government commodities and other donated items. Inventories are recorded as expenses when consumed in the Government-wide financial statements and proprietary funds' financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold. The fund balance in the governmental funds relating to inventories is reported as nonspendable.

Prepaid items: Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the Government-wide and fund financial statements on the consumption method. The fund balance in the governmental funds relating to prepaid items is reported as nonspendable.

Investment earnings: Investment earnings are composed of interest, dividends and net changes in the fair value of applicable investments.

Des Moines Independent Community School District

Notes to Basic Financial Statements
Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Investments: Most of the District's investment are stated at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is a market-based measurement, not an entity-specific measurement. For some assets and liabilities, observable market transactions or market information might be available; for others, it might not be available. However, the objective of a fair value measurement in both cases is the same—that is, to determine the price at which an orderly transaction to sell the asset or to transfer the liability would take place between market participants at the measurement date under current market conditions. Fair value is an exit price at the measurement date from the perspective of a market participant that controls the asset or is obligated for the liability. See Note 3 for additional information regarding fair value measures.

Capital assets: Capital assets which include land, land improvements, buildings and improvements, vehicles, furniture and equipment, and construction-in-progress are reported in the Government-wide financial statements and the proprietary funds' financial statements.

Capital assets are defined by the District as assets with an initial, individual cost of \$5,000 or more (\$1,000 or more for the School Nutrition Fund) and an estimated useful life of more than one year. Such assets are recorded at historical cost if purchased or constructed. Donated capital assets are recorded at the acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized.

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Land improvements	20 years
Buildings and improvements	20 - 50 years
Vehicles, furniture and equipment	5 - 15 years

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Deferred outflows of resources: Deferred outflows of resources represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of items not yet charged to pension expense and contributions from the District after the measurement date but before the end of the District's reporting period, and a deferred charge on refunding that will be recognized in interest expense over the shorter of the maturity of the related refunded or refunding bond issuance.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected in the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. The governmental funds report unavailable revenues from sales tax and intergovernmental revenue. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements and governmental fund statements, succeeding year property tax revenues are reported as a deferred inflow of resources and will become an inflow in the year for which they are levied.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The District's government-wide statement of net position also includes pension related amounts and other postemployment benefit (OPEB) related amounts as a deferred inflow of resources. The pension related amounts consist of the unamortized portion of the net difference between projected and actual earnings on pension plan investments, the unamortized portion of the net difference between expected and actual plan experience and changes in proportion. The OPEB related amounts consist of the impact of changes in assumptions and other inputs.

Cash flows: For purpose of the statement of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities in the fund and government-wide financial statements.

Unearned revenue: Unearned revenue in the statement of net position and in the governmental fund financial statements consists primarily of unearned grant proceeds and unearned student nutrition revenue.

Compensated absences: The District's employee vacation and sick leave policies generally provide for granting vacation and sick leave with pay. Accrued sick leave is earned by all full-time employees at a rate determined by either the Iowa Code or their Comprehensive Agreements. Sick leave balances are not paid upon termination of employment. Full-time employees earn vacation in accordance with their employment agreement. The current and long-term liabilities for accumulated vacation are accrued when incurred in the Government-wide and proprietary funds' financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee leave, resignations and retirements.

Long-term obligations: In the Government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities on the statement of net position. Bond premiums are reported as a liability and amortized over the life of the bonds using the effective interest method. Bond issuance costs are reported as an outflow in the year in which the expenses were incurred.

In the fund financial statements, governmental fund types recognize bond premiums through current year operations. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources. Principal payments and bond issuance costs are reported as debt service expenditures.

Pensions: For purposes of measuring the net pension asset (liability), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and Des Moines Teachers' Retirement System (DMTRS) and additions to/deductions from these fiduciary net positions has been determined on the same basis as they are reported by IPERS and DMTRS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the Board through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Chief Financial Officer and Controller, through the adoption of the budget.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of the other governmental funds would also be reported as unassigned.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's procedure is to pay the expenditure from restricted fund balance and then from less-restrictive classifications—committed, assigned and then unassigned fund balances.

Net position: Net position represents the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources in the Government-wide financial statements. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balance of any long-term debt used to build or acquire the capital assets. Net investment in capital assets excludes unspent debt proceeds. Unspent debt proceeds (which includes proceeds reserved for debt retirement) for the Capital Projects Fund was \$22,130,556. Net position is reported as restricted in the Government-wide financial statements when there are limitations imposed on their use through external restrictions imposed by creditors, grantors, or laws or regulations of other governments.

Net position restricted through enabling legislation as of June 30, 2020 consists \$4,538,321 for management levy, \$3,863,960 for PPEL, and \$1,207,495 for PERL.

Donor restricted net position include \$2,166,497 for net position in the DMPS (Expendable Trust) Fund which is to be used mainly for the Smouse School.

Net position restricted for other purposes consists of \$18,816,886 restricted for categorical funding, various grants and sponsored programs and student activity balances.

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as “due to/from other funds” or “advances to/from other funds” in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as “internal balances.”

Estimates: The preparation of the financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Note 2. Legal Compliance

The District operates within the budget requirements for school districts as specified by state law and as prescribed by the Iowa Department of Management.

The legal level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is the functional area for budgeted governmental, enterprise and private purpose trust funds in total, rather than by individual fund type. Formal and legal budgetary control is based on four major classes of expenditures known as functional areas. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The District adopts its annual program budget on a U.S. GAAP basis of accounting.

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules—Perspective Differences*, the District presents budgetary comparison as required supplementary information based on the program structure as required by state statute for its legally adopted budget.

The Child Care Fund and School Nutrition Fund have deficit balances as of June 30, 2020, of \$2,166,455 and \$793,842, respectively. The District will analyze the fund’s activity and take the necessary steps to reduce the negative net position. The primary cause of the deficit balance is due to accounting for the Child Care and School Nutrition Funds’ share of the District’s proportionate share of deferred outflows of resources, deferred inflows of resources, and net pension liability related to IPERS.

Note 3. Deposits and Investments

As of June 30, 2020, the District’s cash, cash equivalents and investments (including fiduciary fund assets) were as follows:

Cash and other deposits	\$ 214,370,608
Investments, including pension trust funds	285,185,609
	<u>\$ 499,556,217</u>

In addition, the District has cash held with agent of \$21,292,065, which will be used for future debt service payments as of June 30, 2020.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 3. Deposits and Investments (Continued)

Investments:

Authorized investments: The District is authorized by statute to invest public funds not currently needed for operating expenses in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured Iowa depository institutions approved by the Board; prime eligible bankers' acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; and certain joint investment trusts. However, the District's investment policy additionally limits investments in commercial paper to obligations at the time of purchase rated within the two highest ratings issued by nationally recognized statistical rating organizations with a maturity less than 270 days, with no more than 5% at the time of purchase placed in the second highest classification. The District's investment policy additionally limits investments in prime bankers' acceptances that mature within 270 days and that are eligible for purchase by a federal reserve bank. Investment income interest is spent according to the fund parameters as outlined by the District.

The above description of authorized investments does not apply to investments donated to the District. In addition, the DMTRS Pension Trust Funds investments are governed by the underlying plan documents and not the District's investment policy. The DMTRS investment policy authorizes investment in cash, fixed income securities rated AAA to BBB, investment grade preferred stock, large-, mid-, and small-cap domestic equity securities, international stocks, and domestic real estate. The investment policy also establishes allocation and exposure limitations for each class of investments authorized.

Interest rate risk: Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Deposits: The District's deposits consist of balances held with financial institutions, including nonnegotiable certificates of deposit and money market funds.

Custodial credit risk: Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party.

It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized. As of June 30, 2020, the District's deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state's ability to assess for lost funds.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 3. Deposits and Investments (Continued)

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the following table that shows the distribution of the District's investments by maturity as of June 30, 2020:

Des Moines Independent Community School District (without DMTRS)

	Fair Value	Investment Maturities (in Years)			
		Less than 1	1 - 5	6 - 10	More than 10
Corporate equities—donated	\$ 1,091,792	N/A	N/A	N/A	N/A
Money market mutual funds	15,496,040	N/A	N/A	N/A	N/A
Fixed income securities (commercial paper)	6,999,804	\$ 6,999,804	\$ -	\$ -	\$ -
U.S. Government securities	29,994,000	29,994,000	-	-	-
	<u>\$ 53,581,636</u>	<u>\$ 36,993,804</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>

Des Moines Teachers' Retirement System (DMTRS)

	Fair Value	Investment Maturities (in Years)			
		Less than 1	1 - 5	6 - 10	More than 10
Money market mutual funds	\$ 17,959,570	N/A	N/A	N/A	N/A
Certificates of deposit	995,650	\$ 245,081	\$ 750,569	\$ -	\$ -
U.S. Government and agency securities	5,013,990	-	-	1,836,480	3,177,510
Corporate equities	40,284,767	N/A	N/A	N/A	N/A
Mortgage-backed securities	17,429,967	-	572,674	2,880,251	13,977,041
Corporate obligations	97,165,163	1,263,945	15,863,210	35,694,667	44,343,340
Preferred stock	834,800	N/A	N/A	N/A	N/A
Municipal bonds	44,314,139	1,487,028	5,449,085	15,342,039	22,035,986
Other fixed income	7,605,927	2,480	-	5,991,258	1,612,189
	<u>\$ 231,603,973</u>	<u>\$ 2,998,534</u>	<u>\$ 22,635,538</u>	<u>\$ 61,744,695</u>	<u>\$ 85,146,066</u>

Credit risk: Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investment policy does not formally address credit risk. The credit ratings for the District's investments are included in the table below. Investments issued or explicitly guaranteed by the U.S. government are not subject to credit risk in accordance with GASB Statement No. 40, *Deposits and Investment Risk Disclosures*.

Fair value measurements: The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. The fair value hierarchy categorizes the inputs to valuation techniques used to measure fair value into three levels. Level 1 inputs are quoted prices (unadjusted) for identical assets or liabilities in active markets that a government can access at the measurement date. Level 2 inputs are observable inputs other than quoted prices included within Level 1. The observable inputs, either directly or indirectly, include prices for similar assets or liabilities, quoted prices in markets that are not active or other inputs that are observable or can be corroborated by observable market data from third-party pricing agencies for substantially the full term of the assets or liabilities. Level 3 inputs are unobservable inputs for an asset or liability. The fair value hierarchy gives the highest priority to Level 1 inputs and the lowest priority to Level 3 inputs.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 3. Deposits and Investments (Continued)

The Following table provides the distribution of the District's investment by fair value hierarchy level as of June 30, 2020.

Des Moines Independent Community School District (without DMTRS)

	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value	S&P Rating
Corporate equities—donated	\$ 1,091,792	\$ -	\$ -	\$ 1,091,792	Not Rated
Money market mutual funds	15,496,040	-	-	15,496,040	Not Rated
Commercial paper	-	6,999,804	-	6,999,804	AA+
U.S. Government securities	-	29,994,000	-	29,994,000	A+
	<u>\$ 16,587,832</u>	<u>\$ 36,993,804</u>	<u>\$ -</u>	<u>\$ 53,581,636</u>	

Des Moines Teachers' Retirement System (DMTRS)

	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value	S&P Rating
Money market mutual funds	\$ -	\$ 17,959,570	\$ -	\$ 17,959,570	Not Rated
Certificates of deposit	-	995,650	-	995,650	Not Rated
U.S. Government and agency securities	-	5,013,990	-	5,013,990	AA+
Corporate equities	40,284,767	-	-	40,284,767	Not Rated
Mortgage-backed securities	-	159,408	-	159,408	Not Rated
Mortgage-backed securities	-	17,270,559	-	17,270,559	AAA
Corporate obligations	-	71,603,442	-	71,603,442	A - AAA
Corporate obligations	-	25,561,721	-	25,561,721	BB - BBB
Preferred stock	-	834,800	-	834,800	A - AAA
Municipal bonds	-	44,314,139	-	44,314,139	A - AAA
Other fixed income	-	7,605,927	-	7,605,927	A - AA
	<u>\$ 40,284,767</u>	<u>\$ 191,319,206</u>	<u>\$ -</u>	<u>\$ 231,603,973</u>	

Corporate equities: Corporate equities are reported at fair value based on quoted market prices obtained from exchanges.

Money Market Mutual Funds: Mutual funds are reported at fair value based on quoted market prices obtained from exchanges and also reported at fair value based on evaluation using market sources and integrating relative credit information, observed market movements, and sector news into the evaluated pricing applications and models.

Corporate obligations, U.S. government agency securities and other fixed income: These investments are reported at fair value based on evaluation using market sources and integrating relative credit information, observed market movements, and sector news into the evaluated pricing applications and models.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 3. Deposits and Investments (Continued)

U.S. Government securities: U.S. Government securities are reported at fair value based on a bullet (non-call) spread scale for each issuer for maturities going out to forty years. These spreads represent credit risk and are obtained from the new issue market, secondary trading, and dealer quotes. An Option Adjusted Spread (OAS) model is incorporated to adjust spreads of issues that have early redemption features. Final spreads are added to a U.S. Treasury curve. A special cash discounting yield/price routine calculates prices from final yields to accommodate odd coupon payment dates typical of medium-term notes.

Certificates of deposit: Certificates of deposit are reported at fair value based on a multi-dimensional relational model and/or Option Adjusted Spread (OAS).

Mortgage-backed securities: Mortgage-backed securities are reported at fair value via model using various inputs such as but not limited to daily cash flow, snapshots of the To Be Announced market and the US Treasury market, floating rate Indices such as London Inter-bank Offered Rate (LIBOR), Constant maturity, and Prime as a benchmark yield, spread over index, periodic and life caps, next coupon adjustment date, and convertibility of the bond.

Municipal bonds: Municipal bonds are reported at fair value based on trades, bid price or spread, two-sided markets, quotes, benchmark curves including but not limited to treasury benchmarks and LIBOR and swap curves, market data feeds such as Municipal Securities Rulemaking Board, financial statements, discount rate, capital rates, and trustee reports.

Preferred stock: Preferred stock is reported at fair value by calculating the appropriate spread over a comparable U.S. Treasury security for each issue. These spreads represent the amount of additional yield required to account for the risks inherent with preferred stocks, including credit, refunding and liquidity. Evaluators obtain benchmark quotes on liquid issues, follow both the listed and new issue market and focus on changing market conditions.

The District has no assets reported at fair value on a nonrecurring basis and no other investments meeting the fair value disclosure requirements of GASB Statement No. 72, *Fair Value Measurement and Application*.

Concentration of credit risk: The District's investment policy seeks diversification to reduce overall portfolio risk while attaining market rates of return to enable the District to meet all anticipated cash requirements. The District's policy further restricts investments in prime bankers' acceptances and commercial paper to no more than 10% of the investment portfolio for each type of investment, excluding DMTRS investments, and no more than 5% of the investment portfolio can be invested in the securities of a single issuer.

More than 5% of the District's investments, excluding DMTRS investments, are in U.S. Treasuries and commercial paper. These investments are approximately 56.0% and 13.1%, respectively, of the District's total investments. The investments in U.S. Government Securities, Corporate Equities and Money market mutual funds, are not subject to concentration of credit risk due to either being guaranteed by the U.S. government, considered a pooled investment, were donated to the District, or none of the securities underlying the total investment type is more than 5% in any one issuer.

Custodial credit risk: The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g. broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party.

As of June 30, 2020, none of the District's investments were insured, but they were all registered in the District's name and held by the counterparty or the counterparty's trust department.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 4. Interfund Receivables/Payables and Transfers

Due to and from other funds as of June 30, 2020 are as follows:

	Due To Other Funds	Due From Other Funds
General fund	\$ -	\$ 8,675,576
Internal service fund, self insurance	8,675,576	-
	<u>\$ 8,675,576</u>	<u>\$ 8,675,576</u>

Interfund balances result from the time lag between the dates that 1) interfund goods or services are provided or reimbursable expenditures occur, 2) transactions are recorded and 3) payments between funds are made.

The \$8,675,576 due to other funds in the internal service funds is attributable to a return of premium. Through analysis performed internally and externally, the Self Insurance Fund net position was deemed high compared to the forecast for future claims. As a result, the portion of premium charged through the general fund has been reduced to yield a fund balance more in line with the District's actual experiences and forecasted claims. Over the course of time, these items will level-set and return to normalized premium levels between the general fund and Self Insurance Fund.

The due to and due from other funds balances are expected to be collected in the subsequent year.

Advances to and from other funds as of June 30, 2020 are as follows:

	Advances To Other Funds	Advances From Other Funds
Nonmajor enterprise funds	<u>\$ 473,627</u>	<u>\$ 473,627</u>

Interfund balances result from the time lag between the dates that 1) interfund goods or services are provided or reimbursable expenditures occur, 2) transactions are recorded and 3) payments between funds are made.

The \$473,627 of advances from other funds in the nonmajor enterprise funds is attributable to the School Nutrition Fund. These advances will be repaid when the funds are solvent. The advances are eliminated in the combining non-major enterprise fund schedules.

The following is a schedule of transfers as included in the basic financial statements of the District as of the year ended June 30, 2020:

	Transfers In	Transfers Out
Major funds:		
General fund	\$ 1,273,670	\$ 694,673
Capital projects fund	-	22,995,050
Nonmajor governmental funds	22,995,050	-
Nonmajor enterprise fund, school nutrition	-	578,997
	<u>\$ 24,268,720</u>	<u>\$ 24,268,720</u>

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them or (2) use unrestricted revenues collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization or Board approval.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 5. Capital Assets

A summary of capital asset activity for the year ended June 30, 2020 is as follows:

Governmental Activities	Beginning Balance	Additions and Transfers In	Deletions and Transfers Out	Ending Balance
Capital assets, not being depreciated:				
Land	\$ 4,963,615	\$ -	\$ -	\$ 4,963,615
Construction-in-progress	36,015,506	25,806,900	1,827,551	59,994,855
Total capital assets, not being depreciated	40,979,121	25,806,900	1,827,551	64,958,470
Capital assets, being depreciated:				
Land improvements	9,868,310	-	-	9,868,310
Buildings and improvements	673,678,235	1,892,786	-	675,571,021
Vehicles, furniture and equipment	29,609,588	1,542,683	1,018,210	30,134,061
Total capital assets, being depreciated	713,156,133	3,435,469	1,018,210	715,573,392
Less accumulated depreciation for:				
Land improvements	(8,289,066)	(201,295)	-	(8,490,361)
Buildings and improvements	(177,222,355)	(12,520,660)	-	(189,743,015)
Vehicles, furniture and equipment	(19,016,772)	(1,966,557)	(970,377)	(20,012,952)
Total accumulated depreciation	(204,528,193)	(14,688,512)	(970,377)	(218,246,328)
Total capital assets, being depreciated, net	508,627,940	(11,253,043)	47,833	497,327,064
Governmental activities capital assets, net	\$ 549,607,061	\$ 14,553,857	\$ 1,875,384	\$ 562,285,534
Business-Type Activities	Ending Balance	Additions and Transfers In	Deletions and Transfers Out	Ending Balance
Capital assets, not being depreciated, construction-in-progress	\$ 192,862	\$ 5,195	\$ -	\$ 198,057
Capital assets, being depreciated:				
Vehicles, furniture and equipment	6,676,494	79,580	60,845	6,695,229
Less accumulated depreciation	(4,424,149)	(341,137)	(55,983)	(4,709,303)
Total capital assets, being depreciated, net	2,252,345	(261,557)	4,862	1,985,926
Business-type activities capital assets, net	\$ 2,445,207	\$ (256,362)	\$ 4,862	\$ 2,183,983

Depreciation expense for the year ended June 30, 2020 was charged to the District's functions as follows:

Governmental activities:

Instruction	\$ 12,731,279
Noninstructional	287,705
Business and central administration	826,030
Plant operation and maintenance	182,386
Student transportation	658,870
Capital assets held by the District's internal service funds and charged to the various functions based on their usage of the assets	2,242
Total	<u>\$ 14,688,512</u>

Business-type activities:

School nutrition	\$ 340,029
Automotive	1,108
	<u>\$ 341,137</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 6. Long-Term Liabilities and Bonds Payable

The following is a summary of changes in bonds payable and other long-term liabilities for the year ended June 30, 2020:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental activities:					
Sales tax revenue bonds	\$ 190,685,000	\$ -	\$ 16,015,000	\$ 174,670,000	\$ 16,655,000
Bond premiums	7,797,290	-	1,370,932	6,426,358	-
Retrospective insurance rating plan	827,768	253,014	261,021	819,761	-
Termination benefits	2,513,337	-	1,559,138	954,199	680,021
Compensated absences	3,981,146	4,675,004	3,388,826	5,267,324	3,630,585
Other postemployment benefits	45,343,071	7,567,181	4,578,144	48,332,108	-
Net pension liability	202,134,133	-	6,417,371	195,716,762	-
Pollution remediation	91,205	5,890	-	97,095	-
Long-term liabilities	<u>\$ 453,372,950</u>	<u>\$ 12,501,089</u>	<u>\$ 33,590,432</u>	<u>\$ 432,283,607</u>	<u>\$ 20,965,606</u>
Business-type activities:					
Compensated absences	\$ 315,858	\$ 449,783	\$ 279,095	\$ 486,546	\$ 154,908
Net pension liability	8,124,010	-	865,614	7,258,396	-
Long-term liabilities	<u>\$ 8,439,868</u>	<u>\$ 449,783</u>	<u>\$ 1,144,709</u>	<u>\$ 7,744,942</u>	<u>\$ 154,908</u>

Compensated absences and other postemployment benefits are generally liquidated by the General Fund and the retrospective insurance rating plan liability is liquidated by the Management Fund, a nonmajor governmental fund. Net pension liabilities will generally be liquidated by the General Fund, School Nutrition and Child Care Funds.

The District has pledged future statewide penny school infrastructure, services and use tax revenues to repay the following bonds:

Bond issued, month and year	Issued Amount	Interest Rate
2012 SAVE Revenue Bonds, May 2012	\$ 71,900,000	4.0%
2013 SAVE Revenue Bonds, December 2013	8,780,000	3.0%-5.0%
2014 SAVE Revenue Bonds, May 2014	61,940,000	3.0%-5.0%
2016 SAVE Revenue Bonds, July 2016	53,655,000	2.0%
2018 SAVE Revenue Bonds, April 2018	56,235,000	3.0%-5.0%

The bonds were issued for the purpose of financing costs of school infrastructure improvement projects. The bonds are payable solely from the proceeds of the statewide penny school infrastructure, services and use tax revenue received by the District and are payable through 2029. The bonds are not a general obligation of the District; however, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds were expected to require less than 50% of the statewide penny school infrastructure, services and use tax revenues. For the current year, principal and interest paid was \$22,995,050 and total statewide penny school infrastructure paid was \$33,985,178.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

Annual debt service requirements to maturity as of June 30, 2020 for the outstanding sales tax revenue bonds are summarized as follows:

	Governmental Activities		
	Principal	Interest	Total
Year ending June 30:			
2021	\$ 16,655,000	\$ 6,341,380	\$ 22,996,380
2022	17,320,000	5,673,997	22,993,997
2023	18,005,000	4,988,249	22,993,249
2024	18,720,000	4,272,734	22,992,734
2025	19,385,000	3,611,661	22,996,661
2026—2028	84,585,000	7,396,906	91,981,906
	<u>\$ 174,670,000</u>	<u>\$ 32,284,927</u>	<u>\$ 206,954,927</u>

As of June 30, 2020, the District did not exceed its legal debt margin, computed as follows:

Total assessed valuation	<u>\$ 14,279,948,629</u>
Debt limit of 5% of total assessed valuation	\$ 713,997,431
Amount of debt applicable to debt limit, total bonded debt	<u>174,670,000</u>
Excess of debt limit over bonded debt issued, legal debt margin	<u>\$ 539,327,431</u>

Special termination benefits: Prior to the year ended June 30, 2018, the District offered a special termination benefit to certified teachers and administrators. To be eligible to participate in this Plan, an employee must (1) have attained age 55; (2) have at least 10 consecutive contract years of employment with the District; (3) have worked a minimum of 100 days during the contract year in which he or she elects to participate in this Plan; (4) have not received an official notice of lay off or termination; (5) not be subject to termination pursuant to Iowa Code Section 279.15 or Section 279.27, whether such termination occurs before or after the acceptance of his or her application and (6) otherwise meet the requirements of this Plan. The special termination benefit allows an eligible employee to (1) if at the time of retirement has health insurance, to use the value of their accumulated sick leave benefit and annual special leave to pay for health insurance until they reach the age of 65 and opt for Medicare benefits, with any remaining funds at that time paid out in a single lump sum payment, or (2) if at the time of retirement has no health insurance, or already reached the age of 65, to pay out the value of their accumulated sick leave benefit and annual special leave over five equal annual payments into a tax sheltered annuity of their choice.

Beginning during the year ended June 30, 2018, the District offered a special termination benefit to all employees. To be eligible to participate in this Plan, an employee must (1) have attained age 60 and (2) have at least 10 or more years of continuous service as a permanent employee of the District. The special termination benefit allows an eligible employee to receive \$50,000 paid to a tax-sheltered annuity over 1 to 2 years. The amount is prorated based upon the eligible employee's full-time equivalency as of the fiscal year-end date in which the employee elected to participate in the Plan. Eligible employees will also have the option to purchase and participate in the District's group health insurance plan until age 65.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

The special termination benefits are generally liquidated by the Management Fund. As of June 30, 2020, the District has \$463,049 accrued in the Management Fund relating to employees over age 65 as they are considered due and expected to be liquidated with expendable available financial resources, plus an additional amount not due as of June 30, 2020 of \$453,942 recorded only in the government-wide financial statements, for a total liability of \$954,199. The current year amount paid by the District was \$1,599,138 which consisted of 426 participants in the plan.

Note 7. Commitments and Contingencies

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal government. The amount, if any, of expenditures that may be disallowed by the grantor cannot be determined at this time, although the District expects such amounts, if any, to be immaterial.

As of June 30, 2020, the District was involved in construction projects with an estimated cost to complete the construction projects of \$12,194,593.

The District leases technology equipment for District schools and administrative offices on a long-term basis. Rental expense for the year ended June 30, 2020 under these leases is \$5,594,138. The following is a schedule of minimum future rentals for noncancelable operating leases in effect at June 30, 2020:

During the year ending June 30:

2021	\$ 6,380,563
2022	4,641,860
2023	3,386,378
	<u>\$ 14,408,801</u>

The above schedule represents operating leases in effect at June 30, 2020. As part of the normal course of business, the District continues to negotiate and/or renegotiate various operating leases.

On January 30, 2020, the World Health Organization declared the coronavirus outbreak (COVID-19) a "Public Health Emergency of International Concern" and on March 11, 2020, declared it to be a pandemic. Actions taken around the world to help mitigate the spread of the coronavirus include restrictions on travel, quarantines in certain areas and forced closures for certain types of public places and businesses. The coronavirus and actions taken to mitigate the spread of it have had and are expected to continue to have an adverse impact on the economies and financial markets of many countries and their political subdivision. On March 27, 2020, the Coronavirus Aid, Relief, and Economic Security Act (CARES Act) was enacted to amongst other provisions, provide emergency assistance for individuals, families and businesses affected by the coronavirus pandemic. The District received \$9,376,851 of COVID-19 Elementary and Secondary School Emergency Relief (ESSER) funds and recorded revenue of \$8,875,060 as of June 30, 2020.

It is unknown how long the adverse conditions associated with the coronavirus will last and what the complete financial effect will be to the District. The extent to which COVID-19 may affect the District's results will depend on future developments, which are highly uncertain and cannot be predicted, including new information, which may emerge concerning the severity of COVID-19 and actions taken to contain COVID-19 or its impact, among others.

Additionally, it is reasonably possible that estimates made in the financial statements have been, or will be, materially and adversely impacted in the near term as a result of these conditions.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 8. Risk Management

The District has chosen to establish a risk financing fund for risks associated with the self-insurance plan for medical, prescription, dental and vision benefits. The risk financing fund is accounted for as an internal service fund where assets are set aside for claim settlements. The total charge allocated to each of the funds (based upon the percentage of each fund's current year payroll of the District) is calculated using trends in actual claims experience. Losses on medical claims are limited through the purchase of stop-loss insurance to \$150,000 per accident or disease, and 120% of actuarially projected claims for the District in total.

Liabilities include an estimated amount for claims that have been incurred but not reported (IBNR) which represent estimates of the eventual loss on claims arising prior to year-end. Changes in the balances of claims liabilities during the past two fiscal years are as follows:

	Years Ended June 30	
	2020	2019
Unpaid claims, beginning of year	\$ 6,316,913	\$ 6,613,731
Current year claims and changes in estimates	63,662,765	68,144,976
Claim payments	(64,588,949)	(68,441,794)
Unpaid claims, end of year	<u>\$ 5,390,729</u>	<u>\$ 6,316,913</u>

As of June 30, 2020, the unpaid claims payable of \$5,390,729 is net of \$75,836 of reimbursement receivable that the District expects to receive as it has exceeded its individual stop-loss amount. A total of \$75,836 reinsurance revenue to be received is netted against claims expense.

The District self-insures its workers' compensation exposures. As of June 30, 2020, the amount of liabilities recorded for estimated claims payable for workers' compensation was \$6,389,460 of which \$632,809 was recorded in the Management Fund in accounts payable, a nonmajor governmental fund, as that portion of the liability has matured, and an additional \$5,665,650 was recorded in the government-wide statements. Liabilities are reported in the financial statements in accounts payable. Losses on workers' compensation claims are limited through the purchase of stop-loss insurance to \$500,000 per occurrence.

Changes in the balances of claims liabilities during the past two fiscal years are as follows:

	Years Ended June 30	
	2020	2019
Unpaid claims, beginning of year	\$ 5,113,796	\$ 4,168,106
Current year claims and changes in estimates	3,659,120	4,212,768
Claim payments	(2,383,456)	(3,267,078)
Unpaid claims, end of year	<u>\$ 6,389,460</u>	<u>\$ 5,113,796</u>

The District's general liability and automobile liability policies are written under a retrospective rating plan where final premium costs are within a specified minimum and maximum premium. For the policy year ended June 30, 2020, various liability claims remain unsettled; therefore, the District has accrued a liability for the maximum potential additional premium that could be payable under the retrospective rating plan of \$819,761. The liability is recorded in the Government-wide financial statements.

The District continues to carry commercial insurance for all other risks of loss. The District has a \$100,000 deductible on property insurance. Settled claims from these risks have not exceeded the planned coverage during any of the past three years.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems

Iowa Public Employees' Retirement System:

Plan description: Employees of the District are provided with pensions through a cost sharing multiple employer defined benefit pension plan administered by IPERS. IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension benefits: A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier (based on years of service).
- The member's highest five-year average salary. For members with service before June 30, 2012, the highest three-year average salary as of that date will be used if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and death benefits: A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions: Effective July 1, 2012, as a result of a 2010 law change, the contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems (Continued)

In fiscal year 2020, pursuant to the required rate, Regular members contributed 6.29% of pay and the District contributed 9.44% for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2020 were \$23,087,996.

Net pension liabilities, pension expense, and deferred outflows of resources and deferred inflows of resources related to pensions: At June 30, 2020, the District reported a liability of \$185,191,878 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2019, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2019, the District's collective proportion was 3.176775%, which was a decrease of 0.090917% from its proportion measured as of June 30, 2018.

For the year ended June 30, 2020, the District recognized pension expense of \$12,227,976 and reported deferred outflows of resources and deferred inflows of resources related to the IPERS pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 513,402	\$ 6,658,535
Changes of assumptions	19,836,700	-
Net difference between projected and actual earnings on pension plan investments	-	20,868,897
Changes in proportion and differences between District contributions and proportionate share of contributions	4,302,342	4,375,367
Total deferred amounts to be recognized in pension expense in future periods	24,652,444	31,902,799
District contributions subsequent to the measurement date	23,087,996	-
Total deferred amounts related to pensions	<u>\$ 47,740,440</u>	<u>\$ 31,902,799</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems (Continued)

The \$23,087,996 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2021. The deferred inflows relates to the difference between expected and actual investment earnings and is being amortized over a closed 5-year period as of the beginning of each measurement period. Other deferred outflows of resources and deferred inflows of resources are being amortized over a closed period equal to the average of the expected service lives of all employees as of the beginning of each measurement period, which was 5.50 years for the year ended June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	Deferred Outflows (Inflows) of Resources
Years ending June 30:	
2021	\$ 5,081,488
2022	(4,419,169)
2023	(3,325,304)
2024	(4,028,764)
2025	(558,606)
	<u>\$ (7,250,355)</u>

There were no non-employer contributing entities to IPERS.

Actuarial assumptions: The total pension liability in the June 30, 2019 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.65%
Salary increases	3.25% to 16.25%, average, including inflation; rates vary by membership group
Long-term rate of return	7.00%, net of investment expense, including inflation

Mortality rates were based on the RP-2014 Generational Mortality Table, with age setbacks and age set forwards as well as other adjustments based on different membership groups. Future mortality improvements are anticipated using Projection Scale MP-2017.

The demographic actuarial assumptions used in the June 30, 2019 valuation were based on the results of an actuarial experience study for the four-year period ended June 28, 2019.

At the Investment Board's direction, the experience study of IPERS economic assumptions, including the long-term rate of return, was accelerated a year resulting in a full review of the economic assumptions in early 2018. The findings of the experience study on economic assumptions, along with the resulting recommendations, were included in a report dated March 24, 2017.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	27.0%	1.71%
Domestic equity	22.0	5.60
International equity	15.0	6.08
Private equity	11.0	10.13
Public credit	3.5	3.32
Public real assets	7.0	2.81
Private credit	3.0	3.01
Private real assets	7.5	4.76
Global smart beta equity	3.0	5.82
Cash	1.0	(0.21)
	<u>100.0%</u>	

Discount rate: The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate:

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00%) or 1-percentage-point higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability as of June 30, 2020	\$ 328,980,992	\$ 185,191,878	\$ 64,700,580

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems (Continued)

Payables to the pension plan: At June 30, 2020, the District reported payables to the defined benefit pension plan of \$1,904,191, recorded with accrued payroll, for legally required employer contributions and \$1,268,790, recorded with accrued payroll, for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Des Moines Teachers' Retirement System:

Plan description: The DMTRS Plan and Trust (the Plan) is a single employer pension plan administered by Bankers Trust Capital Management with Wells Fargo Bank, N.A. as custodian of the Plan. The Plan was established in 1953 to offer employees of the school district a choice in planning for their retirement and is a uniquely designed hybrid pension plan as it contains features of both a traditional defined benefit plan, which is very common in the public sector, and a defined contribution plan. The Plan is considered a hybrid plan because investment risk is borne by the participant in the form of a variable account balance, implying a defined contribution plan; however, mortality risk is maintained by the District, which is a defined benefit plan feature. Due to this hybrid feature, the benefit terms cannot be modified.

The District's Board of Education is also the Plan's board and constitutes the trustees. The Plan does not issue a stand-alone financial report.

Basis of accounting: The DMTRS financial statements are prepared on the accrual basis of accounting. Member contributions are recognized in the period in which the contributions are due. The District's contributions are recognized when due and a formal commitment to provide the contributions is made. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan. All plan investments are reported at fair value. Administrative costs of DMTRS are financed through investment earnings.

Employees of the District who are teachers as defined under the Plan are eligible to participate in the Plan. Each teacher may choose to participate in either the Plan or in the IPERS. The election is made within 30 days of hire. If no election is made, the default is to participate in IPERS. The membership data as of the most recent actuarial valuation date was:

Active members	229
Retirees and beneficiaries currently receiving benefits	851
Inactive members entitled to but not yet receiving benefits	161
	<u>1,241</u>

Plan benefits and death benefits: Upon retirement on or after age 55, the account balance is converted to one of various available forms of monthly benefits payable to the participant, and if elected, a continuing benefit to a surviving spouse.

Contributions: Participants electing to participate in the Plan will have contributions deducted on a pre-tax basis. The contribution will be based on the participant's age at hire and will remain constant for that participant thereafter. The older the participant, the higher the contribution. The Plan's contribution rates range from 6.31% to 9.14%, dependent on the entry age of the participant. The contribution rates increased between 30% to 45% from 2007 to 2015.

An "Employer Matching Contribution" ranging from 7.83% to 11.00% (120% to 124% of the employee contribution) will also be made. Both employee and employer contributions are credited to an employee's account balance. The account balance is also credited with plan investment earning allocations.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems (Continued)

Investments: The Board of Education established an investment policy guiding the allocation of invested assets. This policy may be amended by the Board of Education. Plan assets are managed on a total return basis with a long-term objective of achieving and maintaining a fully funded status for the benefits provided through the Plan. See additional information about the DMTRS investments in Note 3.

The Plan shall diversify the investments so as to minimize the risk of large losses unless, under the circumstances, it is clearly prudent not to do so.

Asset Class	Asset Allocation	Long-Term Expected Rate of Return
Certificates of deposit	0.5%	2.8%
Money market mutual funds	2.4	0.1
U.S. Government securities	2.3	3.2
Corporate equities	19.8	6.3
Mortgage-backed securities	9.1	2.2
Corporate obligations	46.3	3.5
Preferred stock	1.7	4.2
Municipal bonds	17.4	4.3
Other fixed income	0.5	3.6
	<u>100.0%</u>	

There are no investments in any one organization representing more than 5% or more of DMTRS' net position. There are no investments in, loans to, or leases with related parties.

Rate of return: For the year ended June 30, 2020, the annual weighted rate of return on pension plan investments, net of pension plan investment expense was 5.2%. The money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

Net pension liability: The total pension liability was determined using an actuarial valuation date of June 30, 2020 using generally accepted actuarial principles and methods.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems (Continued)

A schedule of the District's changes in its net pension liability for DMTRS for the year ended June 30, 2020 is as follows:

Total pension liability	
Service cost	\$ 2,506,661
Interest	10,491,563
Differences between expected and actual experience	(3,155,225)
Changes of assumptions	18,847,928
Benefit payments, including refunds of member contributions	(18,641,113)
Net change in total pension liability	<u>10,049,814</u>
Total pension liability—beginning	<u>241,213,064</u>
Total pension liability—ending (a)	<u><u>\$ 251,262,878</u></u>
Plan fiduciary net position	
Contributions—employer	\$ 1,383,617
Contributions—members	1,123,044
Net investment income	12,030,385
Benefit payments, including refunds of member contributions	(18,641,113)
Administrative expense	(93,792)
Net change in plan fiduciary net position	<u>(4,197,859)</u>
Plan fiduciary net position—beginning	<u>237,677,457</u>
Plan fiduciary net position—ending (b)	<u><u>\$ 233,479,598</u></u>
Net pension liability—ending (a) - (b)	<u><u>\$ 17,783,280</u></u>
Plan fiduciary net position as a percentage of the total pension liability	92.9%

Actuarial assumptions: The total pension liability in the June 30, 2019 actuarial valuation was determined using a 4.50% investment rate of return with mortality rates based on the RP-2014 Mortality Table for Males or Females, as appropriate, with adjustments for MP-2018 projections. The actuarial assumptions used in the June 30, 2019 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Discount rate: The discount rate used to measure the total pension liability was 4.50%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems (Continued)

Sensitivity of the District's net pension (asset) to changes in the discount rate: The following presents the District's net pension (asset) calculated using the discount rate of 4.50%, as well as what the District's net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (3.50%) or 1-percentage-point higher (5.50%) than the current rate.

	1% Decrease (3.50%)	Discount Rate (4.50%)	1% Increase (5.50%)
District's net pension liability (asset) as of June 30, 2020	\$ 45,632,246	\$ 17,783,280	\$ (5,671,238)

Pension expense, deferred outflows of resources and deferred inflows of resources related to pensions: For the year ended June 30, 2020, the District recognized pension expense of \$5,759,085. At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to the DMTRS pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 13,521,170	\$ 2,987,060
Changes of assumptions	19,063,385	2,710,946
Net difference between projected and actual earnings on pension plan investments	-	2,853,024
Total deferred amounts related to pensions	\$ 32,584,555	\$ 8,551,030

Deferred outflows of resources and deferred inflows of resources related to the differences between expected and actual experience and changes of assumptions are being amortized over a closed period equal to the average of the expected service lives of all employees as of the beginning of the measurement period, which was 7 years as of June 30, 2020. The deferred inflows of resources related to the difference between expected and actual investment earnings is being amortized over a closed 5-year period as of the beginning of each measurement period. Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	Deferred Outflows (Inflows) of Resources
Years ending June 30:	
2021	\$ 4,854,820
2022	4,338,324
2023	2,492,518
2024	4,900,855
2025	5,205,194
Thereafter	2,241,814
	\$ 24,033,525

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 9. Retirement Systems (Continued)

Aggregate pension related amounts for all plans are as follows:

	IPERS	DMTRS	Total
Net pension liability	\$ 185,191,878	\$ 17,783,280	\$ 202,975,158
Deferred outflows of resources, pension related amounts	47,740,440	32,584,555	80,324,995
Deferred inflows of resources, pension related amounts	31,902,799	8,551,030	40,453,829
Pension expense	12,227,976	5,759,085	17,987,061

Deferred inflows and outflows of resources related to both pension plans will be recognized in pension expense as follows:

	Deferred Outflows (Inflows) of Resources
Years ended June 30:	
2021	\$ 9,936,308
2022	(80,845)
2023	(832,786)
2024	872,091
2025	4,646,588
Thereafter	2,241,814
	<u>16,783,170</u>
Deferred outflows of resources, pension related amounts—District contributions to IPERS subsequent to the measurement date	23,087,996
	<u>\$ 39,871,166</u>

Note 10. Other Postemployment Benefits

Plan description: The District sponsors a single-employer health care plan that provides three self-funded medical plans including prescription drug benefits to all active and retired employees and their eligible dependents. Retiree coverage begins for employees who have attained age 55 prior to the beginning of the subsequent contract year and have at least 10 consecutive contract years of employment and continues until the retiree is Medicare eligible at age 65. The plan is administered by the District and the District has the authority to establish or amend the plan provisions or contribution requirements within the sections of the Code. The plan does not issue a stand-alone financial report.

Funding policy: The current funding policy of the District is to pay health claims as they occur through internal allocated funds. For employees who retired on or before June 30, 2002, the District provides a 100% subsidy to the full cost of coverage for both retiree and dependent coverage. For employees who retire on or after June 30, 2002, the District provides no subsidy. The health insurance plan contributions on behalf of employees are established and amended through negotiation by management and the union and governed by the District's union contracts.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 10. Other Postemployment Benefits (Continued)

The required contribution is based on projected pay-as-you-go financing. For fiscal year 2020, the District contributed \$1,848,426. Retiree and active members receiving benefits contributed through their required monthly contributions of:

Rate Tier	Fiscal Year 2020 Alliance Select	Fiscal Year 2020 Blue Access
Employee	\$ 593.82	\$ 570.78
Employee + One	1,132.53	1,088.59
Family	1,805.21	1,735.17

Employees covered by benefit terms: At June 30, 2020, the following employees were covered by the benefit terms:

Current retirees, beneficiaries and dependents	146
Current active members, fully eligible for benefits	876
Current active members, not yet fully eligible for benefits	4,008
	<u>5,030</u>

Total OPEB Liability: The District's total OPEB liability of \$48,332,108 was measured as of June 30, 2020, and was determined by an actuarial valuation as of that date.

The total OPEB liability in the June 30, 2020 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	3.00%
Salary increases	2.00%
Discount rate	2.21%
Healthcare cost trend rates	5.5% for medical and prescription benefits for 2020 and 4.0% for administrative fees for 2020, decreasing 0.50% per year to an ultimate rate of 4.00% for 2022 and later years

The discount rate was based on the Bond Buyer 20-Bond GO Index.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 10. Other Postemployment Benefits (Continued)

Mortality rates were based on the RP-2014 generational table scaled using MP-18 and applied on a gender-specific basis. It is assumed that 50% of future retirees cover a spouse at retirement. This is based on the current retiree spouse election percentages. All current and future retirees are assumed to be eligible for Medicare at age 65. The participation percentage is the assumed rate of future eligible retirees who elect to continue health coverage at retirement. It is assumed that 70% of all employees and their dependents who are eligible for early retiree benefits will participate in the retiree medical plan.

Based on current retiree plan elections, future retirees are assumed to elect plan coverage at the following rates:

Alliance Select	52%
Blue Access	48%

Changes in the Total OPEB Liability:

	Total OPEB Liability
Balance as of June 30, 2019	\$ 45,343,071
Changes for the year:	
Service cost	5,809,199
Interest	1,757,982
Changes in assumptions or other inputs	(2,729,718)
Contributions and payments made	(1,848,426)
Net changes	2,989,037
Balance as of June 30, 2020	\$ 48,332,108

Changes of assumptions and other inputs reflect a change in the discount rate from 3.50% in 2019 to 2.21% in 2020 a change in the mortality improvement scale, a lowered participation rate and reduction of health care cost trend rates by 0.50% as the rates decrease towards the ultimate rates as assumed.

Changes in benefit terms included increases in deductibles, office visit copays as well as a few other changes.

Differences between expected and actual experience is due to a decrease in the overall stop loss rate, better than expected claims experience, along with higher than expected premiums and a decrease in the overall active and retired populations.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the approximate total OPEB liability of the District calculated using a discount rate of 2.21%, as well as what the District's approximate total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (1.21%) or 1-percentage-point higher (3.21%) than the current discount rate:

	1% Decrease (1.21%)	Discount Rate (2.21%)	1% Increase (3.21%)
Total OPEB liability as of June 30, 2020	\$ 52,529,000	\$ 48,332,108	\$ 43,882,000

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 10. Other Postemployment Benefits (Continued)

Sensitivity of the total OPEB liability to changes in the health care cost trend rates: The following presents the approximate total OPEB liability of the District calculated using health care cost trend rates of 5.50% decreasing to 4.00%, as well as what the District's approximate total OPEB liability would be if it were calculated using health care cost trend rates that are 1-percentage-point lower (4.50% decreasing to 3.00%) or 1-percentage-point higher (6.50% decreasing to 5.00%) than the current health care cost trend rates:

	1% Decrease (4.50% decreasing to 3.00%)	Healthcare Cost Trend Rates (5.50% decreasing to 4.00%)	1% Increase (6.50% decreasing to 5.00%)
Total OPEB liability as of June 30, 2020	\$ 38,098,000	\$ 48,332,108	\$ 55,342,000

OPEB expense and deferred outflows of resources and deferred inflows of resources related to OPEB: For the year ended June 30, 2020, the District recognized OPEB expense of \$3,054,286. At June 30, 2020, the District reported deferred inflows of resources related to OPEB from changes in assumptions or other inputs in the amount of \$15,889,699 and differences between expected and actual experience of \$13,677,760.

Amounts reported as the deferred inflows of resources related to OPEB will be recognized in OPEB expense over the average future service to retirement of plan participants as follows:

	Deferred Inflows of Resources
Years ending June 30:	
2021	\$ 2,664,472
2022	2,664,472
2023	2,664,472
2024	2,664,472
2025	2,664,472
Thereafter	16,245,099
	<u>\$ 29,567,459</u>

Note 11. Tax Abatements

GASB Statement No. 77, *Tax Abatement Disclosures* defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2020 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Des Moines, Iowa	Urban renewal and economic development projects	\$ 6,359,272
City of Pleasant Hill, Iowa	Urban renewal and economic development projects	105
		<u>\$ 6,359,377</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 11. Tax Abatements (Continued)

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2020, the District received \$2,144,512 of State Foundation Aid Replacement from the State of Iowa to replace \$5.40/per \$1,000 of assessed valuation lost due to tax increment financing tax abatements paid by the above listed municipalities.

Note 12. Fund Balances

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, establishes criteria for classifying fund balances into specifically defined classifications and clarifies definitions for governmental fund types. The details for the District's fund balance as of June 30, 2020 are as follows:

Fund Balances:	General	Capital Projects	Nonmajor Governmental	Total
Nonspendable:				
Inventories	\$ 1,242,547	\$ -	\$ 57	\$ 1,242,604
Prepays	944,717	-	1,185,377	2,130,094
Total nonspendable	2,187,264	-	1,185,434	3,372,698
Restricted:				
Student activities	-	-	1,228,566	1,228,566
Management levy purposes	-	-	5,358,082	5,358,082
Physical plant and equipment	-	-	3,863,960	3,863,960
Public education and recreation	-	-	1,207,495	1,207,495
DMPs expendable trust	-	-	2,166,497	2,166,497
Capital projects	-	91,530,983	-	91,530,983
Categorical funding	14,968,048	-	-	14,968,048
Shared programs	1,661,684	-	-	1,661,684
Grants	958,588	-	-	958,588
Total restricted	17,588,320	91,530,983	13,824,600	122,943,903
Committed:				
Common core projects	5,000,000	-	-	5,000,000
Technology	6,500,000	-	-	6,500,000
Total committed	11,500,000	-	-	11,500,000
Assigned:				
Technology	755,376	-	-	755,376
Parent pay reserve	1,618,746	-	-	1,618,746
Total assigned	2,374,122	-	-	2,374,122
Unassigned	91,410,321	-	-	91,410,321
Total fund balances	\$ 125,060,027	\$ 91,530,983	\$ 15,010,034	\$ 231,601,044

Nonspendable:

Inventories: These dollars have been committed and spent on inventories that have yet to be consumed.

Prepaid items: These dollars have been spent on expenditures that relate to subsequent fiscal years.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 12. Fund Balances (Continued)

Restricted:

The following list of funds are restricted per Department of Education policy or explicitly stated in Iowa code. Please refer to Note 1 for a description of each funds restricted purpose:

- Student Activities
- Management Levy Purposes
- Physical Plant and Equipment (PPEL)
- Public Education and Recreation (PERL)
- DMPS Expendable Trust
- Capital Projects
- Permanent Trust

Categorical funding: These are funds that Des Moines Public Schools has received from State and Federal sources. These dollars have to be spent in accordance with the guidelines defined by each of these categories. These programs include, but are not limited to:

- 4-Year Old Preschool
- Early Childhood
- English Language Learners (Students that English is not their first language)
- Nonpublic Textbooks
- Professional Development
- Professional Development specifically for the Common Core implementation
- Success Early Readers
- Gifted & Talented
- Teacher Leadership/Teacher Mentoring
- Medicaid Reimbursement
- Special Education Reserve to be utilized for special education related expenditures

Grants: These are funds that have been granted to the District from Federal, State or Local sources. These funds can only be spent as defined by the grant.

Shared Programs Reserve: These funds have been set aside to allow students to take classes outside of their core classes. These courses allow students to take college level courses and career courses that will help transfer these credits to a college after graduation.

Committed:

Common core projects: These funds have been set aside to help the District continue to develop Common Core Strategies across the District now and in future years. This initiative will require significant resources and manpower to help the District move forward to this goal.

Technology: These funds have been set aside for curriculum technology as the District moves toward the Common Core Strategies and continue to move the District into the future state of learning in the 21st Century.

Des Moines Independent Community School District

Notes to Basic Financial Statements Year Ended June 30, 2020

Note 12. Fund Balances (Continued)

Assigned:

Technology: These are funds that have been set aside to make sure that the District can maintain and improve its current technology infrastructure. This enables the students and employees to have access to the technology needs for the present and the future.

Parent pay reserve: The District has several pre-school programs serving more than 1,900 students, including multiple funding sources. In most cases, half of the school day is covered through the state-funded Universal Preschool Program. The remaining portion of the day is often covered by fees charged to parents (referred to as parent pay revenue). As a result, the District assigned the remaining funds in the parent pay account to be utilized for future pre-school needs.

Note 13. Pending Governmental Accounting Standards Board (GASB) Pronouncements

GASB Statement No. 95, *Postponement of the Effective Dates of Certain Authoritative Guidance*, issued in May 2020, will be effective immediately for the District. The objective of Statement No. 95 is to provide temporary relief to governments and other stakeholders in light of the COVID-19 pandemic by delaying the effective dates of pronouncements not yet adopted by 12-18 months. The following pronouncements have been updated to reflect the new effective dates.

The GASB has issued several statements not yet implemented by the District. The Statements which might impact the District are as follows:

- GASB Statement No. 84, *Fiduciary Activities*, issued January 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021. Statement No. 84 is designed to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. This Statement establishes criteria for identifying fiduciary activities of all state and local governments. The focus of the criteria generally is on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities.
- GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2022. Statement No 87, is designed to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.
- GASB Statement No. 96, *Subscription-Based Information Technology Arrangements*, issued May 2020, provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users. This statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset—an intangible asset—and a corresponding subscription liability; (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosure regarding a SBITA. This statement will be effective for the District with its year ending June 30, 2023.

Des Moines Independent Community School District

Notes to Basic Financial Statements
Year Ended June 30, 2020

Note 13. Pending Governmental Accounting Standards Board (GASB) Pronouncements (Continued)

- GASB Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans*, issued June 2020, will result in more consistent financial reporting of defined contribution pension plans, defined contribution OPEB plans, and other employee benefit plans. This statement will also enhance the relevance, consistency and comparability of (1) the information related to Section 457 plans that meet the definition of a pension plan and the benefits provided through those plans and (2) investment information for all Section 457 plans. Another objective of this statement is to increase consistency and comparability related to the reporting of fiduciary component units in circumstances in which a potential component unit does not have a governing board and the primary government performs the duties that a governing board typically would perform. This statement will be effective for the District with its year ending June 30, 2022.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Des Moines Independent Community School District

Required Supplementary Information

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

	June 30, 2020	June 30, 2019	June 30, 2018	June 30, 2017
Total OPEB Liability:				
Service cost	\$ 5,809,199	\$ 5,612,753	\$ 6,736,438	\$ 6,485,451
Interest	1,757,982	2,877,808	2,702,819	2,415,343
Changes in benefit terms	-	(4,273,106)	-	-
Difference between expected and actual experience	-	(16,056,500)	-	-
Changes of assumptions and other inputs	(2,729,718)	(10,863,757)	(1,604,544)	(4,247,673)
Contributions and payments made	(1,848,426)	(1,406,697)	(2,971,963)	(2,091,035)
Net change in total OPEB liability	2,989,037	(24,109,499)	4,862,750	2,562,086
Total OPEB liability, beginning	45,343,071	69,452,570	64,589,820	62,027,734
Total OPEB liability, ending	\$ 48,332,108	\$ 45,343,071	\$ 69,452,570	\$ 64,589,820
Covered payroll	\$ 265,906,251	\$ 265,893,659	\$ 270,536,351	\$ 262,230,859
Total OPEB liability as a percentage of covered payroll	18.18%	17.05%	25.67%	24.63%

Notes to schedule:

Changes of assumptions. Changes of assumptions and other inputs reflect the changes in the discount rate each period. The following are discount rates used in each period.

2017	3.58%
2018	3.87
2019	3.50
2020	2.21

The following are health care cost trend rates used in each period.

2017—7.00% for medical and prescription benefits and 4.50% for administrative fees, decreasing 0.50 per year to an ultimate rate of 4.50% for 2022 and later years.

2018—6.50% for medical and prescription benefits and 4.00% for administrative fees, decreasing 0.50 per year to an ultimate rate of 4.00% for 2022 and later years.

2019—6.00% for medical and prescription benefits and 4.50% for administrative fees, decreasing 0.50 per year to an ultimate rate of 4.00% for 2022 and later years.

2020—5.50% for medical and prescription benefits and 4.00% for administrative fees, decreasing 0.50 per year to an ultimate rate of 4.00% for 2022 and later years.

Note: GASB Statement No. 75 requires the presentation of 10 years of information. However, until a full 10-year trend is compiled, the District will present information for those years which information is available.

Des Moines Independent Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

	June 30, 2020	June 30, 2019
District's proportion of the net pension liability	3.176775%	3.267692%
District's proportionate share of the net pension liability	\$ 185,191,878	\$ 206,722,536
District's covered payroll	\$ 243,397,763	\$ 245,660,552
District's proportionate share of the net pension liability as a percentage of its covered payroll	76.09%	84.15%
Plan fiduciary net position as a percentage of the total pension liability	85.45%	83.62%

Note: GASB Statement No. 68 requires 10 years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present information for those years for which information is available.

June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015
3.171386%	3.180910%	3.109113%	2.990126%
\$ 211,254,423	\$ 200,184,731	\$ 153,605,231	\$ 121,012,958
\$ 236,726,377	\$ 228,344,150	\$ 213,014,784	\$ 199,662,244
89.24%	87.67%	72.11%	60.61%
82.21%	81.82%	85.19%	87.61%

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of the District's Contributions
Iowa Public Employees' Retirement System**

Fiscal Year Ended June 30,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contribution as a Percentage of Covered Payroll
2020	\$ 23,087,996	\$ 23,087,996	\$ -	\$ 244,576,229	9.44%
2019	22,976,746	22,976,746	-	243,397,763	9.44
2018	21,937,488	21,937,488	-	245,660,552	8.93
2017	21,139,663	21,139,663	-	236,726,377	8.93
2016	20,391,133	20,391,133	-	228,344,150	8.93
2015	19,022,220	19,022,220	-	213,014,784	8.93
2014	17,947,600	17,947,600	-	199,662,244	8.99
2013	16,364,515	16,364,515	-	N/A	N/A
2012	14,947,018	14,947,018	-	N/A	N/A
2011	12,599,247	12,599,247	-	N/A	N/A

N/A - information is not available for this fiscal year.

Des Moines Independent Community School District

Note to Required Supplementary Information Iowa Public Employees' Retirement System Year Ended June 30, 2020

The information presented in the required supplementary schedule was determined as part of the June 30, 2019 and 2018 actuarial valuations.

Changes in actuarial assumptions and methods:

June 30, 2019 Valuation:

- None

June 30, 2018 Valuation:

- Mortality assumption was changed to the family of RP-2014 Mortality Tables for all groups, with mortality improvements modeled using Scale MP-2017.
- Retirement rates for Regular members were lowered to better reflect actual experience. For the Sheriffs and Deputies, the retirement assumption was modified to reflect lower retirement rates at the younger ages. For the Protection Occupation group, the retirement rates were modified both higher and lower across the age ranges.
- Disability rates were lowered for all groups to better reflect the actual experience.
- Termination rates for Regular members were adjusted to better reflect actual experience. Separate termination assumptions were adopted for the two Special Service groups and the assumptions were changed to be service-based rather than age-based.
- The probability of a vested member electing to receive a deferred benefit was adjusted for Regular members to better reflect actual experience.
- The merit component of the salary increase assumptions was adjusted to better reflect actual salary increases.

June 30, 2017 Valuation:

- The inflation assumption decreased from 3.00% to 2.60% per year.
- The assumed rate of interest on member accounts was decreased from 3.75% to 3.50% per year.
- The long-term rate of return assumption decreased from 7.50% to 7.00% per year.
- The wage growth and payroll growth assumption decreased from 4.00% to 3.25% per year.
- Salary increase assumption decreased by 0.75%.

June 30, 2016 Valuation:

- None

June 30, 2015 Valuation:

- None

Des Moines Independent Community School District

Note to Required Supplementary Information Iowa Public Employees' Retirement System Year Ended June 30, 2020

June 30, 2014 Valuation:

- The inflation assumption decreased from 3.25% to 3.00% per year.
- The assumed rate of interest on member accounts was decreased from 4.00% to 3.75% per year.
- Male mortality rates for Regular members were adjusted:
 - o State males were changed to the RP-2000 Healthy Annuitant Table using generational mortality projections with no age adjustment.
 - o School males were changed to the RP-2000 Healthy Annuitant Table using generational mortality projections with a 1-year age set back and rates decreased by 5% below age 75.
 - o Other males were changed to the RP-2000 Healthy Annuitant Table using generational mortality projections with no age adjustment.
- Retirement rates were reduced for Sheriffs and Deputies between the ages of 55 and 64.
- Beginning June 30, 2014, the Amortization Method amortizes the June 30, 2014 UAL as a level percentage of payroll over a closed 30-year period. Each year thereafter, changes in the UAL will result in the establishment of new amortization bases. The future bases arising from plan experience will be amortized over a closed 20-year period beginning on the date the base is established. The amortization period for changes in the UAL due to plan amendments and assumption changes will be determined by the Investment Board at the time they occur.

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Changes in Net Pension (Asset)
Des Moines Teachers' Retirement System**

	2020	2019	2018	2017
Total Pension Liability				
Interest	\$ 10,491,563	\$ 9,850,960	\$ 10,600,709	\$ 11,061,733
Service cost	2,506,661	2,662,665	3,093,833	3,170,939
Benefit payments	(18,641,113)	(19,246,304)	(16,736,075)	(16,737,133)
Difference between expected and actual experience	(3,155,225)	16,672,458	454,936	(659,353)
Changes in assumptions	18,847,928	4,071,232	(205,296)	(6,051,814)
Unadjusted difference to statement of net position	-	-	-	-
Net change in total pension liability	10,049,814	14,011,011	(2,791,893)	(9,215,628)
Total pension liability—beginning of year	241,213,064	227,202,054	229,993,947	239,209,575
Total pension liability—end of year	\$ 251,262,878	\$ 241,213,065	\$ 227,202,054	\$ 229,993,947
Plan Net Position				
Contributions—employer	\$ 1,383,617	\$ 1,561,342	\$ 1,707,565	\$ 1,809,156
Contributions—members	1,123,044	1,101,323	1,386,268	1,383,568
Investment income, net of investment expenses	12,030,385	17,530,073	5,467,803	8,976,669
Benefit payments	(18,641,113)	(19,246,305)	(16,736,075)	(16,737,133)
Administrative expenses	(93,792)	(103,014)	(89,897)	(86,307)
Net change in plan net position	(4,197,859)	843,419	(8,264,336)	(4,654,047)
Total plan net position—beginning of year	237,677,457	236,834,038	245,098,374	249,752,421
Total plan net position—end of year	\$ 233,479,598	\$ 237,677,457	\$ 236,834,038	\$ 245,098,374
Net pension (asset)	\$ 17,783,280	\$ 3,535,608	\$ (9,631,984)	\$ (15,104,427)

See note to required supplementary information.

2016	2015	2014	2013	2012	2011
\$ 13,296,891	\$ 11,540,872	\$ 10,694,208	\$ 11,114,714	\$ 11,108,011	\$ 10,494,061
3,406,928	3,540,132	3,486,593	3,378,539	3,688,025	4,002,473
(16,089,811)	(15,741,167)	(15,527,208)	(14,784,760)	(14,225,762)	(14,507,397)
4,733,074	-	(2,173,638)	548,767	(457,090)	2,229,875
-	-	12,834,761	-	-	-
-	(2,395,304)	-	-	-	-
5,347,082	(3,055,467)	9,314,716	257,260	113,184	2,219,012
233,862,493	236,917,960	227,603,244	227,345,984	227,232,800	225,013,788
\$ 239,209,575	\$ 233,862,493	\$ 236,917,960	\$ 227,603,244	\$ 227,345,984	\$ 227,232,800
\$ 1,880,180	\$ 1,940,452	\$ 1,766,655	\$ 1,707,967	\$ 1,990,777	\$ 2,161,435
1,526,748	1,599,680	1,719,938	1,670,572	1,697,248	1,841,038
15,786,080	9,342,942	20,652,265	5,954,025	25,620,970	18,665,905
(16,089,811)	(15,741,167)	(15,527,208)	(14,784,760)	(14,225,762)	(14,507,397)
(92,792)	(197,373)	(201,969)	(307,487)	(281,635)	(258,575)
3,010,405	(3,055,466)	8,409,681	(5,759,683)	14,801,598	7,902,406
246,742,016	249,797,482	241,387,802	247,147,485	232,345,887	224,443,481
\$ 249,752,421	\$ 246,742,016	\$ 249,797,483	\$ 241,387,802	\$ 247,147,485	\$ 232,345,887
\$ (10,542,846)	\$ (12,879,523)	\$ (12,879,523)	\$ (13,784,558)	\$ (19,801,501)	\$ (5,113,087)

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Net Pension Liability (Asset) and Related Ratios
Des Moines Teachers' Retirement System**

	2020	2019	2018	2017
Total pension liability—end of year	\$ 251,262,878	\$ 241,213,065	\$ 227,202,054	\$ 229,993,947
Plan net position—end of year	233,479,598	237,677,458	236,834,038	245,098,374
Net pension liability (asset)	\$ 17,783,280	\$ 3,535,607	\$ (9,631,984)	\$ (15,104,427)
Plan net position as a percentage of the total pension liability (asset)	92.9%	98.5%	104.2%	106.6%
Covered payroll	\$ 17,693,180	\$ 18,197,426	\$ 20,381,987	\$ 19,420,566
Net pension liability (asset) as a percentage of covered payroll	100.5%	19.4%	(47.3)%	(77.8)%

See note to required supplementary information.

2016	2015	2014	2013	2012	2011
\$ 239,209,575	\$ 233,862,493	\$ 236,917,960	\$ 227,603,244	\$ 227,345,984	\$ 227,232,800
249,752,421	246,742,016	249,797,483	241,387,802	247,147,485	232,345,887
\$ (10,542,846)	\$ (12,879,523)	\$ (12,879,523)	\$ (13,784,558)	\$ (19,801,501)	\$ (5,113,087)
104.4%	105.5%	105.4%	106.1%	108.7%	102.3%
\$ 19,971,785	\$ 25,125,460	\$ 26,211,873	\$ 27,639,623	\$ 29,907,522	\$ 32,622,539
(52.8)%	(51.2)%	(49.1)%	(49.9)%	(66.2)%	(15.7)%

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Money-Weighted Rate of Return
Des Moines Teachers' Retirement System**

Plan year ended June 30:

2011	8.5
2012	11.3
2013	2.5
2014	8.8
2015	3.8
2016	6.6
2017	3.7
2018	2.3
2019	7.7
2020	5.2

See note to required supplementary information.

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Contributions From the District
Des Moines Teachers' Retirement System**

Plan Year Ended June 30,	Annual Required Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contributions as a Percent of Covered Payroll
2011	\$ 2,161,435	\$ 2,161,435	\$ -	\$ 32,622,539	6.6%
2012	1,990,777	1,990,777	-	29,907,522	6.7
2013	1,707,967	1,707,967	-	27,639,623	6.2
2014	1,766,655	1,766,655	-	26,211,873	6.7
2015	1,940,452	1,940,452	-	25,125,460	7.7
2016	1,880,180	1,880,180	-	19,971,785	9.4
2017	1,750,905	1,750,905	-	19,420,566	9.0
2018	1,707,565	1,707,565	-	20,381,987	8.4
2019	1,561,342	1,561,342	-	18,197,426	8.6
2020	1,383,617	1,383,617	-	17,693,180	7.8

See note to required supplementary information.

Des Moines Independent Community School District

Note to Required Supplementary Information Des Moines Teachers' Retirement System Year Ended June 30, 2020

The information presented in the required supplementary schedule was determined as part of the June 30, 2020 actuarial valuation.

Changes in actuarial assumptions and methods:

June 30, 2020 Valuation:

- The mortality tables used changed to Pub-2010 Mortality Tables for Teachers with projection using scale MP-2019

June 30, 2019 Valuation:

- The mortality improvement scale was changed to MP-2019

June 30, 2018 Valuation:

- None

June 30, 2017 Valuation:

- The discount rate was changed from 4.75% to 4.5%
- The mortality improvement scale was changed to MP-2017

June 30, 2016 Valuation:

- The mortality improvement scale was changed to MP-2016

June 30, 2015 Valuation:

- The discount rate was changed from 3.5-4.5% to 4.75%
- The mortality improvement scale was changed to MP-2015

June 30, 2014 Valuation:

- The mortality improvement scale was changed to MP-2014

Des Moines Independent Community School District

Required Supplementary Information

Budgetary Comparison Schedule

All Governmental Funds, Enterprise Funds and Private Purpose Trust Funds

Year Ended June 30, 2020

	Actual			
	Governmental Fund Types	Enterprise Funds	Private Purpose Trust Funds	Total
Revenues:				
Local sources	\$ 181,775,366	\$ 4,141,908	\$ 1,420,228	\$ 187,337,502
Intermediate sources	749,892	-	-	749,892
State sources	299,868,060	174,058	-	300,042,118
Federal sources	38,615,413	19,287,466	-	57,902,879
Total revenues	521,008,731	23,603,432	1,420,228	546,032,391
Expenditures/Expenses:				
Instruction	273,859,957	-	-	273,859,957
Support services	159,010,079	20,321,976	-	179,332,055
Noninstructional	2,014,478	-	160,805	2,175,283
Other	69,287,642	5,119,037	-	74,406,679
Total expenditures/expenses	504,172,156	25,441,013	160,805	529,773,974
Excess (deficiency) of revenues over expenditures/expenses	16,836,575	(1,837,581)	1,259,423	16,258,417
Other financing sources (uses):				
Proceeds from sale of capital assets	109,531	207,310	-	316,841
Transfers in	24,268,720	-	-	24,268,720
Transfers (out)	(23,689,723)	(578,997)	-	(24,268,720)
Net change in fund balances/net position	\$ 17,525,103	\$ (2,209,268)	\$ 1,259,423	\$ 16,575,258

Note: Capital project expenditures have been classified according to function for budgetary comparison purposes.

See note to required supplementary information.

Budget			
Original	Final	Final Budget to Actual Variance	
\$ 181,939,000	\$ 181,907,000	\$ 5,430,502	
710,000	710,000	39,892	
303,417,000	303,447,000	(3,404,882)	
58,792,000	58,792,000	(889,121)	
544,858,000	544,856,000	1,176,391	
270,691,000	270,691,000	3,168,957	
166,034,000	166,034,000	13,298,055	
29,724,000	29,724,000	(27,548,717)	
72,997,000	79,499,000	(5,092,321)	
539,446,000	545,948,000	(16,174,026)	
5,412,000	(1,092,000)	17,350,417	
-	-	316,841	
22,995,000	22,995,000	1,273,720	
(22,995,000)	(22,995,000)	(1,273,720)	
\$ 5,412,000	\$ (1,092,000)	\$ 17,667,258	

Des Moines Independent Community School District

Note to Required Supplementary Information Budgetary Comparison Schedule Year Ended June 30, 2020

Note 1. Basis of Presentation

The District operates within the budget requirements for school districts as specified by state law and as prescribed by the Iowa Department of Management. Budgets are prepared in accordance with accounting principles generally accepted in the United States of America (GAAP).

For the fiscal year beginning July 1, a proposed budget is adopted by the Board and filed with the County Auditor no later than April 15. The budget is certified by the County Auditor to the Department of Management.

Once adopted, the budget can be amended by the Board. The amendment must be published and a public hearing conducted prior to the amendment. Any amendments must be certified to the County Auditor no later than May 31. The proposed expenditure budget is advertised in the local newspaper, together with a notice of public hearing.

The legal level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is the functional area for budgeted governmental, enterprise, and private purpose trust funds in total, rather than by individual fund type. Formal and legal budgetary control is based on four major classes of expenditures known as functional areas. These four functional areas are instruction, support services, noninstructional programs and other expenditures. During the year ended June 30, 2020, the District was below budget in noninstructional programs and other expenditures. Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. Authorized expenditures cannot exceed the lesser of the certified budget plus any allowable amendments, or the authorized budget, which is the sum of the District's cost for that year plus the actual miscellaneous income received for that year plus the actual unspent balance from the preceding year. Appropriations as adopted and amended lapse at the end of the fiscal year.

During the year, one budget amendment increased budgeted expenditures by \$6,501,780.

The District is required by the Code of Iowa to budget for its share of media, educational services and special education support provided through the local area education agency. The District's actual amount for this purpose totaled \$15,108,730 for the year ended June 30, 2020.

NONMAJOR GOVERNMENTAL FUNDS

Special Revenue Funds

Account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Student Activity Funds: This fund accounts for transactions that occur due to student-related activities from groups and organizations such as athletic and activity events, fundraising and other extracurricular or cocurricular activities.

Management: This fund is authorized by Iowa Code Section 298.4 and accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

DMPS (expendable trust funds): This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the District.

Debt Service Fund

Accounts for and reports financial resources that are restricted, committed or assigned to expenditure for principal and interest on long-term debt.

Capital Projects Funds

Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Physical Plant and Equipment Levy (PPEL): This capital projects fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3.

Public Education and Recreation Levy (PERL): This fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity.

Des Moines Independent Community School District

Combining Balance Sheet
All Nonmajor Governmental Funds
June 30, 2020

	Special Revenue		
	Student Activity	Management	DMPS
Assets			
Cash and investments	\$ 1,296,474	\$ 6,418,574	\$ 1,076,433
Restricted investments	-	-	1,091,792
Property taxes receivable—current year	-	121,839	-
Property taxes receivable—succeeding year	-	26,873,171	-
Inventories	57	-	-
Other receivables	7,241	-	-
Due from other funds	82,586	-	-
Prepaid items	770	-	-
Total assets	\$ 1,387,128	\$ 33,413,584	\$ 2,168,225
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 139,965	\$ 632,809	\$ 1,728
Accrued payroll	17,445	-	-
Termination benefits	-	463,049	-
Other current liabilities	-	-	-
Due to other funds	-	82,586	-
Due to other governments	325	3,887	-
Total liabilities	157,735	1,182,331	1,728
Deferred inflows of resources, succeeding year, property taxes	-	26,873,171	-
Total deferred inflows of resources	-	26,873,171	-
Fund balances:			
Nonspendable	827	-	-
Restricted	1,228,566	5,358,082	2,166,497
Total fund balances	1,229,393	5,358,082	2,166,497
Total liabilities, deferred inflows of resources and fund balances	\$ 1,387,128	\$ 33,413,584	\$ 2,168,225

Capital Projects		
Physical Plant and Equipment Levy	Public Education and Recreation Levy	Total Nonmajor Governmental Funds
\$ 5,496,157	\$ 1,198,578	\$ 15,486,216
-	-	1,091,792
72,457	9,249	203,545
8,924,011	1,119,619	36,916,801
-	-	57
-	53	7,294
-	-	82,586
1,101,274	83,333	1,185,377
\$ 15,593,899	\$ 2,410,832	\$ 54,973,668

\$ 1,580,290	\$ 7	\$ 2,354,799
-	378	17,823
-	-	463,049
124,364	-	124,364
-	-	82,586
-	-	4,212
1,704,654	385	3,046,833

8,924,011	1,119,619	36,916,801
8,924,011	1,119,619	36,916,801

1,101,274	83,333	1,185,434
3,863,960	1,207,495	13,824,600
4,965,234	1,290,828	15,010,034

\$ 15,593,899	\$ 2,410,832	\$ 54,973,668
---------------	--------------	---------------

Des Moines Independent Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

All Nonmajor Governmental Funds

Year Ended June 30, 2020

	Special Revenue		
	Student Activity	Management	DMPS
Revenues:			
Property taxes	\$ -	\$ 14,210,348	\$ -
Other local sources	-	-	208,267
Investment earnings (loss)	14,773	-	(450,755)
Student activities	1,591,668	-	-
Total revenues	1,606,441	14,210,348	(242,488)
Expenditures:			
Current:			
Instruction	1,903,169	1,671,531	41,804
Student services	-	176,735	-
Instructional support services	-	-	2,430
General administration	-	2,053,411	-
Building administration	-	53,700	-
Business and central administration	-	15,654	-
Plant operation and maintenance	-	1,866,595	18,150
Student transportation	-	1,561,369	-
Noninstructional	-	521,968	-
Capital outlay	-	-	-
Debt service:			
Principal retirement	-	-	-
Interest	-	-	-
Total expenditures	1,903,169	7,920,963	62,384
Excess (deficiency) of revenues over expenditures	(296,728)	6,289,385	(304,872)
Other financing sources (uses), transfers in	-	-	-
Total other financing sources (uses)	-	-	-
Net change in fund balances	(296,728)	6,289,385	(304,872)
Fund balances (deficit), beginning of year	1,526,121	(931,303)	2,471,369
Fund balances, end of year	\$ 1,229,393	\$ 5,358,082	\$ 2,166,497

		Capital Projects		Total Nonmajor Governmental Funds
		Physical Plant and Equipment Levy	Public Education and Recreation Levy	
Debt Service				
\$	-	\$ 8,404,254	\$ 1,051,616	\$ 23,666,218
	-	575,974	10,689	794,930
	-	61,796	-	(374,186)
	-	-	297	1,591,965
	-	9,042,024	1,062,602	25,678,927
	-	1,928,898	26,052	5,571,454
	-	-	-	176,735
	-	-	16,908	19,338
	-	-	-	2,053,411
	-	-	-	53,700
	-	202,186	66,265	284,105
	-	3,367,343	-	5,252,088
	-	1,512,153	-	3,073,522
	-	-	245,345	767,313
	-	5,120,690	310,469	5,431,159
16,015,000	-	-	-	16,015,000
6,980,050	-	-	-	6,980,050
22,995,050	12,131,270	665,039	45,677,875	
(22,995,050)	(3,089,246)	397,563	(19,998,948)	
22,995,050	-	-	22,995,050	
22,995,050	-	-	22,995,050	
-	(3,089,246)	397,563	2,996,102	
-	8,054,480	893,265	12,013,932	
\$	-	\$ 4,965,234	\$ 1,290,828	\$ 15,010,034

NONMAJOR ENTERPRISE FUNDS

Enterprise funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

School Nutrition Fund

This fund accounts for transactions related to the school lunch, breakfast and summer food programs authorized by Iowa Code Section 283A.

Child Care Fund

This fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 298A.12 and 279.49.

Home Construction Fund

This fund accounts for transactions for the home building activity performed by students as part of their instructional or extracurricular program. This fund also accounts for the sale of those homes.

Automotive Fund

This fund accounts for transactions for the service and repair of automobiles performed by students as part of their instructional or extracurricular program.

Des Moines Independent Community School District

**Combining Statement of Net Position
All Nonmajor Enterprise Funds
June 30, 2020**

	School Nutrition	Child Care	Home Construction
Assets			
Current assets:			
Cash and cash equivalents	\$ 438,179	\$ -	\$ 116,148
Other receivables, net	106,722	552,827	-
Due from other governments	775,132	-	-
Inventories	903,938	-	-
Prepaid expenses	-	2,733	-
Assets held for sale	-	-	9,500
Total current assets	2,223,971	555,560	125,648
Noncurrent assets:			
Capital assets:			
Nondepreciable	-	-	198,057
Depreciable, net	1,978,649	-	-
Advances to other funds	473,627	-	-
Total noncurrent assets	2,452,276	-	198,057
Total assets	4,676,247	555,560	323,705
Deferred Outflow of Resources, pension related amounts	1,478,150	583,062	-
Liabilities			
Current liabilities:			
Accounts payable	98,994	16,463	-
Accrued payroll	70,579	-	-
Unearned revenue	177,162	57,793	-
Compensated absences	88,374	66,534	-
Total current liabilities	435,109	140,790	-
Noncurrent liabilities:			
Advances from other funds	-	473,627	-
Compensated absences	286,489	45,149	-
Net pension liability	5,160,870	2,097,526	-
Total noncurrent liabilities	5,447,359	2,616,302	-
Total liabilities	5,882,468	2,757,092	-
Deferred Inflow of Resources, pension related amounts	1,065,771	547,985	-
Net Position (Deficit)			
Investment in capital assets	1,978,649	-	198,057
Unrestricted (deficit)	(2,772,491)	(2,166,455)	125,648
Total net position (deficit)	\$ (793,842)	\$ (2,166,455)	\$ 323,705

Automotive		Total	
\$	60,273	\$	614,600
	276		659,825
	-		775,132
	-		903,938
	-		2,733
	-		9,500
	60,549		2,965,728
	-		198,057
	7,277		1,985,926
	-		473,627
	7,277		2,657,610
	67,826		5,623,338
	-		2,061,212
	33		115,490
	-		70,579
	-		234,955
	-		154,908
	33		575,932
	-		473,627
	-		331,638
	-		7,258,396
	-		8,063,661
	33		8,639,593
	-		1,613,756
	7,277		2,183,983
	60,516		(4,752,782)
\$	67,793	\$	(2,568,799)

Des Moines Independent Community School District

Combining Statement of Revenues, Expenses and Changes in Fund Net Position (Deficit)

All Nonmajor Enterprise Funds

Year Ended June 30, 2020

	School Nutrition	Child Care	Home Construction
Operating revenues:			
Student activities	\$ -	\$ -	\$ -
Charges for services:			
Sale of food	833,949	-	-
Child care	-	3,204,779	-
Total operating revenues	833,949	3,204,779	-
Operating expenses:			
Student services	20,290,237	-	-
Depreciation	340,029	-	-
Community services	-	4,774,139	3,761
Total operating expenses	20,630,266	4,774,139	3,761
Operating loss	(19,796,317)	(1,569,360)	(3,761)
Nonoperating revenues:			
Other local sources	81,088	-	-
State sources	174,058	-	-
Federal sources	19,287,466	-	-
Gain on sale of assets	-	-	207,310
Total nonoperating revenues	19,542,612	-	207,310
Transfers (out)in	(1,273,670)	694,673	-
Income (loss)	(1,527,375)	(874,687)	203,549
Total net position (deficit), beginning of year	733,533	(1,291,768)	120,156
Total net position (deficit), end of year	\$ (793,842)	\$ (2,166,455)	\$ 323,705

Automotive		Total	
\$	22,092	\$	22,092
	-		833,949
	-		3,204,779
	22,092		4,060,820
	31,739		20,321,976
	1,108		341,137
	-		4,777,900
	32,847		25,441,013
	(10,755)		(21,380,193)
	-		81,088
	-		174,058
	-		19,287,466
	-		207,310
	-		19,749,922
	-		(578,997)
	(10,755)		(2,209,268)
	78,548		(359,531)
\$	67,793	\$	(2,568,799)

Des Moines Independent Community School District

Combining Statement of Cash Flows All Nonmajor Enterprise Funds Year Ended June 30, 2020

	School Nutrition	Child Care	Home Construction
Cash flows from operating activities:			
Cash received from user charges	\$ 882,836	\$ 4,102,538	\$ -
Cash payments to employees for services	(10,260,775)	(3,722,932)	-
Cash payments to suppliers for goods and services	(8,259,977)	(952,555)	(6,344)
Net cash used in operating activities	(17,637,916)	(572,949)	(6,344)
Cash flows from noncapital financing activities:			
Payments from other funds	201,398	-	(79,623)
Payments to other funds	-	(121,774)	-
Grants and donations received	17,603,355	-	-
Transfers in	(1,273,670)	-	-
Transfers out	-	694,673	-
Net cash provided by (used in) by noncapital financing activities	16,531,083	572,899	(79,623)
Cash flows from capital and related financing activities,			
Proceeds from sale of capital assets	-	-	212,172
Acquisition of capital assets	(74,718)	-	(10,057)
Net cash provided by (used in) noncapital financing activities	(74,718)	-	202,115
Net increase (decrease) in cash and cash equivalents	(1,181,551)	(50)	116,148
Cash and cash equivalents, beginning of year	1,619,730	50	-
Cash and cash equivalents, end of year	<u>\$ 438,179</u>	<u>\$ -</u>	<u>\$ 116,148</u>
Reconciliation of operating (loss) to net cash used in operating activities:			
Operating (loss)	\$ (19,796,317)	\$ (1,569,360)	\$ (3,761)
Adjustments to reconcile operating (loss) to net cash used in operating activities:			
Depreciation	340,029	-	-
Commodities used	1,423,645	-	-
Changes in assets and liabilities:			
Receivables	32,779	859,463	-
Prepaid items	-	(2,245)	-
Inventories	(188,934)	-	-
Accounts payable and due to other governments	(5,910)	(31,236)	(2,583)
Unearned revenue	16,108	38,296	-
Accrued liabilities and compensated absences	156,874	(8,571)	-
Net pension liability	(633,408)	(232,206)	-
Deferred outflows of resources	296,906	108,845	-
Deferred inflows of resources	720,312	264,065	-
Net cash used in operating activities	\$ (17,637,916)	\$ (572,949)	\$ (6,344)
Noncash items:			
Noncapital financing activities, commodities received from U.S. Department of Agriculture	<u>\$ 1,423,645</u>	<u>\$ -</u>	<u>\$ -</u>

Automotive		Total	
\$	21,816	\$	5,007,190
	-		(13,983,707)
	(32,046)		(9,250,922)
	(10,230)		(18,227,439)
	-		121,775
	-		(121,774)
	-		17,603,355
	-		(1,273,670)
	-		694,673
	-		17,024,359
	-		212,172
	-		(84,775)
	-		127,397
	(10,230)		(1,075,683)
	70,503		1,690,283
\$	60,273	\$	614,600
\$	(10,755)	\$	(21,380,193)
	1,108		341,137
	-		1,423,645
	(276)		891,966
	-		(2,245)
	-		(188,934)
	(307)		(40,036)
	-		54,404
	-		148,303
	-		(865,614)
	-		405,751
	-		984,377
\$	(10,230)	\$	(18,227,439)
\$	-	\$	1,423,645

INTERNAL SERVICE FUNDS

The internal service funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis.

Self-Insurance Fund

This fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed in Note 1.

Risk Management Fund

This fund accounts for transactions for certain insurances including life and disability received by District employees in which the District is responsible for paying all premiums as specified attributable to the insurances listed in Note 1.

Print Shop Fund

This fund accounts for transactions for print shop and copying services.

Des Moines Independent Community School District

Combining Statement of Net Position

All Internal Service Funds

June 30, 2020

	Self-Insurance	Risk Management	Print Shop	Total
Assets				
Current assets:				
Cash and cash equivalents	\$ 25,470,050	\$ 462,466	\$ 3,821	\$ 25,936,337
Other receivables	1,584	-	44,845	46,429
Inventories	-	-	76,282	76,282
Total current assets	25,471,634	462,466	124,948	26,059,048
Noncurrent assets, depreciable capital assets, net	-	-	29,900	29,900
Total assets	25,471,634	462,466	154,848	26,088,948
Liabilities				
Current liabilities:				
Accounts payable	-	100,914	50,819	151,733
Claims payable	5,390,729	-	-	5,390,729
Accrued payroll	-	154,922	7,255	162,177
Due to other governments	446,871	-	-	446,871
Unearned revenue	97,323	-	-	97,323
Compensated absences	-	-	11,172	11,172
Due to other funds	8,675,576	-	-	8,675,576
Other	-	-	343	343
Total current liabilities	14,610,499	255,836	69,589	14,935,924
Noncurrent liabilities, compensated absences	-	-	6,584	6,584
Total noncurrent liabilities	-	-	6,584	6,584
Total liabilities	14,610,499	255,836	76,173	14,942,508
Net Position				
Investment in capital assets	-	-	29,900	29,900
Unrestricted	10,861,135	206,630	48,775	11,116,540
Total net position	\$ 10,861,135	\$ 206,630	\$ 78,675	\$ 11,146,440

Des Moines Independent Community School District

Combining Statement of Revenues, Expenses and Changes in Fund Net Position

All Internal Service Funds

Year Ended June 30, 2020

	Self-Insurance	Risk Management	Print Shop	Total
Operating revenues:				
Charges for services:				
Employee benefits	\$ 65,618,526	\$ 943,347	\$ -	\$ 66,561,873
Miscellaneous	-	-	1,318,186	1,318,186
Total operating revenues	65,618,526	943,347	1,318,186	67,880,059
Operating expenses:				
Claims and related costs	63,662,765	935,987	-	64,598,752
Depreciation	-	-	2,242	2,242
Miscellaneous	600	-	1,307,206	1,307,806
Total operating expenses	63,663,365	935,987	1,309,448	65,908,800
Change in net position	1,955,161	7,360	8,738	1,971,259
Total net position, beginning of year	8,905,974	199,270	69,937	9,175,181
Total net position, end of year	\$ 10,861,135	\$ 206,630	\$ 78,675	\$ 11,146,440

Des Moines Independent Community School District

Combining Statement of Cash Flows All Internal Service Funds Year Ended June 30, 2020

	Self-Insurance	Risk Management	Print Shop	Total
Cash flows from operating activities:				
Cash received from user charges	\$ 65,635,570	\$ 943,347	\$ 1,318,186	\$ 67,897,103
Cash payments to employees for services	-	-	6,881	6,881
Cash payments to suppliers for goods and services	(64,384,684)	(928,685)	(1,307,356)	(66,620,725)
Net cash provided by operating activities	1,250,886	14,662	17,711	1,283,259
Cash flows from noncapital financing activities, proceeds from (payments to) other funds	128,767	-	(13,890)	114,877
Net increase in cash and cash equivalents	1,379,653	14,662	3,821	1,398,136
Cash and cash equivalents, beginning of year	24,090,397	447,804	-	24,538,201
Cash and cash equivalents, end of year	<u>\$ 25,470,050</u>	<u>\$ 462,466</u>	<u>\$ 3,821</u>	<u>\$ 25,936,337</u>
Reconciliation of operating income to net cash provided by operating activities:				
Operating income	\$ 1,955,161	\$ 7,360	\$ 8,738	\$ 1,971,259
Adjustments to reconcile operating income to net cash provided by operating activities:				
Depreciation	-	-	2,242	2,242
Changes in assets and liabilities:				
Other receivables	-	-	(42,060)	(42,060)
Inventories	-	-	(4,344)	(4,344)
Prepaid expenses	-	-	46,277	46,277
Accounts payable and due to other governments	204,865	2,747	(23)	207,589
Claims payable	(926,184)	-	-	(926,184)
Unearned revenue	17,044	-	-	17,044
Accrued liabilities	-	4,555	6,881	11,436
Net cash provided by operating activities	\$ 1,250,886	\$ 14,662	\$ 17,711	\$ 1,283,259

AGENCY FUND

This fund accounts for assets held in a custodial capacity by the District for individuals, private organizations or other governments. PTAs and PTOs are generally accounted for in these funds. The District only reports assets and liabilities for this fund.

Des Moines Independent Community School District

Statement of Changes in Assets and Liabilities

Agency Fund

Year Ended June 30, 2020

	Balance June 30, 2019	Additions	Deletions	Balance June 30, 2020
Faculty and Staff				
Assets				
Cash and cash equivalents	\$ 117,722	\$ 99,875	\$ 83,783	\$ 133,814
Total assets	\$ 117,722	\$ 99,875	\$ 83,783	\$ 133,814
Liabilities				
Accounts payable	\$ 7,202	\$ 87,244	\$ 91,073	\$ 3,373
Due to other entities	110,520	99,875	79,954	130,441
Total liabilities	\$ 117,722	\$ 187,119	\$ 171,027	\$ 133,814

Des Moines Independent Community School District

Statistical Section Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures, and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	99 - 114
Revenue Capacity	
These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).	115 - 121
Debt Capacity	
These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.	122 - 127
Demographic and Economic Information	
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	128 - 129
Operating Information	
These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	130 - 152

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual financial report for the relevant year.

Des Moines Independent Community School District

Net Position By Component Current and Previous Nine Fiscal Years (Accrual Basis Of Accounting) (Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Governmental activities:				
Net investment in capital assets	\$ 338,928,488	\$ 359,352,093	\$ 373,455,547	\$ 385,508,379
Restricted	31,199,263	29,005,666	28,273,606	27,692,220
Unrestricted	14,951,604	35,135,095	50,099,198	55,256,442
Total governmental activities net position	\$ 385,079,355	\$ 423,492,854	\$ 451,828,351	\$ 468,457,041
Business-type activities:				
Investment in capital assets	\$ 2,283,505	\$ 1,989,314	\$ 2,002,716	\$ 2,035,725
Restricted	-	-	-	-
Unrestricted	(1,365,198)	(245,440)	321,461	1,614,094
Total business-type activities net position	\$ 918,307	\$ 1,743,874	\$ 2,324,177	\$ 3,649,819
Primary government:				
Net investment in capital assets	\$ 341,211,993	\$ 361,341,407	\$ 375,458,263	\$ 387,544,104
Restricted	31,199,263	29,005,666	28,273,606	27,692,220
Unrestricted	13,586,406	34,889,655	50,420,659	56,870,536
Total primary government net position	\$ 385,997,662	\$ 425,236,728	\$ 454,152,528	\$ 472,106,860

Source: Comprehensive Annual Financial Report

Note: The District adopted GASB Statement Nos. 68 and 71 in fiscal year 2015. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2015.

Note: The District adopted GASB Statement Nos. 75 in fiscal year 2017. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2017.

Fiscal Year						
2015	2016	2017	2018	2019	2020	
\$ 403,601,966	\$ 409,270,357	\$ 424,605,987	\$ 441,037,719	\$ 459,486,214	\$ 424,580,383	
28,487,506	36,241,306	38,432,829	34,985,107	28,677,324	77,701,519	
(73,620,226)	(77,773,524)	(122,405,143)	(143,143,029)	(135,755,065)	(121,062,299)	
\$ 358,469,246	\$ 367,738,139	\$ 340,633,673	\$ 332,879,797	\$ 352,408,473	\$ 381,219,603	
\$ 2,233,660	\$ 2,411,601	\$ 2,522,174	\$ 2,370,341	\$ 2,445,207	\$ 2,183,983	
(3,097,678)	(1,905,390)	(1,532,493)	(2,119,809)	(2,804,738)	(4,752,782)	
\$ (864,018)	\$ 506,211	\$ 989,681	\$ 250,532	\$ (359,531)	\$ (2,568,799)	
\$ 405,835,626	\$ 411,681,958	\$ 427,128,161	\$ 443,408,060	\$ 461,931,421	\$ 426,764,366	
28,487,506	36,241,306	38,432,829	34,985,107	28,677,324	77,701,519	
(76,717,904)	(79,678,914)	(123,937,636)	(145,262,838)	(138,559,803)	(125,815,081)	
\$ 357,605,228	\$ 368,244,350	\$ 341,623,354	\$ 333,130,329	\$ 352,048,942	\$ 378,650,804	

Des Moines Independent Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Current and Previous Nine Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Expenses:				
Governmental activities:				
Instructional	\$ 251,762,378	\$ 256,812,271	\$ 258,926,988	\$ 269,507,255
Student services	20,562,462	20,196,523	20,673,660	21,897,132
Instructional support services	11,926,860	11,652,847	12,021,171	13,454,781
General administration	4,752,013	4,779,422	5,186,473	6,199,577
Building administration	17,692,429	18,738,332	18,779,363	19,406,283
Business and central administration	7,465,018	11,704,743	9,892,503	14,198,791
Plant operation and maintenance	32,500,882	32,450,434	34,339,085	39,242,957
Student transportation	10,699,109	10,861,366	11,151,818	13,022,397
Noninstructional	6,831,871	4,204,202	2,904,231	2,171,793
AEA support	12,878,207	11,699,768	12,235,407	13,086,762
Interest and issuance costs on long-term debt	3,254,529	3,008,867	7,368,345	6,216,637
Total governmental activities expenses	380,325,758	386,108,775	393,479,044	418,404,365
Business-type activities:				
School nutrition	13,730,822	14,063,935	15,869,943	16,888,843
Child care	3,055,421	3,337,286	3,589,842	3,804,322
Other	127,902	108,656	32,246	47,399
Total business-type activities expenses	16,914,145	17,509,877	19,492,031	20,740,564
Total primary government expenses	\$ 397,239,903	\$ 403,618,652	\$ 412,971,075	\$ 439,144,929
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	\$ 10,548,824	\$ 10,008,887	\$ 9,694,289	\$ 9,796,930
Support services	13,354,070	12,568,464	13,396,056	14,256,785
Operating grants and contributions	90,715,067	88,937,932	76,875,344	73,477,654
Capital grants and contributions	89,825	650,000	-	13,668
Total governmental activities program revenues	114,707,786	112,165,283	99,965,689	97,545,037

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ 275,533,672	\$ 285,545,061	\$ 299,588,285	\$ 314,831,138	\$ 305,170,678	\$ 304,894,704
23,458,269	23,906,378	25,416,663	29,403,392	31,051,113	29,597,270
15,425,505	23,602,238	26,269,291	26,859,782	26,819,051	22,014,167
7,383,479	8,571,037	8,078,756	10,643,955	8,113,785	9,937,242
21,862,042	23,089,264	24,415,186	23,840,018	22,469,805	26,198,838
17,476,884	17,624,834	18,899,917	17,079,473	19,943,140	18,523,911
39,177,136	39,189,530	38,016,319	41,362,030	43,506,348	44,204,184
12,735,357	12,982,765	14,155,962	15,199,931	14,242,627	14,517,845
3,991,896	7,497,669	3,414,227	4,982,212	936,462	2,567,160
13,829,063	13,974,996	14,162,548	14,751,903	14,914,998	15,108,730
7,291,619	6,758,235	5,564,932	5,676,396	6,350,435	5,837,889
438,164,922	462,742,007	477,982,086	504,630,230	493,518,442	493,401,940
18,413,290	19,257,934	20,596,296	20,594,344	20,098,310	20,630,266
3,455,013	3,911,144	4,829,288	5,843,523	5,589,519	4,774,139
29,958	32,125	25,452	39,050	47,036	36,608
21,898,261	23,201,203	25,451,036	26,476,917	25,734,865	25,441,013
\$ 460,063,183	\$ 485,943,210	\$ 503,433,122	\$ 531,107,147	\$ 519,253,307	\$ 518,842,953
\$ 8,118,482	\$ 10,242,839	\$ 10,662,079	\$ 10,680,233	\$ 20,189,225	\$ 20,176,931
14,997,758	14,870,394	15,240,574	15,631,811	15,713,866	15,424,425
81,089,328	89,892,845	93,119,480	95,083,902	86,167,139	90,407,871
84,894	101,867	-	-	-	-
104,290,462	115,107,945	119,022,133	121,395,946	122,070,230	126,009,227

Des Moines Independent Community School District

Expenses, Program Revenues and Net (Expense) Revenue (Continued)

Current and Previous Nine Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Business-type activities:				
Charges for services:				
School nutrition	\$ 2,945,912	\$ 2,816,185	\$ 2,743,057	\$ 2,753,299
Child care	3,053,866	3,451,999	3,465,978	3,799,779
Other	96,197	93,344	62,249	53,245
Operating grants and contributions	11,561,001	11,973,916	13,801,050	14,772,639
Capital grants and contributions	-	-	-	9,365
Total business-type program revenues	17,656,976	18,335,444	20,072,334	21,388,327
Total primary government program revenues	\$ 132,364,762	\$ 130,500,727	\$ 120,038,023	\$ 118,933,364
Net (expense) revenue:				
Governmental activities	\$ (265,617,972)	\$ (273,943,492)	\$ (293,513,355)	\$ (320,859,328)
Business-type activities	742,831	(825,567)	580,303	647,763
Total primary government net expense	\$ (264,875,141)	\$ (274,769,059)	\$ (292,933,052)	\$ (320,211,565)

Source: Comprehensive Annual Financial Report

Note: The District adopted GASB Statement Nos. 68 and 71 in fiscal year 2015. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2015.

Note: The District adopted GASB Statement Nos. 75 in fiscal year 2017. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2017.

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ 2,131,101	\$ 1,926,629	\$ 1,810,790	\$ 1,809,975	\$ 1,514,195	\$ 915,037
3,904,107	4,369,310	4,858,437	5,699,860	5,386,885	3,204,779
30,043	32,029	43,523	37,593	38,904	22,092
17,127,503	18,243,464	19,222,218	19,333,214	19,297,198	19,461,524
-	-	-	-	-	-
23,192,754	24,571,432	25,934,968	26,880,642	26,237,182	23,603,432
\$ 127,483,216	\$ 139,679,377	\$ 144,957,101	\$ 148,276,588	\$ 148,307,412	\$ 149,612,659
\$ (333,874,460)	\$ (347,634,062)	\$ (358,959,953)	\$ (383,234,284)	\$ (371,448,212)	\$ (367,392,713)
1,294,493	1,370,229	483,932	403,725	502,317	(1,837,581)
\$ (332,579,967)	\$ (346,263,833)	\$ (358,476,021)	\$ (382,830,559)	\$ (370,945,895)	\$ (369,230,294)

Des Moines Independent Community School District

General Revenues and Total Change in Net Position

Current and Previous Nine Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Net (expense) revenue:				
Governmental activities	\$ (265,617,972)	\$ (273,943,492)	\$ (293,513,355)	\$ (320,859,328)
Business-type activities	742,831	(825,567)	580,303	647,763
Total primary government net expense	(264,875,141)	(274,769,059)	(292,933,052)	(320,211,565)
General revenues and other changes in net position:				
Governmental activities:				
Property taxes:				
Levied for general purposes	95,287,091	102,565,196	100,387,919	103,598,448
Levied for management	9,881,280	10,158,367	9,939,725	10,136,078
Levied for property, plant, and equipment	6,716,504	6,877,426	6,830,405	6,956,453
Levied for playground	857,952	881,995	863,021	880,069
Sales tax, for capital projects	24,730,755	26,113,779	27,431,076	27,898,170
State foundation aid	151,836,554	163,593,289	174,578,921	186,285,458
Investment earnings	835,448	64,564	377,933	533,415
Other local sources, including gain on sale of capital assets	1,500,945	2,102,375	1,439,852	1,877,806
State sources	76,686	-	-	-
Transfers	-	-	-	(677,879)
Total governmental activities	291,723,215	312,356,991	321,848,852	337,488,018
Business-type activities:				
Other local sources, including gain on sale of capital assets	-	-	-	-
Transfers	-	-	-	677,879
Total business-type activities	-	-	-	677,879
Total primary government	291,723,215	312,356,991	321,848,852	338,165,897
Change in net position:				
Governmental activities	26,105,243	38,413,499	28,335,497	16,628,690
Business-type activities	742,831	(825,567)	580,303	1,325,642
Total primary government	\$ 26,848,074	\$ 37,587,932	\$ 28,915,800	\$ 17,954,332

Source: Comprehensive Annual Financial Report

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ (333,874,460)	\$ (347,634,062)	\$ (358,959,953)	\$ (383,234,284)	\$ (371,448,212)	\$ (367,392,713)
1,294,493	1,370,229	483,932	403,725	502,317	(1,837,581)
(332,579,967)	(346,263,833)	(358,476,021)	(382,830,559)	(370,945,895)	(369,230,294)
101,357,950	110,669,219	115,462,200	117,223,840	124,085,031	125,443,707
12,704,254	8,500,956	8,832,673	9,330,713	12,333,977	14,210,347
6,917,190	7,203,640	7,463,306	7,641,516	8,250,108	8,404,254
892,877	921,927	953,982	972,429	1,040,696	1,065,792
30,840,252	30,991,151	31,115,408	30,737,734	31,911,353	32,997,111
193,830,409	195,304,005	199,399,080	204,551,888	203,948,433	206,654,943
296,406	1,517,487	1,163,645	2,471,733	6,185,178	4,313,176
1,394,310	1,794,570	2,260,799	1,407,681	2,109,732	2,535,516
-	-	-	-	-	-
33,252	-	462	1,142,874	1,112,380	578,997
348,266,900	356,902,955	366,651,555	375,480,408	390,976,888	396,203,843
-	-	-	-	-	207,310
(33,252)	-	(462)	(1,142,874)	(1,112,380)	(578,997)
(33,252)	-	(462)	(1,142,874)	(1,112,380)	(371,687)
348,233,648	356,902,955	366,651,093	374,337,534	389,864,508	395,832,156
14,392,440	9,268,893	7,691,602	(7,753,876)	19,528,676	28,811,130
1,261,241	1,370,229	483,470	(739,149)	(610,063)	(2,209,268)
\$ 15,653,681	\$ 10,639,122	\$ 8,175,072	\$ (8,493,025)	\$ 18,918,613	\$ 26,601,862

Des Moines Independent Community School District

Fund Balances, Governmental Funds Current and Previous Nine Fiscal Years (modified accrual basis of accounting) (Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
General Fund:				
Nonspendable	\$ 638,607	\$ 520,900	\$ 427,883	\$ 1,133,969
Restricted	14,421,417	12,777,279	9,777,870	8,471,647
Committed	2,935,317	2,916,046	6,632,403	11,500,000
Assigned	-	-	8,000,000	8,000,000
Unassigned	20,607,861	45,507,578	49,196,424	47,321,858
Total General Fund	\$ 38,603,202	\$ 61,721,803	\$ 74,034,580	\$ 76,427,474
All other governmental funds:				
Nonspendable	\$ -	\$ 10,628	\$ 39,965	\$ 16,465
Restricted	70,379,409	128,843,474	97,382,007	152,135,180
Total all other governmental funds	\$ 70,379,409	\$ 128,854,102	\$ 97,421,972	\$ 152,151,645

Source: Comprehensive Annual Financial Report

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ 1,722,676	\$ 2,022,946	\$ 2,678,098	\$ 2,545,106	\$ 3,968,453	\$ 2,187,264
12,395,621	19,449,024	20,113,274	16,977,566	15,816,459	17,588,320
11,500,000	11,500,000	11,500,000	11,500,000	11,500,000	11,500,000
4,717,021	2,270,271	2,747,894	2,722,083	2,887,205	2,374,122
43,870,654	45,777,595	45,264,493	50,372,420	62,613,523	91,410,321
\$ 74,205,972	\$ 81,019,836	\$ 82,303,759	\$ 84,117,175	\$ 96,785,640	\$ 125,060,027
\$ 114,706	\$ 13,350	\$ 97,759	\$ 95,216	\$ 84,370	\$ 1,185,434
125,919,770	94,019,857	78,834,902	131,096,251	117,205,931	105,355,583
\$ 126,034,476	\$ 94,033,207	\$ 78,932,661	\$ 131,191,467	\$ 117,290,301	\$ 106,541,017

Des Moines Independent Community School District

Governmental Funds Revenues

Current and Previous Nine Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Federal sources, federal grants and other outside sources	\$ 48,798,707	\$ 48,888,317	\$ 37,849,720	\$ 30,009,399
State sources, state foundation aid and other sources	221,209,615	228,487,920	241,334,568	256,973,716
Intermediate sources	425,109	380,240	540,171	708,970
Local sources, local and other sources	138,629,243	146,897,837	141,367,663	147,356,203
Total revenues	\$ 409,062,674	\$ 424,654,314	\$ 421,092,122	\$ 435,048,288

Source: Comprehensive Annual Financial Report

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ 33,148,580	\$ 31,271,845	\$ 33,821,414	\$ 37,575,065	\$ 35,854,833	\$ 38,615,413
270,150,009	283,148,964	288,229,705	293,820,917	297,456,647	299,868,060
767,417	807,026	906,897	816,427	839,737	749,892
148,062,066	155,787,365	161,068,816	163,398,729	177,432,673	181,775,366
\$ 452,128,072	\$ 471,015,200	\$ 484,026,832	\$ 495,611,138	\$ 511,583,890	\$ 521,008,731

Des Moines Independent Community School District

Governmental Funds Expenditures and Debt Service Ratio

Current and Previous Nine Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Instruction	\$ 235,454,394	\$ 242,468,897	\$ 248,569,469	\$ 258,355,855
Student services	19,847,087	20,447,634	20,677,284	21,660,306
Instructional support services	11,724,151	11,547,096	12,220,238	13,537,582
General administration	4,490,055	4,691,758	5,086,112	6,217,049
Building administration	17,422,604	18,905,852	19,269,977	19,518,195
Business and central administration	7,930,388	11,037,950	9,440,413	12,741,906
Plant operation & maintenance	31,519,245	31,561,906	33,601,546	38,768,237
Student transportation	9,825,338	10,185,732	10,403,066	12,304,303
Non-instructional	2,253,303	2,458,060	1,741,450	1,842,754
AEA support	12,878,207	11,699,768	12,235,407	13,086,762
Capital outlay	39,884,842	41,985,618	51,387,286	40,938,222
Capital outlay not capitalized	7,772,199	5,138,277	3,528,631	897,825
Debt service:				
Principal retirement	3,180,000	2,590,000	5,810,000	6,595,000
Interest	4,334,020	3,418,000	6,348,244	6,036,366
Payment to escrow agent	-	-	-	-
Bond issuance costs	-	1,299,592	-	817,127
Total expenditures	\$ 408,515,833	\$ 419,436,140	\$ 440,319,123	\$ 453,317,489
Debt service as a percentage of noncapital expenditures	2.08%	1.62%	3.23%	3.17%

Source: Comprehensive Annual Financial Report

Note: Debt service as a percentage of noncapital expenditures is calculated by dividing total debt service expenditures (principal and interest) by total noncapital expenditures (the difference between total expenditures and capitalized capital outlay expenditures).

Fiscal Year											
2015		2016		2017		2018		2019		2020	
\$	268,167,131	\$	269,163,315	\$	277,942,567	\$	283,694,521	\$	284,763,964	\$	273,859,957
	23,058,840		23,649,011		25,386,339		29,100,096		31,555,455		29,448,320
	14,992,771		23,319,060		25,988,683		26,717,537		26,977,947		21,990,298
	7,287,867		8,604,467		8,031,356		9,096,670		9,548,868		9,917,278
	21,595,487		22,990,624		24,004,917		23,469,984		22,842,478		25,922,890
	16,491,865		16,864,453		17,653,942		15,894,969		18,222,763		16,423,845
	38,400,905		37,564,110		36,891,726		40,785,171		42,996,180		42,413,921
	11,976,509		12,589,191		13,630,046		14,355,654		13,407,432		12,893,527
	2,197,270		2,840,290		2,530,080		2,692,121		2,524,745		2,014,478
	13,829,063		13,974,996		14,162,548		14,751,903		14,914,998		15,108,730
	41,088,513		40,928,413		27,804,984		25,096,331		23,495,644		27,414,818
	2,874,161		5,308,585		(546,245)		(741,152)		829,066		3,769,044
	9,845,000		10,355,000		12,495,000		12,655,000		15,405,000		16,015,000
	8,781,480		8,143,820		5,878,708		5,594,571		7,690,026		6,980,050
	-		-		5,507,264		-		-		-
	-		-		502,725		469,512		-		-
\$	480,586,862	\$	496,295,335	\$	497,864,640	\$	503,632,888	\$	515,174,566	\$	504,172,156
	4.43%		4.23%		5.36%		3.81%		4.70%		4.82%

Des Moines Independent Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Current and Previous Nine Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Excess of revenues over (under) expenditures	\$ 546,841	\$ 5,218,174	\$ (19,227,001)	\$ (18,269,201)
Other financing sources (uses):				
Issuance of debt	-	71,900,000	-	70,720,000
Issuance of refunding debt	-	-	-	-
Payments to escrow agent	-	-	-	-
Proceeds from sale of capital assets	801,763	21,150	107,648	214,140
Premiums	-	4,453,970	-	5,135,507
Transfers in	7,514,020	6,008,000	12,333,049	12,631,366
Transfers out	(7,514,020)	(6,008,000)	(12,333,049)	(13,309,245)
Total other financing sources				
(uses)	801,763	76,375,120	107,648	75,391,768
Net change in fund balances	\$ 1,348,604	\$ 81,593,294	\$ (19,119,353)	\$ 57,122,567

Source: Comprehensive Annual Financial Report

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ (28,458,790)	\$ (25,280,135)	\$ (13,837,808)	\$ (8,021,750)	\$ (3,590,676)	\$ 16,836,575
-	-	-	56,235,000	-	-
-	-	53,655,000	-	-	-
-	-	(53,655,000)	-	-	-
86,867	92,730	94,586	239,930	1,245,595	109,531
-	-	-	4,476,168	-	-
18,659,732	18,498,820	23,910,864	19,412,445	24,216,939	24,268,720
(18,626,480)	(18,498,820)	(23,984,265)	(18,269,571)	(23,104,559)	(23,689,723)
120,119	92,730	21,185	62,093,972	2,357,975	688,528
\$ (28,338,671)	\$ (25,187,405)	\$ (13,816,623)	\$ 54,072,222	\$ (1,232,701)	\$ 17,525,103

Des Moines Independent Community School District

Taxable Value and Actual Value of Taxable Property Current and Previous Nine Fiscal Years (Unaudited)

Levy Year	Collection Year	Real Property		Personal Property	
		Taxable Value	Estimated Actual Value	Taxable Value	Estimated Actual Value
2009	2010-11	\$ 6,787,866,460	\$ 10,753,974,740	\$ -	\$ -
2010	2011-12	6,906,961,444	10,805,005,808	-	-
2011	2012-13	6,845,833,397	10,453,353,698	-	-
2012	2013-14	7,030,673,370	10,507,339,484	-	-
2013	2014-15	6,905,500,764	10,363,626,769	-	-
2014	2015-16	6,894,664,897	10,431,160,954	-	-
2015	2016-17	7,215,082,273	10,924,647,220	-	-
2016	2017-18	7,407,396,041	11,060,020,747	-	-
2017	2018-19	8,057,537,240	12,192,415,869	-	-
2018	2019-20	8,341,227,272	12,437,382,676	-	-

Source: Polk County Auditor, Warren County Auditor, and Iowa Department of Management

Railroad and Utilities							
Without Gas & Electric		Gas & Electric		Total			
Taxable	Estimated	Taxable	Estimated	Taxable	Estimated	Total	
Value	Actual Value	Value	Actual Value	Value	Actual Value	Direct Rate	
\$ 47,026,045	\$ 47,026,045	\$ 222,317,184	\$ 328,932,292	\$ 7,057,209,689	\$ 11,129,933,077		17.64347
52,757,932	52,757,932	235,362,890	337,445,312	7,195,082,266	11,195,209,052		18.34848
55,092,528	55,092,528	232,662,908	345,375,275	7,133,588,833	10,853,821,501		18.34845
57,982,509	57,982,509	231,076,580	357,993,296	7,319,732,459	10,923,315,289		18.14592
52,397,622	53,251,989	233,578,596	303,652,622	7,191,476,982	10,720,531,380		17.99477
46,373,454	48,073,610	234,441,061	351,197,379	7,175,479,412	10,830,431,943		18.42809
44,423,941	46,304,465	227,640,443	376,010,748	7,487,146,657	11,346,962,433		18.50586
44,330,131	46,401,518	209,778,221	382,451,027	7,661,504,393	11,488,873,292		18.56349
44,562,378	46,559,797	205,819,434	380,207,922	8,307,919,052	12,619,183,588		18.60074
46,499,711	48,656,364	201,590,684	393,759,064	8,589,317,667	12,879,798,104		18.60686

Des Moines Independent Community School District

Direct and Overlapping Property Tax Rates Current and Previous Nine Fiscal Years (rate per \$1,000 of assessed value) (Unaudited)

Levy Year	Collection Year	District Direct Rates						
		General Fund	Management Fund	PPEL Fund	PERL Fund	Schoolhouse	Debt Service	Total
2009	2010-11	\$ 14.99363	\$ 1.55484	\$ 0.96000	\$ 0.13500	\$ -	\$ -	\$ 17.64347
2010	2011-12	15.69864	1.55484	0.96000	0.13500	-	-	18.34848
2011	2012-13	15.69861	1.55484	0.96000	0.13500	-	-	18.34845
2012	2013-14	15.14156	1.90936	0.96000	0.13500	-	-	18.14592
2013	2014-15	14.99041	1.90936	0.96000	0.13500	-	-	17.99477
2014	2015-16	16.08309	1.25000	0.96000	0.13500	-	-	18.42809
2015	2016-17	16.16086	1.25000	0.96000	0.13500	-	-	18.50586
2016	2017-18	16.16849	1.30000	0.96000	0.13500	-	-	18.56349
2017	2018-19	15.90574	1.60000	0.96000	0.13500	-	-	18.60074
2018	2019-20	15.71186	1.80000	0.96000	0.13500	-	-	18.60686

(Continued)

Overlapping Rates										
Polk County	County Hospital	City of Des Moines	City of Norwalk	City of Pleasant Hill	City of Urbandale	City of Windsor Hts	City of WDM	Bloomfield Township	Ag Extension	Assessor
\$ 6.81833	\$ 2.92111	\$ 16.57614	\$ 14.60000	\$ 11.65006	\$ 9.32000	\$ 13.31499	\$ 12.05000	\$ 0.87750	\$ 0.03631	\$ 0.27848
6.80992	2.92193	16.58000	16.34634	11.65000	9.52000	13.31486	12.05000	0.87750	0.03696	0.24628
6.80992	2.97819	16.91982	15.69000	11.65000	9.62000	13.31499	12.05000	0.87750	0.03866	0.24382
6.94381	2.99567	16.92001	15.69000	11.64997	9.57000	13.89892	12.05000	0.87733	0.03945	0.27822
7.16880	3.11769	16.92000	15.68944	11.65000	9.72000	15.34886	12.05000	0.87731	0.04061	0.27750
7.30880	3.21296	16.92000	15.69376	11.65000	9.82000	15.07588	12.00000	0.87750	0.04102	0.27920
7.30880	2.77545	16.92000	15.69499	11.65000	9.92000	15.66110	12.00000	0.87750	0.03985	0.27220
7.30880	2.77545	17.04000	15.42340	11.65000	10.02000	16.96522	12.00000	0.87744	0.03939	0.27177
7.30880	2.77513	17.24000	15.40640	11.65000	10.02000	16.58088	11.79000	0.87721	0.03690	0.25471
7.30880	2.77513	16.64000	15.40604	11.50000	10.52000	16.52430	10.99000	0.87739	0.03689	0.25455

Des Moines Independent Community School District

Direct and Overlapping Property Tax Rates (Continued)

Current and Previous Nine Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Levy Year	Collection Year	Overlapping Rates											
		State	Area XI College	Urbandale-WH SS Dist	Downtown SSMID	Sherman Hills Lighting #1	Sherman Hills Lighting #2	Sherman Hill SSMID	Highland Park SSMID	Ingersoll SSMID	Beaverdale SSMID	SW9th SSMID	Roosevelt SSMID
2009	2010-11	\$ 0.00340	\$ 0.56008	\$ 0.28411	\$ 1.00472	\$ 1.49989	\$ 1.50727		\$ 1.75003	\$ 1.75001	\$ -	\$ -	\$ -
2010	2011-12	0.00320	0.59018	0.38435	1.00472	1.49996	1.50727		1.74999	1.75004	-	-	-
2011	2012-13	0.00330	0.58466	0.47069	1.00000	1.50011	1.50002		1.75001	1.75001	-	-	-
2012	2013-14	0.00330	0.69120	0.47163	1.15002	1.50021	1.50001		1.75002	2.25000	-	-	-
2013	2014-15	0.00330	0.67574	0.44216	1.15000	1.50019	1.50024		1.75002	2.25000	1.74994	-	-
2014	2015-16	0.00330	0.67574	0.29126	1.30000	1.50012	1.50002		1.75010	2.25000	1.75007	-	-
2015	2016-17	0.00330	0.72334	0.30810	1.30000	1.50001	1.50001		1.75001	2.25000	1.74996	-	-
2016	2017-18	0.00310	0.67458	0.38597	1.30000	1.50003	1.50000		1.75014	2.25000	1.75008	2.25000	1.75010
2017	2018-19	0.00290	0.69468	0.40186	1.30000	-	-	1.50000	1.75011	2.25000	1.75006	2.25000	1.75003
2018	2019-20	0.00280	0.65249	0.42000	1.30000	-	-	1.50001	1.75006	2.25000	1.75002	2.25001	1.75003

Source: Polk County Auditor

Des Moines Independent Community School District

Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

Taxpayer	2020			2011		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Principal Life Insurance Company	\$ 156,053,970	1	1.82%			
Nationwide Mutual Insurance Company	151,308,090	2	1.76%	174,018,700	2	2.47%
Principal Mutual Life Insurance Company	114,236,010	3	1.33%			
Wellmark Inc	110,043,900	4	1.28%	126,790,000	4	1.80%
Wells Fargo Properties Inc	102,226,590	5	1.19%	97,968,700	5	1.39%
Employers Mutual Casualty Company	80,324,550	6	0.94%	51,800,570	7	0.73%
Polk County	34,925,081	7	0.41%			
Macerich Southridge Mall LLC	30,200,400	8	0.35%			
Hoxie's Addition LLC	29,230,740	9	0.34%			
Ruan Center Corp	28,098,000	10	0.33%	29,660,000	10	0.42%
Principal Financial Group, Inc.				202,610,400	1	2.87%
Mercy Medical Plaza				155,983,000	3	2.21%
Iowa Methodist Medical Plaza				55,930,000	6	0.79%
Meredith Corp				31,212,800	8	0.44%
Hubbell Realty				30,428,850	9	0.42%
	836,647,331		9.74%	956,403,020		13.54%

Source: Polk County Auditor

Des Moines Independent Community School District

Property Tax Levies and Collections Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year		Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years*	Total Collections to Date	
			Amount	Percentage of Levy		Amount	Percentage of Levy
2011	\$	113,255,898	\$	112,742,827	99.55%	\$ -	\$ -
2012		120,926,483		119,010,714	98.42%	1,472,269	120,482,983
2013		118,233,562		116,612,288	98.63%	1,364,597	117,976,885
2014		122,372,255		120,135,631	98.17%	1,397,537	121,533,168
2015		118,679,473		117,530,023	99.03%	1,305,381	118,835,404
2016		121,390,508		120,894,205	99.59%	1,122,654	122,016,859
2017		127,369,855		126,191,778	99.08%	1,296,903	127,488,681
2018		130,095,935		130,225,910	100.10%	-	130,225,910
2019		140,189,825		140,534,664	100.25%	-	140,534,664
2020		145,831,772		143,900,910	98.68%	-	143,900,910

Source: Iowa Department of Management and District Records

Note: Due to timing of collections, there are instances where the property tax is collected before the official due date.

*: Information regarding subsequent years collection of prior tax levies is no longer available starting in fiscal year 2018.

Des Moines Independent Community School District

Ratios of General Bonded Debt Outstanding Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Population	Assessed Value		Legal		General Bonded Debt Outstanding				Debt to	
		Property		Debt Limit (5%)		General Obligation Bonds	General Obligation Capital Loan Notes	Qualified Zone Academy Bonds	Total	Assessed Value	Per Capita
2011	193,886	\$ 11,129,933,077	\$	556,496,654	\$	-	-	-	-	0.00%	-
2012	193,886	11,195,209,052		560,590,108		-	-	-	-	0.00%	-
2013	206,688	10,853,821,501		542,691,075		-	-	-	-	0.00%	-
2014	207,510	10,923,315,289		546,165,764		-	-	-	-	0.00%	-
2015	209,220	10,720,531,380		536,026,569		-	-	-	-	0.00%	-
2016	210,330	10,830,431,943		541,521,597		-	-	-	-	0.00%	-
2017	215,472	11,346,962,433		567,348,122		-	-	-	-	0.00%	-
2018	217,521	11,488,873,292		574,443,665		-	-	-	-	0.00%	-
2019	216,853	12,796,130,290		639,806,515		-	-	-	-	0.00%	-
2020	214,237	12,879,798,104		643,989,905		-	-	-	-	0.00%	-

Source: Polk County Auditor, Warren County Auditor, Iowa Department of Management, U.S. Census Bureau, and District Records

Des Moines Independent Community School District

**Outstanding Debt by Type
Current and Previous Nine Fiscal Years
(Unaudited)**

Fiscal Year	Governmental Activities						Total Primary Government	Percentage of Personal					
	General	General Obligation	Qualified Zone	LOST/ Statewide Penny	Unamortized	Income*		Per Capita**					
	Obligation Bonds	Capital Loan Notes	Academy Bonds	Revenue Bonds	Premium / Discount								
2011	\$	-	\$	-	\$	68,360,000	\$	4,716,243	\$	73,076,243	0.89%	\$	352.58
2012		-		-		137,670,000		8,730,217		146,400,217	1.60%	\$	666.36
2013		-		-		131,860,000		7,827,835		139,687,835	1.49%	\$	637.97
2014		-		-		195,985,000		12,109,155		208,094,155	2.14%	\$	944.46
2015		-		-		186,140,000		10,644,178		196,784,178	1.98%	\$	940.56
2016		-		-		175,785,000		9,296,539		185,081,539	1.86%	\$	884.63
2017		-		-		162,510,000		5,690,611		168,200,611	1.58%	\$	780.61
2018		-		-		206,090,000		9,313,683		215,403,683	2.00%	\$	990.27
2019		-		-		190,685,000		9,514,448		200,199,448	1.77%	\$	923.20
2020		-		-		174,670,000		6,426,358		181,096,358	1.61%	\$	845.31

Source: District Records

* Calculated as Total Primary Government debt divided by Personal Income for Des Moines (per Demographic and Economic Statistics)

** Calculated as Total Primary Government debt divided by Des Moines Population (per Demographic and Economic Statistics)

Des Moines Independent Community School District

Direct and Overlapping Governmental Activities Debt

As of June 30, 2020

(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable	Estimated Share of Direct and Overlapping Debt
Overlapping:			
City of Des Moines	\$ 511,976,980	96.4%	\$ 493,546,000
City of Pleasant Hill	6,555,000	24.1%	1,580,000
City of Urbandale	80,462,000	10.0%	8,046,000
City of Windsor Heights	4,153,563	0.9%	37,000
City of West Des Moines	202,228,637	0.1%	202,000
Des Moines Area Community College	68,010,000	30.1%	20,471,000
Polk County	254,626,000	35.3%	89,883,000
Warren County	10,322,606	5.4%	557,000
Subtotal, overlapping debt	<u>1,138,334,786</u>		<u>614,322,000</u>
Direct, Des Moines Independent Community School District:			
Sales tax revenue bond	181,096,358	100.0%	181,096,358
Subtotal direct debt	<u>181,096,358</u>		<u>181,096,358</u>
Total direct and overlapping debt	<u>\$ 1,319,431,144</u>		<u>\$ 795,418,358</u>

Source: State Treasurer of Iowa, Outstanding Obligation Report (2019 latest available data); District records.

Note: The percentage applicable to the District is determined by the portion of the District geographical boundary included in the total boundary of the respective governmental entity.

Des Moines Independent Community School District

Legal Debt Margin Information Current and Previous Nine Fiscal Years (Unaudited)

	2011	2012	2013	2014
Debt limit	\$ 556,496,654	\$ 559,760,453	\$ 546,165,764	\$ 546,165,764
Total net debt applicable to limit	68,360,000	137,670,000	131,860,000	195,985,000
Legal debt margin	\$ 488,136,654	\$ 422,090,453	\$ 414,305,764	\$ 350,180,764
Total net debt applicable to the limit as a percentage of debt limit	12.28%	24.59%	24.14%	35.88%

Source: Polk County Auditor and District Records

Legal Debt Margin Calculation for Fiscal Year 2020

Assessed value **\$ 12,879,798,104**

Debt limit (5% of assessed value) **\$ 643,989,905**

Debt applicable to limit **174,670,000**

Legal debt margin **\$ 469,319,905**

2015	2016	2017	2018	2019	2020
\$ 536,026,569	\$ 541,521,597	\$ 567,348,122	\$ 630,959,179	\$ 643,989,905	\$ 643,989,905
186,140,000	175,785,000	162,510,000	206,090,000	190,685,000	174,670,000
\$ 349,886,569	\$ 391,563,122	\$ 404,838,122	\$ 424,869,179	\$ 453,304,905	\$ 469,319,905
34.73%	30.98%	28.64%	32.66%	29.61%	27.12%

Des Moines Independent Community School District

Pledged-Revenue Coverage Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Local Option Sales and Services Tax			
	Revenue	Debt Service		Coverage
		Principal	Interest	
2011	\$ 28,174,783	1,640,000	4,313,500	21.13%
2012	26,045,238	2,590,000	3,418,000	23.07%
2013	27,364,977	5,810,000	6,348,244	44.43%
2014	27,874,657	6,595,000	6,036,366	45.31%
2015	30,744,831	9,845,000	8,781,480	60.58%
2016	29,329,789	10,355,000	8,143,820	63.07%
2017	29,968,822	12,495,000	5,878,708	67.12%
2018	30,057,621	12,655,000	5,594,571	60.72%
2019	31,911,353	15,405,000	7,690,026	72.37%
2020	32,997,111	16,015,000	6,980,050	69.69%

Source: Comprehensive Annual Financial Report

Note: The statewide penny sales (SWP) tax was implemented in the District on July 1, 2010. The District's SWP tax revenue for each fiscal year is calculated by multiplying the certified enrollment by the statewide average tax revenue per student. The statewide average is calculated by dividing the total statewide penny sales tax revenue by the statewide enrollment.

Des Moines Independent Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Des Moines Population*	Iowa Per Capita Personal Income**	Personal Income for Des Moines***	Des Moines Unemployment Rate****
2010	193,886	42,381	\$ 8,217,082,566	6.0%
2011	206,599	44,178	9,127,130,622	6.6%
2012	206,688	45,356	9,374,540,928	6.1%
2013	207,510	46,753	9,701,715,030	5.8%
2014	209,220	47,612	9,961,382,640	5.0%
2015	210,330	46,232	10,263,473,010	4.4%
2016	215,472	46,437	10,647,548,880	4.1%
2017	217,521	47,490	10,764,026,685	3.8%
2018	216,853	50,243	11,341,411,900	3.2%
2019	214,237	52,636	11,276,578,732	3.4%

* Source: US Census, Quick Facts, Des, Moines, IA, July 1, 2019

** Source: Iowa Workforce Development, Labor market Information Division, Iowa's Workforce and Economy 2020

*** Estimated using the population of Des Moines and the Per Capita Income for Iowa

**** Source: U.S. Bureau of Labor Statistics, 12 month average

Des Moines Independent Community School District

Largest Public and Private Employers in Greater Des Moines Region Current Year and Nine Years Ago (Unaudited)

Employer	2020			2011		
	Employees *	Rank	Percentage of Total Employment	Employees ****	Rank	Percentage of Total Employment
Wells Fargo	13,500	1	4.25%		5	
UnityPoint Health(Iowa Health System)	8,026	2	2.52%			
Principal Financial Group, Inc.	6,500	3	2.04%		1	
Hy-Vee Inc.	6,400	4	2.01%			
Des Moines Independent CSD**	4,879	5	1.53%	4,746	4	
Nationwide Insurance	4,525	6	1.42%			
Mercy Medical Center (MercyOne)	4,276	7	1.35%		3	
John Deere	3,500	8	1.10%			
Vermeer	2,900	9	0.91%			
Corteva Agriscience (Pioneer)	2,500	10	0.79%			
Blank Children's Pediatric					2	
CDS Global					6	
Des Moines Register					7	
Employers Mutual					8	
Firestone Agricultural Tire					9	
Wellmark					10	
Total employment ***	317,900					

* Source: Greater Des Moines Partnership 02.07.2020

** Source: District records March 2020

*** Source: Bureau of Labor Statistics, US Dept. of Labor, June 2020

**** Per Iowa Workforce Development in 2011, data regarding the number of employees for private sector employers was not available to the public.

Des Moines Independent Community School District

Full-Time Equivalent District Employees By Type Current and Previous Nine Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30				
	2011	2012	2013	2014	2015
Administrators					
Central Office	29.0	30.0	35.0	36.0	37.0
Elementary Schools	37.0	37.0	37.0	37.0	37.0
Middle Schools	22.0	21.0	21.0	21.0	20.0
High Schools	21.0	22.0	22.0	22.0	24.0
Special Schools	6.0	7.0	8.0	8.0	5.0
Total Administrators	115.0	117.0	123.0	124.0	123.0
Teachers					
Academic Support	24.0	26.0	25.0	26.0	32.0
Behavior Coach	-	-	7.5	9.5	19.7
Non-classroom (other)	28.7	29.4	14.9	14.8	11.8
Classroom teachers	1,493.9	1,503.6	1,499.5	1,555.0	1,563.7
Counselors	57.0	51.5	58.3	58.4	63.0
Dean of Students	15.0	17.0	16.2	14.5	4.6
Educational tech support	3.0	-	-	-	-
ELL	84.3	85.3	86.8	88.8	91.0
Facilitator	1.0	1.0	-	-	-
Gifted and Talented	8.0	9.0	11.0	11.0	15.0
Head Start	17.5	15.5	14.5	13.5	14.0
Home Instruction	7.0	7.0	7.0	6.0	6.0
Instructional Coach	-	-	-	-	49.5
International Baccalaureate Coordinator	-	5.0	7.0	8.0	8.0
Library/Media specialists	5.0	5.0	3.0	2.0	2.0
Nurses	57.9	57.3	57.6	57.7	58.4
Preschool	43.5	34.5	38.5	38.5	34.0
Special Ed teachers	493.9	506.4	508.8	509.3	499.4
Special Ed consultants	33.0	32.0	30.0	31.0	34.0
Special Ed Support	112.7	124.2	128.2	126.4	121.6
Title I	180.8	181.0	171.4	187.8	208.9
Float	1.0	-	2.0	4.0	1.0
Total teachers	2,667.2	2,690.7	2,687.2	2,762.2	2,802.6
Associates					
Central Office	8.8	7.8	9.8	11.8	24.8
Elementary Schools	202.3	223.8	211.0	222.0	195.0
Middle Schools	58.8	59.5	62.0	61.0	58.8
High Schools	56.0	53.2	44.6	46.0	57.0
Special Schools	164.4	163.5	191.9	180.2	182.6
Total associates	490.3	507.8	519.3	521.0	518.2

(Continued)

Full-Time Equivalent Employees as of June 30					Percentage Change
2016	2017	2018	2019	2020	2011 - 2020
39.0	36.0	41.0	42.0	41.0	41.4%
38.0	38.0	38.0	38.0	37.0	0.0%
20.0	20.0	20.0	19.0	10.0	-54.5%
24.0	23.0	23.0	20.0	12.0	-42.9%
5.0	5.0	5.0	4.0	4.0	-33.3%
126.0	122.0	127.0	123.0	104.0	-9.6%
36.5	31.6	29.1	22.6	14.1	-41.3%
26.8	26.0	35.0	36.4	35.9	*
12.8	12.0	14.7	21.0	23.6	-17.8%
1,578.3	1,562.1	1,556.3	1,531.1	1,501.3	0.5%
67.4	80.5	82.0	82.0	81.4	42.8%
3.6	3.3	1.0	21.0	1.0	-93.3%
-	-	-	-	-	-100.0%
106.5	111.0	119.0	117.4	117.4	39.3%
-	-	-	-	-	-100.0%
18.0	18.0	21.0	21.0	21.0	162.5%
14.0	14.0	14.0	13.0	13.0	-25.7%
5.0	5.0	5.0	7.0	11.0	57.1%
109.9	92.6	95.1	111.6	101.2	*
6.5	5.0	4.0	1.3	-	*
2.0	2.0	1.0	1.0	1.0	-80.0%
60.2	60.0	59.5	59.9	59.9	3.4%
34.0	34.0	34.0	34.0	34.0	-21.8%
494.0	483.5	483.0	486.0	489.0	-1.0%
33.0	32.0	32.0	30.0	29.0	-12.1%
125.9	130.8	136.3	136.3	135.3	20.1%
213.0	183.8	179.3	169.1	154.4	-14.6%
5.0	8.0	7.2	-	1.0	0.0%
2,969.9	2,895.2	2,908.5	2,901.7	2,824.3	5.9%
26.8	17.0	12.8	37.0	50.0	468.2%
189.8	188.0	195.0	211.0	214.0	5.8%
61.0	59.5	58.3	62.0	57.0	-3.1%
54.0	52.0	46.0	60.5	64.0	14.3%
183.8	193.8	197.8	160.8	158.0	-3.9%
515.4	510.3	509.9	531.3	543.0	10.7%

Des Moines Independent Community School District

Full-Time Equivalent District Employees By Type (Continued) Current and Previous Nine Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30				
	2011	2012	2013	2014	2015
Specialist, Clerical, and Paraprofessionals					
Central Office	191.1	187.0	181.7	206.5	231.0
Elementary Schools	101.0	100.6	119.4	124.4	103.9
Middle Schools	61.4	63.6	63.9	65.6	65.0
High Schools	126.3	125.1	122.9	124.1	135.1
Special Schools	11.4	19.0	20.9	21.5	17.0
Total specialists, clerical, and paraprofessionals	491.2	495.3	508.8	542.1	552.0
Food Service, Operations, Transportation and Child Care					
Central Office	414.6	380.6	373.0	344.9	336.4
Elementary Schools	166.9	215.8	216.4	221.1	245.6
Middle Schools	105.9	100.9	97.0	99.5	101.3
High Schools	131.4	118.3	119.1	124.9	114.1
Special Schools	12.8	10.4	11.2	13.3	13.1
Total food svc, oper, transportation, and child care	831.6	826.0	816.7	803.7	810.5
Total	4,595.3	4,641.6	4,655.0	4,763.5	4,806.3

Source: District records

* No employees in this category for comparison in 2011

Full-Time Equivalent Employees as of June 30					Percentage Change
2016	2017	2018	2019	2020	2011 - 2020
243.8	237.2	266.4	251.2	252.0	31.9%
106.0	107.0	111.0	97.0	117.0	15.8%
62.4	60.4	58.0	62.0	72.5	18.1%
131.6	118.6	103.8	99.0	110.5	-12.5%
20.0	23.0	20.0	14.0	14.0	22.8%
563.8	546.2	559.2	523.2	566.0	15.2%
342.0	310.2	334.5	323.0	290.6	-29.9%
247.5	285.6	288.5	267.4	292.3	75.1%
103.6	104.6	103.1	100.0	114.1	7.8%
118.5	117.5	113.1	107.6	127.0	-3.4%
16.0	18.4	16.3	20.1	17.6	37.4%
827.5	836.3	855.5	818.0	841.6	1.2%
5,002.6	4,910.0	4,960.0	4,886.5	4,878.9	6.2%

Des Moines Independent Community School District

Operating Statistics

Current and Previous Nine Fiscal Years

(Unaudited)

Fiscal Year	Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change	Business-Type Expenses	Cost Per Pupil	Percentage Change
2011	30,953.9	377,071,229	\$ 12,282	0.03	\$ 16,914,145	\$ 546	(0.04)
2012	31,546.3	383,099,908	12,144	0.01	17,509,877	555	(0.02)
2013	32,062.1	386,110,699	12,043	0.01	19,492,031	608	0.07
2014	32,413.2	412,187,728	12,717	0.06	20,740,564	640	0.12
2015	32,396.1	430,873,303	13,300	0.11	21,898,261	676	0.19
2016	32,581.9	455,983,772	13,375	0.09	23,201,203	712	0.30
2017	32,979.2	472,417,154	13,633	0.12	25,451,036	772	0.39
2018	33,057.4	498,953,834	15,094	0.24	26,476,917	801	0.44
2019	32,788.8	487,168,007	15,477	0.26	25,734,865	785	0.44
2020	32,606.7	487,564,051	14,953	0.23	25,441,013	780	0.41

Fiscal Year	Teaching Staff	Percentage of Students Receiving Free or Reduced-Priced Meals
2011	2,667.0	67
2012	2,690.7	66
2013	2,687.2	68
2014	2,772.7	69
2015	2,802.6	69
2016	2,969.9	73
2017	2,895.2	67
2018	2,908.5	74
2019	2,901.7	76
2020	2,824.3	77

Source: District Records

Note: Operating expenditures represent governmental activity expenditures less interest on long-term debt

Des Moines Independent Community School District

School Building Information Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Elementary:				
Name (Year)	Brubaker	Brubaker	Brubaker	Brubaker
Square feet	78,224	78,224	78,224	78,224
Capacity	792	792	792	816
Enrollment	661	694	672	642
Name (Year)	Capital View	Capital View	Capital View	Capital View
Square feet	75,740	75,740	75,740	75,740
Capacity	720	720	720	720
Enrollment	531	489	539	534
Name (Year)	Carver	Carver	Carver	Carver
Square feet	91,500	91,500	91,500	91,500
Capacity	720	720	720	720
Enrollment	599	599	611	626
Name (Year)	Cattell	Cattell	Cattell	Cattell
Square feet	47,821	47,821	47,821	47,821
Capacity	408	408	408	408
Enrollment	405	393	408	411
Name (Year)	Cowles	Cowles	Cowles	Cowles
Square feet	42,800	42,800	42,800	42,800
Capacity	432	432	432	456
Enrollment	326	335	348	361
Name (Year)	Downtown	Downtown	Downtown	Downtown
Square feet	34,966	34,966	38,125	38,125
Capacity	264	264	312	312
Enrollment	285	278	274	263
Name (Year)	Edmunds	Edmunds	Edmunds	Edmunds
Square feet	45,930	45,930	76,385	76,385
Capacity	240	240	576	576
Enrollment	171	274	287	409
Name (Year)	Findley	Findley	Findley	Findley
Square feet	38,354	38,354	43,548	43,548
Capacity	384	384	384	384
Enrollment	273	292	314	320
Name (Year)	Garton	Garton	Garton	Garton
Square feet	65,648	65,648	65,648	65,648
Capacity	720	720	720	720
Enrollment	596	522	564	595
Name (Year)	Greenwood	Greenwood	Greenwood	Greenwood
Square feet	61,744	61,744	61,744	61,744
Capacity	456	456	456	456
Enrollment	412	413	446	414

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
Brubaker	Brubaker	Brubaker	Brubaker	Brubaker	Brubaker
78,224	78,224	78,224	78,224	78,224	78,224
816	816	816	816	816	960
704	697	727	709	665	673
Capital View	Capital View	Capital View	Capital View	Capital View	Capital View
75,740	75,740	75,740	75,740	75,740	75,740
720	720	720	720	720	913
551	568	556	551	539	523
Carver	Carver	Carver	Carver	Carver	Carver
91,500	91,500	81,885	81,885	81,885	81,885
720	720	720	720	720	720
577	555	573	549	484	461
Cattell	Cattell	Cattell	Cattell	Cattell	Cattell
47,821	47,821	48,188	55,125	55,125	55,125
408	408	408	408	408	504
397	388	392	410	397	402
Cowles	Cowles	Cowles	Cowles	Cowles	Cowles
42,800	42,800	45,130	45,130	53,060	53,060
517	517	432	432	432	336
364	374	375	363	362	379
Downtown	Downtown	Downtown	Downtown	Downtown	Downtown
38,125	38,125	38,125	38,125	38,125	38,125
312	312	312	312	312	168
267	268	268	271	265	264
Edmunds	Edmunds	Edmunds	Edmunds	Edmunds	Edmunds
76,385	76,385	76,385	76,385	76,385	76,385
576	576	576	576	576	696
435	346	329	312	316	314
Findley	Findley	Findley	Findley	Findley	Findley
43,548	43,548	43,628	43,628	43,628	43,628
384	384	384	384	384	384
342	344	338	343	333	324
Garton	Garton	Garton	Garton	Garton	Garton
65,648	65,648	65,648	65,648	65,648	65,648
720	720	720	720	720	720
624	612	649	650	558	502
Greenwood	Greenwood	Greenwood	Greenwood	Greenwood	Greenwood
61,744	61,744	62,227	62,227	62,227	62,227
456	456	456	456	456	528
384	325	299	283	256	249

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Elementary:				
Name (Year)	Hanawalt	Hanawalt	Hanawalt	Hanawalt
Square feet	43,246	43,246	43,246	43,246
Capacity	408	408	408	408
Enrollment	358	345	352	376
Name (Year)	Hillis	Hillis	Hillis	Hillis
Square feet	57,720	57,720	57,720	57,720
Capacity	600	600	600	600
Enrollment	431	425	483	507
Name (Year)	Howe	Howe	Howe	Howe
Square feet	38,505	38,505	38,505	38,505
Capacity	312	312	312	312
Enrollment	304	276	297	282
Name (Year)	Hubbell	Hubbell	Hubbell	Hubbell
Square feet	53,327	53,327	53,327	53,327
Capacity	456	456	456	456
Enrollment	405	435	455	447
Name (Year)	Jackson	Jackson	Jackson	Jackson
Square feet	45,585	45,585	45,585	45,585
Capacity	456	456	456	456
Enrollment	403	395	413	418
Name (Year)	Jefferson	Jefferson	Jefferson	Jefferson
Square feet	42,750	42,750	45,830	45,830
Capacity	408	408	408	408
Enrollment	426	433	434	430
Name (Year)	King	King	King	King
Square feet	54,171	54,171	54,171	54,171
Capacity	408	408	408	408
Enrollment	344	335	335	362
Name (Year)	Lovejoy	Lovejoy	Lovejoy	Lovejoy
Square feet	31,806	31,806	39,154	39,154
Capacity	288	288	456	456
Enrollment	322	333	332	349
Name (Year)	Madison	Madison	Madison	Madison
Square feet	42,049	42,049	42,049	42,049
Capacity	408	408	408	408
Enrollment	316	333	409	377
Name (Year)	McKinley	McKinley	McKinley	McKinley
Square feet	49,994	49,994	49,994	49,994
Capacity	360	360	360	360
Enrollment	316	342	319	331

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
Hanawalt	Hanawalt	Hanawalt	Hanawalt	Hanawalt	Hanawalt
43,246	43,246	43,246	43,246	44,708	44,708
408	408	408	408	408	480
373	362	358	343	359	343
Hillis	Hillis	Hillis	Hillis	Hillis	Hillis
57,720	57,720	57,720	57,720	57,720	57,720
600	600	600	600	600	576
534	447	381	370	364	318
Howe	Howe	Howe	Howe	Howe	Howe
38,505	38,505	34,320	33,220	33,220	42,891
312	312	312	312	312	336
298	312	310	307	286	279
Hubbell	Hubbell	Hubbell	Hubbell	Hubbell	Hubbell
53,327	53,327	53,327	49,440	50,505	50,505
456	456	456	456	480	480
428	423	415	433	414	444
Jackson	Jackson	Jackson	Jackson	Jackson	Jackson
45,585	45,585	45,585	45,585	57,969	57,969
456	456	456	456	552	552
435	429	467	427	444	413
Jefferson	Jefferson	Jefferson	Jefferson	Jefferson	Jefferson
45,830	45,830	45,830	45,830	45,830	45,830
456	456	456	456	456	456
425	439	408	392	393	389
King	King	King	King	King	King
54,171	54,171	54,171	54,171	54,171	54,171
456	456	456	456	456	504
376	358	336	329	300	295
Lovejoy	Lovejoy	Lovejoy	Lovejoy	Lovejoy	Lovejoy
39,154	39,154	39,154	39,154	39,154	50,534
456	456	456	456	456	480
380	389	383	394	391	392
Madison	Madison	Madison	Madison	Madison	Madison
42,049	42,049	42,049	42,049	49,558	49,558
408	408	408	408	408	456
346	317	267	279	264	282
McKinley	McKinley	McKinley	McKinley	McKinley	McKinley
49,994	49,994	49,994	49,994	49,994	49,994
360	360	360	360	360	432
343	293	264	267	266	272

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Elementary:				
Name (Year)	Monroe	Monroe	Monroe	Monroe
Square feet	73,997	73,997	73,997	73,997
Capacity	576	576	576	576
Enrollment	501	495	533	553
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Morris	Morris	Morris	Morris
Square feet	70,656	70,656	70,656	70,656
Capacity	744	744	744	744
Enrollment	602	616	617	612
Name (Year)	Moulton	Moulton	Moulton	Moulton
Square feet	121,650	121,650	121,650	121,650
Capacity	744	744	744	744
Enrollment	366	357	428	474
Name (Year)	Oak Park	Oak Park	Oak Park	Oak Park
Square feet	59,497	59,497	59,497	59,497
Capacity	408	408	408	408
Enrollment	403	407	399	396
Name (Year)	Park Avenue	Park Avenue	Park Avenue	Park Avenue
Square feet	59,565	59,565	64,925	64,925
Capacity	552	552	552	552
Enrollment	457	465	472	472
Name (Year)	Perkins	Perkins	Perkins	Perkins
Square feet	56,540	56,540	56,540	56,540
Capacity	432	432	432	432
Enrollment	461	436	438	441
Name (Year)	Phillips	Phillips	Phillips	Phillips
Square feet	41,936	41,936	41,936	41,936
Capacity	336	336	336	336
Enrollment	359	362	404	407
Name (Year)	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill
Square feet	36,161	36,161	41,270	41,270
Capacity	312	312	312	312
Enrollment	270	283	312	309
Name (Year)	River Woods	River Woods	River Woods	River Woods
Square feet	58,126	58,126	59,950	58,126
Capacity	504	504	504	504
Enrollment	489	509	509	540

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
Monroe	Monroe	Monroe	Monroe	Monroe	Monroe
73,997	73,997	73,997	73,997	73,997	73,997
600	600	600	600	600	600
536	535	547	513	472	464
	Moore	Moore	Moore	Moore	Moore
	51,848	51,848	51,848	51,848	51,848
	432	432	432	432	408
	188	260	297	325	339
Morris	Morris	Morris	Morris	Morris	Morris
70,656	70,656	70,656	70,656	70,656	71,114
744	744	744	744	744	744
595	579	601	600	567	527
Moulton	Moulton	Moulton	Moulton	Moulton	Moulton
121,650	121,650	121,650	121,650	121,650	121,650
744	744	744	744	744	768
457	471	469	488	531	536
Oak Park	Oak Park	Oak Park	Oak Park	Oak Park	Oak Park
59,497	59,497	59,497	59,497	59,497	59,497
408	408	408	408	408	336
406	424	418	369	376	339
Park Avenue	Park Avenue	Park Avenue	Park Avenue	Park Avenue	Park Avenue
64,925	64,925	64,925	64,925	64,925	64,925
600	600	600	600	600	552
424	451	430	431	410	418
Perkins	Perkins	Perkins	Perkins	Perkins	Perkins
65,064	65,064	65,064	65,064	65,064	65,064
528	528	528	528	528	456
464	482	457	451	461	446
Phillips	Phillips	Phillips	Phillips	Phillips	Phillips
41,936	41,936	41,936	46,207	46,207	46,207
336	336	336	336	336	552
387	373	359	339	329	325
Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill
41,270	41,270	41,270	41,270	41,270	41,270
408	408	408	408	408	288
309	315	255	269	261	233
River Woods	River Woods	River Woods	River Woods	River Woods	River Woods
64,773	64,773	64,773	64,773	64,773	64,773
600	600	600	600	600	672
545	541	594	570	544	527

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Elementary:				
Name (Year)	Samuelson	Samuelson	Samuelson	Samuelson
Square feet	56,586	56,586	58,678	58,678
Capacity	504	504	528	528
Enrollment	481	514	526	515
Name (Year)	South Union	South Union	South Union	South Union
Square feet	68,508	68,508	68,508	68,508
Capacity	696	696	696	696
Enrollment	542	545	578	562
Name (Year)	Stowe	Stowe	Stowe	Stowe
Square feet	56,967	56,967	56,967	56,967
Capacity	408	408	408	408
Enrollment	416	389	362	363
Name (Year)	Studebaker	Studebaker	Studebaker	Studebaker
Square feet	42,272	42,272	45,400	45,400
Capacity	456	456	504	504
Enrollment	454	401	416	479
Name (Year)	Walnut Street	Walnut Street	Walnut Street	Walnut Street
Square feet	58,212	58,212	58,212	58,212
Capacity	384	384	384	414
Enrollment	205	281	312	278
Name (Year)	Willard	Willard	Willard	Willard
Square feet	59,301	59,301	59,301	59,301
Capacity	600	600	600	600
Enrollment	432	439	426	437
Name (Year)	Windsor	Windsor	Windsor	Windsor
Square feet	60,475	60,475	60,475	60,475
Capacity	408	408	408	408
Enrollment	384	416	425	394
Name (Year)	Wright	Wright	Wright	Wright
Square feet	30,300	30,300	30,300	30,300
Capacity	312	312	312	288
Enrollment	273	248	271	258

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
Samuelson	Samuelson	Samuelson	Samuelson	Samuelson	Samuelson
58,678	58,678	58,678	58,678	58,678	58,678
528	528	528	528	528	528
527	470	452	449	467	461
South Union	South Union	South Union	South Union	South Union	South Union
68,508	68,508	68,508	68,508	68,508	68,508
696	696	696	696	696	696
520	504	513	494	488	500
Stowe	Stowe	Stowe	Stowe	Stowe	Stowe
56,967	56,967	56,967	56,967	56,967	56,967
408	408	408	408	408	456
365	374	399	367	371	359
Studebaker	Studebaker	Studebaker	Studebaker	Studebaker	Studebaker
45,400	45,400	45,400	45,400	45,400	64,455
504	504	504	504	504	600
451	454	500	495	492	556
Walnut Street	Walnut Street	Walnut Street	Walnut Street	Walnut Street	Walnut Street
58,212	97,020	97,020	97,020	97,020	97,020
414	630	630	630	630	816
283	292	291	269	297	297
Willard	Willard	Willard	Willard	Willard	Willard
59,301	59,301	59,301	59,301	59,301	59,301
600	600	600	600	600	624
429	410	355	362	348	324
Windsor	Windsor	Windsor	Windsor	Windsor	Windsor
60,475	60,475	60,475	60,475	60,475	60,475
408	408	408	408	408	432
360	338	358	375	345	307
Wright	Wright	Wright	Wright	Wright	Wright
30,300	30,300	30,300	39,139	39,139	39,139
288	288	288	288	288	312
289	284	265	280	270	284

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Middle:				
Name (Year)	Brody	Brody	Brody	Brody
Square feet	90,500	90,500	90,500	98,082
Capacity	637	637	871	871
Enrollment	689	680	702	744
Name (Year)	Callanan	Callanan	Callanan	Callanan
Square feet	116,037	116,037	116,037	116,037
Capacity	828	828	828	828
Enrollment	607	643	626	620
Name (Year)	Goodrell	Goodrell	Goodrell	Goodrell
Square feet	110,495	110,495	110,495	110,495
Capacity	871	871	871	871
Enrollment	608	594	591	619
Name (Year)	Harding	Harding	Harding	Harding
Square feet	125,339	125,339	125,339	125,339
Capacity	828	828	828	850
Enrollment	556	534	619	700
Name (Year)	Hiatt	Hiatt	Hiatt	Hiatt
Square feet	103,060	103,060	103,060	109,879
Capacity	743	743	850	850
Enrollment	579	609	634	626
Name (Year)	Hoyt	Hoyt	Hoyt	Hoyt
Square feet	99,874	99,874	99,874	100,691
Capacity	850	850	850	893
Enrollment	580	533	518	488
Name (Year)	McCombs	McCombs	McCombs	McCombs
Square feet	78,978	78,978	78,978	88,258
Capacity	701	701	807	807
Enrollment	626	591	664	657
Name (Year)	Meredith	Meredith	Meredith	Meredith
Square feet	107,316	107,316	107,316	107,316
Capacity	871	891	891	891
Enrollment	607	687	666	715
Name (Year)	Merrill	Merrill	Merrill	Merrill
Square feet	89,500	89,500	89,500	94,162
Capacity	658	658	658	658
Enrollment	623	671	658	705
Name (Year)	Weeks	Weeks	Weeks	Weeks
Square feet	112,390	112,390	112,390	112,390
Capacity	1,041	1,041	1,041	1,041
Enrollment	677	675	689	633

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
Brody	Brody	Brody	Brody	Brody	Brody
98,082	98,082	99,182	99,182	99,182	99,182
871	871	871	871	871	904
736	749	745	770	770	729
Callanan	Callanan	Callanan	Callanan	Callanan	Callanan
116,037	116,037	116,037	116,037	116,037	116,037
828	828	828	828	828	857
572	561	592	603	615	609
Goodrell	Goodrell	Goodrell	Goodrell	Goodrell	Goodrell
110,495	110,495	110,495	110,495	110,495	110,495
893	893	893	893	893	928
633	632	628	571	558	552
Harding	Harding	Harding	Harding	Harding	Harding
125,339	125,339	125,339	125,339	125,339	125,339
850	850	850	850	850	952
767	773	743	788	781	815
Hiatt	Hiatt	Hiatt	Hiatt	Hiatt	Hiatt
109,879	109,879	109,879	109,879	109,879	109,879
850	850	850	850	850	928
551	589	592	656	649	615
Hoyt	Hoyt	Hoyt	Hoyt	Hoyt	Hoyt
100,691	100,691	100,691	100,691	100,691	100,691
893	893	893	893	893	1,023
488	510	522	598	648	685
McCombs	McCombs	McCombs	McCombs	McCombs	McCombs
88,258	88,258	88,258	88,258	96,703	99,673
829	829	829	829	914	952
662	691	722	733	732	744
Meredith	Meredith	Meredith	Meredith	Meredith	Meredith
107,316	107,316	107,316	107,316	107,316	107,316
891	891	891	891	891	857
713	737	734	805	829	806
Merrill	Merrill	Merrill	Merrill	Merrill	Merrill
94,162	94,162	94,162	94,162	94,162	94,162
701	701	701	701	701	881
718	730	741	743	760	782
Weeks	Weeks	Weeks	Weeks	Weeks	Weeks
112,390	112,390	112,390	112,390	112,390	112,390
1,063	1,063	1,063	1,063	1,063	1,142
670	717	742	766	774	772

Des Moines Independent Community School District

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
High:				
Name (Year)	East	East	East	East
Square feet	344,376	344,376	344,376	344,376
Capacity	2,337	2,337	2,337	2,337
Enrollment	2,266	2,230	2,288	2,291
Name (Year)	Hoover	Hoover	Hoover	Hoover
Square feet	183,400	183,400	183,400	191,700
Capacity	1,083	1,105	1,105	1,105
Enrollment	1,075	1,065	1,028	966
Name (Year)	Lincoln	Lincoln	Lincoln	Lincoln
Square feet	312,628	312,628	312,628	312,628
Capacity	1,848	1,848	1,848	1,848
Enrollment	2,252	2,218	2,144	2,185
Name (Year)	Kurtz	Kurtz (Lincoln 9th Grade) Kurtz (Lincoln 9th Grade) Kurtz (Lincoln 9th Grade)		
Square feet	106,264	106,264	106,498	106,264
Capacity	637	637	637	637
Enrollment	-	*	*	*
Name (Year)	North	North	North	North
Square feet	220,960	220,960	220,960	249,639
Capacity	1,147	1,253	1,253	1,253
Enrollment	1,133	1,121	1,182	1,251
Name (Year)	Roosevelt	Roosevelt	Roosevelt	Roosevelt
Square feet	239,117	239,117	239,117	239,117
Capacity	1,678	1,785	1,785	1,785
Enrollment	1,628	1,659	1,658	1,708

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
East	East	East	East	East	East
344,376	344,376	344,376	344,376	344,376	344,376
2,337	2,337	2,337	2,337	2,337	2,570
2,286	2,303	2,329	2,236	2,197	2,095
Hoover	Hoover	Hoover	Hoover	Hoover	Hoover
191,700	191,700	191,700	191,700	191,700	191,700
1,105	1,105	1,105	1,105	1,105	1,428
1,016	1,070	1,062	1,106	1,068	1,024
Lincoln	Lincoln	Lincoln	Lincoln	Lincoln	Lincoln
312,628	312,628	312,628	312,628	312,628	312,628
1,848	1,848	1,848	1,848	1,848	2,047
2,166	2,245	2,355	2,350	2,404	2,379
Kurtz (Lincoln 9th Grade)	Kurtz (Lincoln 9th Grade)	Kurtz (Lincoln 9th Grade)	Kurtz (Lincoln 9th Grade)	Kurtz (Lincoln 9th Grade)	Kurtz
106,264	106,264	106,498	106,498	106,498	%
637	637	637	637	637	%
*	*	*	*	*	%
North	North	North	North	North	North
249,639	249,639	249,639	249,639	249,639	249,639
1,253	1,253	1,253	1,253	1,253	1,333
1,196	1,253	1,274	1,319	1,452	1,393
Roosevelt	Roosevelt	Roosevelt	Roosevelt	Roosevelt	Roosevelt
240,317	240,317	240,317	306,722	306,722	306,722
1,785	1,785	1,785	1,785	1,785	1,714
1,819	1,790	1,925	1,943	2,008	2,116

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Special Schools:				
Name (Year)	Central Campus	Central Campus	Central Campus	Central Campus
Square feet	456,660	456,660	456,660	456,660
Capacity	1,530	1,530	1,328	1,328
Enrollment	\$	\$	\$	\$
Name (Year)	Central Academy	Central Academy	Central Academy	Central Academy
Square feet	86,426	86,426	86,426	86,426
Capacity	658	658	658	658
Enrollment	\$	\$	\$	\$
Name (Year)	Scavo #	Scavo #	Scavo #	Scavo #
Square feet	45,334	45,334	45,334	45,334
Capacity	504	504	504	504
Enrollment	266	272	304	265
Name (Year)	Smouse ♦	Smouse ♦	Smouse ♦	Smouse ♦
Square feet	53,809	53,809	53,809	53,809
Capacity	384	384	384	384
Enrollment	110	100	128	110
Name (Year)	Van Meter ♦	Van Meter ♦	Van Meter ♦	Van Meter ♦
Square feet	56,460	56,460	56,460	56,460
Capacity	403	403	403	403
Enrollment	168	174	170	163

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
Central Campus	Central Campus	Central Campus	Central Campus	Central Campus	Central Campus
456,660	456,660	456,660	456,660	456,660	456,660
1,848	1,848	1,848	1,848	1,848	2,213
\$	\$	\$	\$	\$	\$
Central Academy	Central Academy	Central Academy	Central Academy	Central Academy	Central Academy
86,426	86,426	86,426	86,426	86,426	86,426
658	658	658	658	658	738
\$	\$	\$	\$	\$	\$
Scavo #	Scavo #	Scavo #	Scavo #	Scavo #	Scavo #
see Central Campus	see Central Campus	see Central Campus	see Central Campus	see Central Campus	see Central Campus
see Central Campus	see Central Campus	see Central Campus	see Central Campus	see Central Campus	see Central Campus
359	459	390	459	316	282
Smouse ♦	Smouse ♦	Smouse ♦	Smouse ♦	Smouse	Smouse
53,809	53,809	53,809	53,809	%	%
384	384	384	384	%	%
93	83	71	72	%	%
Van Meter ♦	Van Meter ♦	Van Meter ♦	Van Meter ♦	Van Meter ♦	Van Meter ♦
56,460	56,460	58,636	58,636	58,636	58,636
553	553	553	553	553	553
156	158	138	126	158	141

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year				
	2011	2012	2013	2014	2015
Other:					
Name (Year)	Casady	Casady	Casady	Jesse Taylor @ Cassady	Jesse Taylor @ Cassady
Square feet	43,709	43,709	43,709	45,297	45,297
Name (Year)	McKee	McKee	McKee	McKee	McKee
Square feet	43,400	43,400	43,400	43,400	43,400
Name (Year)	Mitchell	Mitchell	Mitchell	Mitchell	Mitchell
Square feet	31,682	31,682	31,682	31,682	31,682
Name (Year)	Woodlawn Education Ctr				
Square feet			46,548	46,548	46,548
Other (Education Facilities):					
Name (Year)	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab
Square feet	12,500	12,500	12,500	12,500	12,500
Name (Year)					
Square feet					
Name (Year)	Mann	Mann	Mann	Mann	Mann
Square feet	32,490	32,490	32,490	32,490	32,490
Other:					
Name (Year)	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect
Square feet	52,573	52,573	52,573	52,573	52,573
Name (Year)					2323 Grand
Square feet					53,200
Name (Year)					
Square feet					
Name (Year)	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center
Square feet	56,186	56,186	56,186	56,186	56,186
Name (Year)					
Square feet					
Name (Year)	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean
Square feet	97,404	97,404	97,404	97,404	97,404
Name (Year)					
Square feet					
Name (Year)	Walker Street	Walker Street	Walker Street	Walker Street	Walker Street
Square feet	33,481	33,481	33,481	33,481	33,481
Name (Year)	Walnut St (Admin)	Walnut St (Admin)	Walnut St (Admin)	Walnut St (Admin)	Walnut St (Admin)
Square feet	58,212	58,212	58,212	58,212	19,404
Name (Year)	Welcome Center	Welcome Center	Welcome Center	Welcome Center	Welcome Center
Square feet	6,200	6,200	6,200	6,200	6,200

Source: District records.

Note: Revised in 2014 to better match District schedules. Closed buildings moved to "other" and "special" schools category was broken out.

* Building was used to house the Lincoln 9th graders. The enrollment was rolled into the Lincoln High School total.

% Building no longer used for enrolled students.

\$ Magnet schools; students who attend classes at these schools are included with enrollment totals at home Middle or High Schools.

Scavo was housed in the Moore building until 2014 and moved back to Central Campus 2015-2020

♦ Special needs schools do not have an "ideal capacity." Rather, capacity depends on the needs of the children that are attending and may vary year to year.

‡ Building no longer used for Admin space.

§ Building no longer used for Welcome Center; used as Annex for Central Nutrition.

Fiscal Year				
2016	2017	2018	2019	2020
Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy
45,297	45,297	45,297	45,297	45,297
McKee	McKee	McKee	McKee	McKee
43,400	43,400	43,400	43,400	43,400
Mitchell	Mitchell	Mitchell	Mitchell	Mitchell
31,682	31,682	31,682	31,682	31,682
Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr
46,548	46,548	46,548	46,548	46,548
Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab
12,500	19,292	15,342	15,342	10,373
	Central Campus Aviation	Central Campus Aviation	Central Campus Aviation	Central Campus Aviation
	24,900	24,900	24,900	31,250
Mann	Mann	Mann	Mann	Mann
32,490	30,866	30,866	30,866	30,866
1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect
52,573	52,573	52,573	52,573	52,573
2323 Grand	2323 Grand	2323 Grand	2323 Grand	2323 Grand
49,734	49,734	49,734	49,734	49,734
2100 Fleur	2100 Fleur	2100 Fleur	2100 Fleur	2100 Fleur
36,673	36,673	36,673	36,673	36,673
Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center
56,186	56,186	56,186	56,186	56,186
				Kurtz Opportunity Center
				106,498
Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean
97,404	97,404	97,404	97,404	97,404
			Smouse	Smouse
			53,809	53,809
Walker Street	Walker Street	Walker Street	Walker Street	Walker Street
33,481	32,300	32,300	32,300	32,300
Walnut St (Admin)‡	Walnut St (Admin)‡	Walnut St (Admin)‡	Walnut St (Admin)‡	Walnut St (Admin)‡
-	-	-	-	-
Welcome Center	Welcome Center	Welcome Center	Welcome Center	CNC Annex §
6,200	6,200	6,200	6,200	6,200

Des Moines Independent Community School District

Capital Asset Information Current and Previous Nine Fiscal Years (Unaudited)

Schools:	Fiscal Year			
	2011	2012	2013	2014
Elementary:				
Buildings	44	44	44	37
Square feet	2,335,017	2,338,302	2,338,302	2,117,554
Capacity	19,584	19,680	19,968	18,294
Enrollment	15,286	15,105	15,848	15,944
Middle:				
Buildings	12	12	12	10
Square feet	1,196,213	1,196,213	1,196,213	1,062,649
Capacity	9,068	9,088	9,535	8,560
Enrollment	6,320	6,391	6,537	6,507
High:				
Buildings	8	8	8	6
Square feet	1,888,901	1,888,901	1,888,901	1,443,724
Capacity	10,870	11,020	10,818	8,965
Enrollment	11,262	8,565	8,604	8,401
Special Schools:				
Buildings				5
Square feet				698,689
Capacity				3,277
Enrollment				538
Other:				
Buildings	7	7	7	12
Square feet	289,553	347,765	347,765	515,973
Total District Sq Ft (less modulars)	5,709,684	5,771,181	5,771,181	5,838,589
Transportation:				
Garages	1	1	1	1
Buses	135	135	132	136
Athletics:				
Football fields	5	5	5	4
Running tracks	6	6	6	5
Baseball/softball	10	10	10	10
Swimming pools	8	8	8	8
Playgrounds	44	44	44	41

Source: District records.

Note: Revised in 2014 to better match District schedules. Closed buildings moved to "other" and "special" schools category was broken out.

Fiscal Year					
2015	2016	2017	2018	2019	2020
37	38	38	38	38	38
2,132,725	2,223,381	2,212,841	2,227,901	2,258,251	2,298,815
18,811	19,459	19,374	19,374	19,494	20,521
15,930	15,731	15,618	15,400	15,010	14,760
10	10	10	10	10	10
1,062,649	1,062,649	1,063,749	1,063,749	1,072,194	1,075,164
8,669	8,669	8,669	8,669	8,754	9,424
6,510	6,689	6,761	7,033	7,116	7,109
6	6	6	6	6	5
1,444,924	1,445,158	1,445,158	1,511,563	1,511,563	1,405,065
8,965	8,965	8,965	8,965	8,965	9,092
8,483	8,661	8,945	8,954	9,129	9,007
4	4	4	4	3	3
653,355	653,355	655,531	655,531	601,722	601,722
3,443	3,443	3,443	3,443	3,059	3,504
608	700	599	657	474	423
13	13	14	14	15	16
530,365	544,168	573,055	569,105	622,914	730,793
5,824,018	5,928,711	5,950,334	6,027,849	6,066,644	6,111,559
1	1	1	1	1	1
130	135	137	137	136	120
4	4	4	4	4	4
5	5	5	5	5	5
10	10	10	10	10	10
8	7	7	7	6	6
39	42	42	42	43	43

Des Moines Independent Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2020

Federal Grantor/Pass-Through Grantor/Program Title	Federal CFDA Number	Pass-Through Grantor's Number	Federal Expenditures	Passed Through To Subrecipients
U.S. Department of Agriculture:				
(Passed through Iowa Department of Education):				
Child Nutrition Cluster:				
School Breakfast Program	10.553	42-6004525	\$ 3,553,016	\$ -
National School Lunch Program	10.555	42-6004525	8,668,329	-
COVID-19 - Child Nutrition program	10.555	42-6004525	4,987,552	-
NSLP—USDA Commodities (Noncash)	10.555	77-1737	1,423,645	-
Summer Food Service Program for Children	10.559	42-6004525	176,976	-
Subtotal Child Nutrition Cluster			18,809,518	-
NSLP—Fruit and Vegetable Program	10.582	42-6004525	475,947	-
Team Nutrition Grant	10.574	42-6004525	2,000	-
(Passed through Iowa Department of Public Health),				
State Administrative Matching Grants for				
Iowa Nutrition Network Basics	10.561	42-6004523	170,137	-
Total U.S. Department of Agriculture			19,457,602	-
U.S. Department of Education:				
(Direct):				
Transforming School Climate	84.184G	none	100,914	-
Full Service Community Schools	84.215J	none	420,300	-
(Passed through Iowa Department of Education):				
Title I Grants to Local Educational Agencies	84.010A	42-6004525	12,723,002	-
Title I Migrant Funds	84.011	42-6004525	3,323	-
Title I School Improvement	84.377	42-6004525	305,728	-
Vocational Education Basic Grants to States	84.048	42-6004525	324,587	-
Improving Teacher Quality State Grant (Title II)	84.367	42-6004525	1,151,584	-
Education for Homeless Children & Youth	84.196	42-6004525	36,943	-
English Language Acquisition Grants (Title III ELL/LEP)	84.365	42-6004525	465,343	-
21st Century Community Learning Centers	84.287	42-6004525	1,017,580	-
Title IV Student Support and Academic Enrichment	84.424A	42-6004525	352,183	-
COVID-19 - Elementary and Secondary School				
Emergency Relief (ESSER) Funds	84.425D	42-6004525	8,875,060	-

(Continued)

Des Moines Independent Community School District

Schedule of Expenditures of Federal Awards (Continued)
Year Ended June 30, 2020

Federal Grantor/Pass-Through Grantor/Program Title	Federal CFDA Number	Pass-Through Grantor's Number	Federal Expenditures	Passed Through To Subrecipients
U.S. Department of Education (continued):				
(Passed through Heartland Area Education Agency 11):				
Special Education Grants to States (Individuals with Disabilities Education Act) (A)	84.027	42-1028173	\$ 1,806,530	\$ -
Special Education Grants to States (Handicapped Preschool Program Vocational Assessment) (A)	84.027	42-1028173	6,607,696	-
Parent Education Project (A)	84.027	42-1028173	40,000	-
Subtotal			<u>8,454,226</u>	<u>-</u>
Federal Part C	84.181	42-1028173	140,744	-
Least Restrictive Environment Coordinator (A)	84.173	42-1028173	174,953	-
(Passed through State of Iowa Vocational Rehabilitation), Project SEARCH	84.126	42-6004525	83,044	16,140
(Passed through Iowa State University), Development and Dissemination	84.305H	none	1,662	-
(Passed through Iowa College Student Aid Commission), Gaining Early Awareness and Readiness (GEAR UP)	84.334	42-00891451	268,295	-
Total U.S. Department of Education			<u>34,899,471</u>	<u>16,140</u>
U.S. Department of Health and Human Services:				
(Passed through Iowa Department of Education):				
Refugee Assistance Program	93.576	42-6004525	266	-
School Wellness	93.945	42-6004525	748	-
(Passed through State of Iowa Department of Human Service), Rejuvenated Grant for Preschool Wrap around funds	93.575	42-6004525	564	-
(Passed through Drake University), Head Start	93.600	42-0680460	1,863,234	-
Total U.S. Department of Health and Human Services			<u>1,864,812</u>	<u>-</u>
U.S. Department of Homeland Security—Federal Emergency Management Agency				
(Direct):				
COVID-19 - Public Health Emergency for COVID-19	97.036		56,282	-
Corporation for National and Community Service				
(Passed through Iowa Economic Development Authority), AmeriCorp	94.006	42-6004525	132,746	-
(Passed through State of Iowa) Promotion of the Arts Partnership Agreements	94.009	none	1,228	-
Total Corporation for National and Community Service			<u>133,974</u>	<u>-</u>
Total expenditures of federal awards			<u>\$ 56,412,141</u>	<u>\$ 16,140</u>

See notes to schedule of expenditures of federal awards.

(A) Total Special Education Cluster (IDEA)—CFDA Nos. 84.027 and 84.173 - \$8,439,027

Des Moines Independent Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2020

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the Schedule) includes the federal award activity of Des Moines Independent Community School District under programs of the federal government for the year ended June 30, 2020. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of Des Moines Independent Community School District, it is not intended to and does not present the financial position, changes in net position, or cash flows of Des Moines Independent Community School District (the District).

Note 2. Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Indirect Cost Rate

The District has elected not to use the 10% de minimis indirect cost rate allowed under the Uniform Guidance.

Note 4. Noncash Assistance

The schedule includes federal awards in the form of noncash assistance (commodities) received during the year in the amount of \$1,423,645 related to USDA Commodities grants provided by the U.S. Department of Agriculture and passed through the Iowa Department of Education.

Des Moines Independent Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2020**

Findings		Status	Corrective Action Plan or Other Explanation
Findings Related to Financial Statements:			
None			
Findings Related to Federal Awards:			
None			
Other Findings Related to Required Statutory Reporting			
19-IV-G	Various certified enrollment variances identified by the State.	Uncorrected	See similar finding and corrective action plan at 20-IV-G
19-IV-M	The Child Care and Management Funds had deficit balances as of June 30, 2019.	Partially corrected	See similar findings (Management Fund correct) and corrective action plan at 20-IV-M

**Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an
Audit of Financial Statements Performed in
Accordance with *Government Auditing Standards***

Independent Auditor's Report

Board of Education
Des Moines Independent Community School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Des Moines Independent Community School District (the District), as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated January 11, 2021.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2020 are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Responses to Findings

The District's responses to the findings identified in our audit are described in the accompanying schedule of findings and questioned costs. We did not audit the District's responses and, accordingly, we express no opinion on them.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

RSM US LLP

Des Moines, Iowa
January 11, 2021

**Report on Compliance For Each Major Federal Program
and Report on Internal Control Over Compliance
Required by the Uniform Guidance**

Independent Auditor's Report

Board of Education
Des Moines Independent Community School District

Report on Compliance for Each Major Federal Program

We have audited Des Moines Independent Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2020. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts and grants applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2020.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

RSM US LLP

Des Moines, Iowa
January 11, 2021

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2020

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

Material weakness(es) identified?

☐ Yes ☒ No

Significant deficiencies identified?

☐ Yes ☒ None Reported

Noncompliance material to financial statements noted?

☐ Yes ☒ No

Federal Awards

Internal control over major programs:

▪ Material weakness(es) identified?

☐ Yes ☒ No

▪ Significant deficiencies identified?

☐ Yes ☒ None Reported

Type of auditor's report issued on compliance for major programs: Unmodified

▪ Any audit findings disclosed that are required to be reported in accordance with
2 CFR 200.516(a)?

☐ Yes ☒ No

Identification of Major Programs

CFDA Number	Name of Federal Program or Cluster
10.553, 10.555, 10.556, 10.559	Child Nutrition Cluster
93.600	Head Start Cluster
84.425D	COVID-19 - Elementary and Secondary School Emergency Relief (ESSER)

Dollar threshold used to distinguish between type A and type B programs: \$1,692,364

Auditee qualified as low-risk auditee?

☒ Yes ☐ No

(Continued)

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2020

I. Findings Relating to the Financial Statement Audit as Required to be Reported in Accordance with Generally Accepted Government Auditing Standards

A. Internal Control

No matters reported.

B. Compliance Findings

No matters reported.

II. Findings and Questioned Costs for Federal Awards

A. Internal Control

No matters reported.

B. Compliance Findings

No matters reported.

III. Other Findings Related to Required Statutory Requirements

IV-A-20—Certified Budget and General Fund Spending Authority—The District's certified budget was not in excess of spending authority. District expenditures did not exceed the certified budget.

IV-B-20—Questionable Expenditures—No expenditures that may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

IV-C-20—Travel Expense—No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-20—Business Transactions—No business transactions between the District and District officials or employees were noted.

IV-E-20—Bond Coverage—Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure the coverage is adequate for current operations.

IV-F-20—Board Minutes—Board minutes were properly published, signed off on and each member's vote was properly recorded.

IV-G-20—Certified Enrollment—No material variances in the basic enrollment data certified to the Iowa Department of Education was noted. However, the following item was noted.

Finding: There were various certified enrollment variances identified by the State and the District that resulted in a reduction of 11.56 students from the October 1, 2019 certified enrollment numbers reported by the District.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2020

Recommendation: The District should correct the errors prior to providing the information to the State to avoid subsequent adjustments.

Response and Corrective Action Plan: The District has reviewed and agreed to the certified enrollment variances identified by the State as well as responded to the State with the District's assessment performed.

IV-H-20—Supplementary Weighting—No significant variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

IV-I-20—Deposits and Investments—The District's policy for deposits and investments is in compliance with the Code of Iowa.

IV-J-20—Certified Annual Report—The Certified Annual Report was certified timely to the Iowa Department of Education.

IV-K-20—Categorical Funding—No instances of categorical funding being used to supplant rather than supplement other funds were noted.

IV-L-20—Statewide Sales, Services and Use Tax—No instances of non-compliance with the use of the statewide sales, services and use tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2020, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		<u>\$ 105,276,369</u>
Local option sales tax		33,985,178
Earnings on investments		<u>1,017,189</u>
		35,002,367
Expenditures/transfers out:		
School infrastructure:		
Buildings	\$ 24,363,638	
Equipment	708,887	
Other improvements	680,178	
Transfers for debt service for school infrastructure:		
Revenue debt	<u>22,995,050</u>	<u>48,747,753</u>
Ending balance		<u><u>\$ 91,530,983</u></u>

For the year ended June 30, 2020, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2020

IV-M-20—Deficit Balances—The Child Care Fund and School Nutrition Fund had deficit balances as of June 30, 2020 of \$2,166,455 and \$793,842, respectively.

Finding: As of June 30, 2020, the Child Care Fund and School Nutrition Fund had reported a deficit balance.

Recommendation: The District should continue to investigate alternatives to eliminate the deficit in order to return funds to a sound financial condition.

Response and Corrective Action Plan: The primary cause of the deficit balance in both funds is due to the implementation of GASB Statement No. 68 during the year ended June 30, 2015. The District continues to analyze the fund's activities and have taken steps to reduce the deficit fund balance.

IV-N-20—Revenue Bonds—The District has established the reserve account required by all revenue bond resolutions as of June 30, 2020. The required monthly transfers from the revenue account to the sinking account were made by the District.

IV-O-20—Student Activity Fund—No instances of noncompliance with the use of student activity funds provisions of Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1) were noted.

IV-P-20—Early Childhood Iowa Area Board—The District is not the fiscal agent for the Early Childhood Iowa Area Board.

IV-Q-20—Receipts/Revenue—The District has limited school fees charged to categories identified in the Department of Education declaratory order #62.